

AN ELEMENTARY
INTRODUCTION TO
BUSINESS



KUTUSH KUMAR, KUTUM PAKHI

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TO THE READER

This book is written for readers who are meeting the subject for the first time. It assumes no earlier knowledge. Every new word is explained when it first appears, and the book moves slowly wherever an idea is new or difficult.

Beside most paragraphs you will find a note in the narrow column at the edge of the page. A note in italics gives the main point of the paragraph in one line. Read these notes first to see the shape of a chapter, and again when you review.

A word in **bold type** is a new term. It is shown in bold once, where it is first explained, and its meaning is repeated in the narrow column. After that the word appears in ordinary type. Italics are used for emphasis, for foreign words and for the titles of books.¹

Where an everyday word has a special meaning here, a note marked "Word in use" says so. Where an idea is both new and hard, a note reads "Go slowly here", and the text slows down with it.

HOW A CHAPTER RUNS

A chapter opens with a puzzle, then builds its ideas one section at a time. Each section ends with a short recap. The chapter closes with a summary, a problem to think through, the common mistakes people make, a true account from history, and review questions. Questions are numbered, such as 7.1, and their answers are collected at the back of the book.

When a chapter points to another part of the book, it names the chapter and the section, for example Chapter 3, section 3.2. Use the Contents to find it. At the back you will find a glossary of every term, the answers to the questions, a list of further reading, and an index.

This book teaches An Elementary Introduction to Business one idea at a time, from the very beginning.

The narrow column beside the text holds short notes.

Key term. A new word, shown in bold where it first appears, with its meaning in one line.

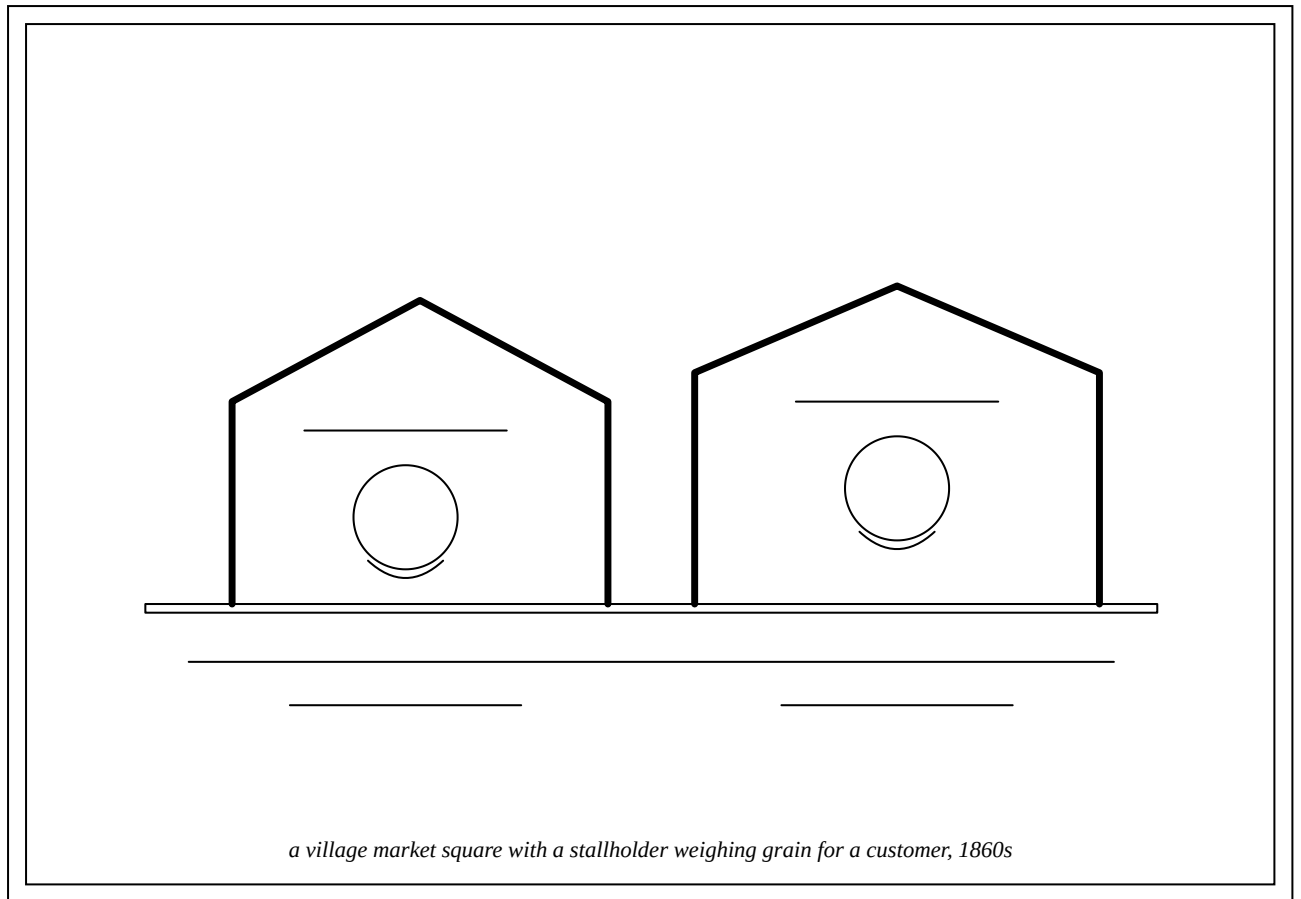
A bold word is a new term, and its meaning waits beside it.

Some everyday words have a second, special meaning in this subject.

Each chapter has the same shape, so you always know where you are.

Chapters refer to one another by name, never by page.

¹ A footnote gives a side point that would interrupt the main argument. Footnotes are numbered within each chapter and appear at the foot of the page.



CHAPTER I

What Business Is, Does and Aims For

How does the business idea become a workable decision?



Show a reader with no background what a business is, how trade, commerce and industry fit together, and why businesses exist; this is a foundation chapter that also teaches how to read the book. The chapter builds the idea from ordinary experience to business practice.

Earlier ideas needed for this chapter are named before they are used.

You will need: nothing

Needs, Wants and Exchange begins with a concrete question before the rule is stated.

Need. something a person must have to live safely and in health, such as food, water, shelter and basic care

The definition gives the boundary of need before the example is applied.

Service. useful work done for another person that leaves nothing physical behind, such as teaching, carrying or repairing

The definition gives the boundary of service before the example is applied.

Trade. the buying and selling of goods, either to make a profit or to supply what others want

The definition gives the boundary of trade before the example is applied.

The paragraph connects the idea to a practical business question.

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The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

1.1 NEEDS, WANTS AND EXCHANGE

Suppose you are looking at a business that must make a decision about needs, wants and exchange. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Need** means something a person must have to live safely and in health, such as food, water, shelter and basic care. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Service** means useful work done for another person that leaves nothing physical behind, such as teaching, carrying or repairing. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Trade** means the buying and selling of goods, either to make a profit or to supply what others want. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Needs, Wants and Exchange is what needs and wants, and why people must choose changes in an ordinary business decision.

The answer begins with the definition: Needs and wants, and why people must choose. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Needs, Wants and Exchange is what exchange, and why people let others make things for them changes in an ordinary business decision.

The answer begins with the definition: Exchange, and why people let others make things for them. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Needs, Wants and Exchange.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and

revenue. This is the point to carry into the next example in Needs, Wants and Exchange.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Needs, Wants and Exchange.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Needs, Wants and Exchange.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Needs, Wants and Exchange.

Case file, illustrative. Base facts. Rafiq Uddin Mia opened Meghna and Sons, a bookshop in Dhaka, on 4 January 2015. Start-up money was Tk 158,000 of his own savings, used as follows: books for sale Tk 110,000 (500 textbooks bought at an average Tk 220 each); advance paid to the landlord Tk 30,000; shelves and counter Tk 12,000; cash in hand Tk 6,000 ($110,000 + 30,000 + 12,000 + 6,000 = 158,000$). Average selling price Tk 280 per book, so each book sold earns Tk 60 above its cost. Monthly shop rent Tk 9,000. In January 2015 the shop sold 180 books: sales Tk 50,400 (180×280); cost of the books sold Tk 39,600 (180×220); amount left above book cost Tk 10,800. After rent of Tk 9,000 the profit for the month was Tk 1,800. Unsold at 31 January 2015: 320 books with a cost of Tk 70,400 (320×220). Rafiq took no wage for himself that month.

* * *

Before moving on. Needs, Wants and Exchange can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

The section recap gathers the main point before the next section.

1.2 WHAT A BUSINESS IS

Suppose you are looking at a business that must make a decision about what a business is. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Want** means something a person would like to have but could live without, such as a new phone or a holiday. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Business** means an activity that supplies goods or services to customers in the hope of earning a profit. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

What a Business Is begins with a concrete question before the rule is stated.

Want. something a person would like to have but could live without, such as a new phone or a holiday

The definition gives the boundary of want before the example is applied.

Business. an activity that supplies goods or services to customers in the hope of earning a profit

The definition gives the boundary of business before the example is applied.

Commerce. all the activities that help goods move from maker to user, including trade and the services that support it

The definition gives the boundary of commerce before the example is applied.

The paragraph connects the idea to a practical business question.

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The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section recap gathers the main point before the next section.

The word **Commerce** means all the activities that help goods move from maker to user, including trade and the services that support it. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in What a Business Is is what business as the supply of goods and services for profit changes in an ordinary business decision.

The answer begins with the definition: Business as the supply of goods and services for profit. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in What a Business Is is what profit and risk changes in an ordinary business decision.

The answer begins with the definition: Profit and risk. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in What a Business Is.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in What a Business Is.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in What a Business Is.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in What a Business Is.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in What a Business Is.

* * *

Before moving on. What a Business Is can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

1.3 TRADE, COMMERCE AND INDUSTRY

Suppose you are looking at a business that must make a decision about trade, commerce and industry. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Exchange** means giving one thing and receiving another in return, whether goods, services or money. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Profit** means the money left over when the costs of running a business are taken away from what it earns. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Industry** means the making or growing of goods, or the extraction of materials, by people who use skill, tools and effort. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Trade, Commerce and Industry is what trade, commerce and industry, and how they fit together changes in an ordinary business decision.

The answer begins with the definition: Trade, commerce and industry, and how they fit together. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Trade, Commerce and Industry is what branches of business and the helping services, including selling online changes in an ordinary business decision.

The answer begins with the definition: Branches of business and the helping services, including selling online. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Trade, Commerce and Industry.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Trade, Commerce and Industry.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts

Trade, Commerce and Industry begins with a concrete question before the rule is stated.

Exchange. giving one thing and receiving another in return, whether goods, services or money
The definition gives the boundary of exchange before the example is applied.

Profit. the money left over when the costs of running a business are taken away from what it earns
The definition gives the boundary of profit before the example is applied.

Industry. the making or growing of goods, or the extraction of materials, by people who use skill, tools and effort
The definition gives the boundary of industry before the example is applied.

The paragraph connects the idea to a practical business question.

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The section keeps the distinction practical and testable.

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The section keeps the distinction practical and testable.

The section recap gathers the main point before the next section.

Features, Functions and Aims of Business begins with a concrete question before the rule is stated.

Good. a physical item that can be touched and owned, such as a book, a chair or a bag of rice

The definition gives the boundary of good before the example is applied.

Risk. the chance that a business will earn less than it hoped, or lose money, because the future is uncertain

The definition gives the boundary of risk before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

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do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Trade, Commerce and Industry.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Trade, Commerce and Industry.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Trade, Commerce and Industry.

* * *

Before moving on. Trade, Commerce and Industry can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

1.4 FEATURES, FUNCTIONS AND AIMS OF BUSINESS

Suppose you are looking at a business that must make a decision about features, functions and aims of business. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Good** means a physical item that can be touched and owned, such as a book, a chair or a bag of rice. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Risk** means the chance that a business will earn less than it hoped, or lose money, because the future is uncertain. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Features, Functions and Aims of Business is what scope, features, functions and aims of business, and the conditions that help it succeed changes in an ordinary business decision.

The answer begins with the definition: Scope, features, functions and aims of business, and the conditions that help it succeed. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Features, Functions and Aims of Business.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about

customers can affect service and revenue. This is the point to carry into the next example in Features, Functions and Aims of Business.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Features, Functions and Aims of Business.

The section keeps the distinction practical and testable.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Features, Functions and Aims of Business.

The section keeps the distinction practical and testable.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Features, Functions and Aims of Business.

The section keeps the distinction practical and testable.

Case file, illustrative. Base facts. Rafiq Uddin Mia opened Meghna and Sons, a bookshop in Dhaka, on 4 January 2015. Start-up money was Tk 158,000 of his own savings, used as follows: books for sale Tk 110,000 (500 textbooks bought at an average Tk 220 each); advance paid to the landlord Tk 30,000; shelves and counter Tk 12,000; cash in hand Tk 6,000 ($110,000 + 30,000 + 12,000 + 6,000 = 158,000$). Average selling price Tk 280 per book, so each book sold earns Tk 60 above its cost. Monthly shop rent Tk 9,000. In January 2015 the shop sold 180 books: sales Tk 50,400 (180×280); cost of the books sold Tk 39,600 (180×220); amount left above book cost Tk 10,800. After rent of Tk 9,000 the profit for the month was Tk 1,800. Unsold at 31 January 2015: 320 books with a cost of Tk 70,400 (320×220). Rafiq took no wage for himself that month.

The running case applies the section's rule to recorded facts.

* * *

Before moving on. Features, Functions and Aims of Business can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

The section recap gathers the main point before the next section.

WORKED CASE

Situation. The documented running case contains recorded facts relevant to this chapter.

A worked case shows how the chapter's ideas can be applied without turning the case into a story.

Case file, illustrative. Base facts. Rafiq Uddin Mia opened Meghna and Sons, a bookshop in Dhaka, on 4 January 2015. Start-up money was Tk 158,000 of his own savings, used as follows: books for sale Tk 110,000 (500 textbooks bought at an average Tk 220 each); advance paid to the landlord Tk 30,000; shelves and counter Tk 12,000; cash in hand Tk 6,000 ($110,000 + 30,000 + 12,000 + 6,000 = 158,000$). Average selling price Tk 280 per book, so each book sold earns Tk 60 above its cost. Monthly shop rent Tk 9,000. In January 2015 the shop sold 180 books: sales Tk 50,400 (180×280); cost of the books sold Tk 39,600 (180×220); amount left above book cost Tk 10,800. After rent of Tk 9,000 the profit for the month was Tk 1,800. Unsold at 31 January 2015: 320 books with a cost of Tk 70,400 (320×220). Rafiq took no wage for himself that month.

The running case applies the section's rule to recorded facts.

The question is tested by the rule rather than by invented assumptions.

The chapter's main ideas can be recalled as a connected set rather than as isolated terms.

These questions test the ideas by changing the situation or asking for a distinction.

Most errors arise when a related idea is treated as if it were identical.

The historical case shows how the chapter's ideas appeared in a documented setting.

The review questions return to the same ideas in a direct form.

Question. Which chapter idea best describes the recorded facts? Reasoning. Identify the relevant term, match it to the facts, and distinguish what is recorded from what would need further evidence. Conclusion. The rule can be applied only to the facts that satisfy its definition. Check. Change one fact and ask whether the same rule still applies.

SUMMARY

The central pattern is to identify the business situation, name the relevant idea, apply its rule, and then check its limits. The running case shows how the same principles operate in a recorded business setting. The definitions provide the vocabulary needed to make the distinctions precise.

THINK IT THROUGH

1.T1 sort a student's week of spending into needs and wants and say why the sorting is hard

1.T2 explain exchange using two villagers who each make one thing

1.T3 name the branch of business for a printing press, a wholesaler and an insurer

1.T4 explain why money received and profit are different amounts

1.T5 a tea stall owner could earn more by selling only cold drinks, yet her neighbours rely on hot tea, so weigh profit against service and decide

WHERE PEOPLE GO WRONG

One common error is to use a familiar word without checking its business meaning. Another is to apply a rule before identifying the facts that make the rule relevant. A third is to treat an example as proof that every business must behave in the same way. The correction in each case is to return to the definition, state the facts, apply the rule, and then test the exception.

IN HISTORY

Adam Smith, *An Inquiry into the Nature and Causes of the Wealth of Nations*, 1776: the pin-making example of workers who specialise and exchange. Search hint: Adam Smith pin factory 1776 division of labour.. The historical example is useful because it places the business principle in time and gives the reader a concrete setting. It should not be treated as evidence for facts that are not stated in the chapter.

REVIEW QUESTIONS

1.R1 sort a student's week of spending into needs and wants and say why the sorting is hard

1.R2 explain exchange using two villagers who each make one thing

1.R3 name the branch of business for a printing press, a wholesaler and an insurer

1.R4 explain why money received and profit are different amounts

1.R5 a tea stall owner could earn more by selling only cold drinks, yet her neighbours rely on hot tea, so weigh profit against service and decide

PAUSE AND CHECK 1.P1 after the passage on needs and wants, and after the passage separating trade, commerce and industry

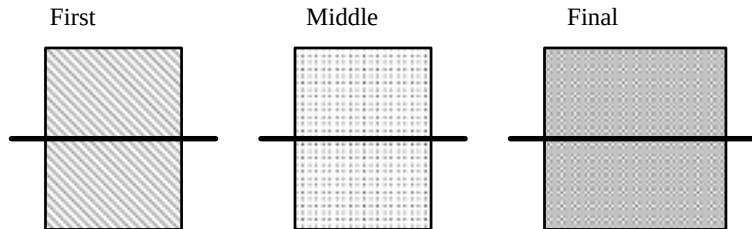
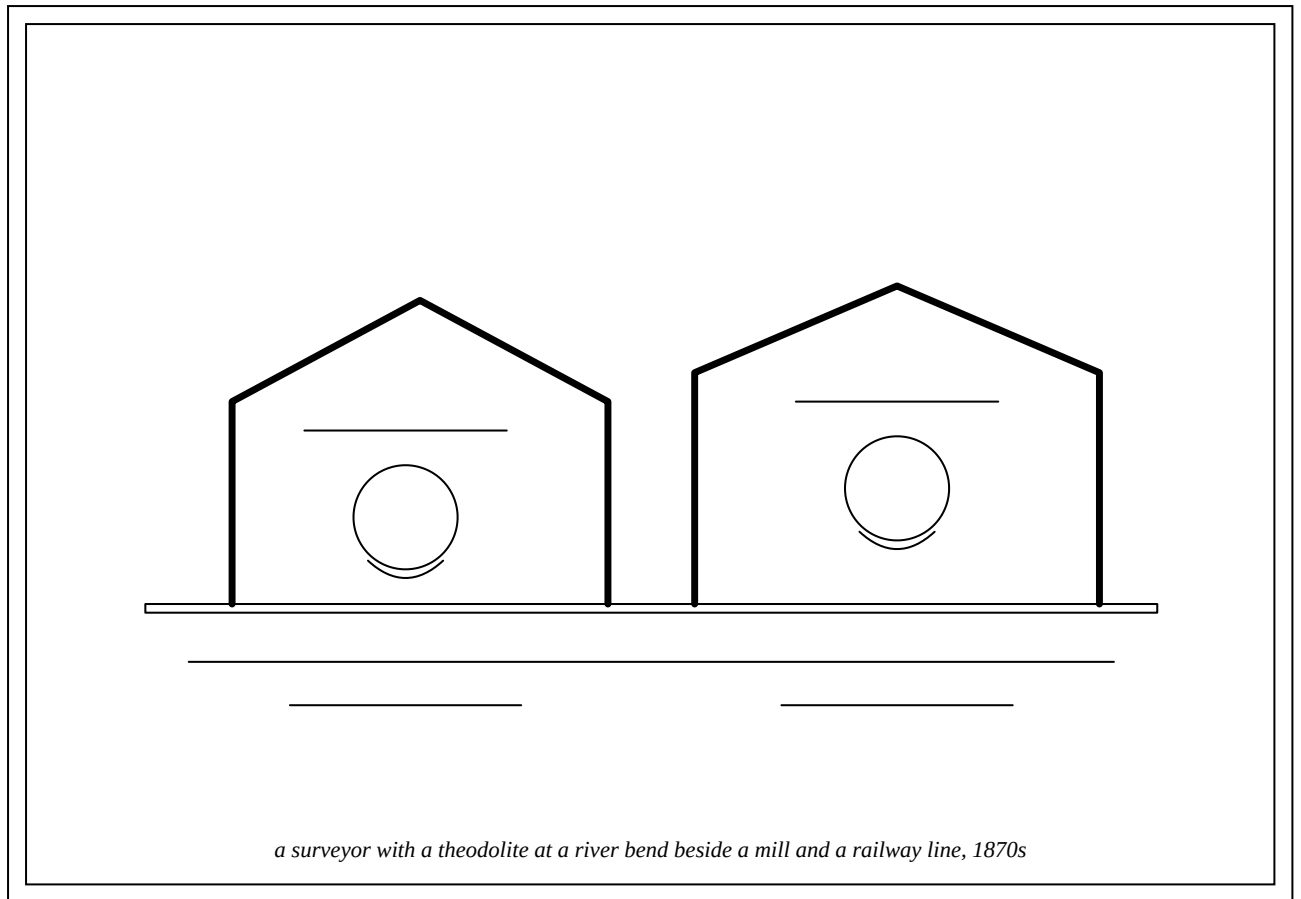


FIG. 1.1. the chain from maker to trader to customer, with the helping services (transport, storage, banking, insurance, advertising) drawn beside it

The chapter points to: Chapter 2, 'Resources, Location and Environment', section 2.1 'The Factors of Production' — the resources that every business uses to make or sell; Chapter 12, 'Institutions and Business Combination', section 12.1 'Institutions That Promote Business' — bodies that support trade and industry. These references are reminders of where a related idea is developed; they do not introduce a new definition here.

Cross-references connect this chapter to related ideas elsewhere in the book.



CHAPTER II

Resources, Location and Environment

How does the business idea become a workable decision?



Teach the resources every business draws on, how a business chooses where to operate, and how the world around it shapes what it can do. The chapter builds the idea from ordinary experience to business practice.

Earlier ideas needed for this chapter are named before they are used.

The Factors of Production begins with a concrete question before the rule is stated.

Factors of production. the resources a business must combine to make or sell anything: land, labour, capital and the entrepreneur

The definition gives the boundary of factors of production before the example is applied.

Capital. the money and the man-made means of production, such as tools, stock and buildings, used to earn more

The definition gives the boundary of capital before the example is applied.

Plant. the factory, machinery and equipment that a business uses to make its goods

The definition gives the boundary of plant before the example is applied.

External environment. the forces outside the business that it cannot control but must respond to

The definition gives the boundary of external environment before the example is applied.

The paragraph connects the idea to a practical business question.

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The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

You will need: Chapter 1, 'What Business Is, Does and Aims For', section 1.2 'What a Business Is' and section 1.3 'Trade, Commerce and Industry'

2.1 THE FACTORS OF PRODUCTION

Suppose you are looking at a business that must make a decision about the factors of production. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Factors of production** means the resources a business must combine to make or sell anything: land, labour, capital and the entrepreneur. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Capital** means the money and the man-made means of production, such as tools, stock and buildings, used to earn more. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Plant** means the factory, machinery and equipment that a business uses to make its goods. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **External environment** means the forces outside the business that it cannot control but must respond to. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in The Factors of Production is what the four factors of production and the reward each earns changes in an ordinary business decision.

The answer begins with the definition: The four factors of production and the reward each earns. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in The Factors of Production is what how the factors are combined by the entrepreneur changes in an ordinary business decision.

The answer begins with the definition: How the factors are combined by the entrepreneur. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business

meaning. This is the point to carry into the next example in The Factors of Production.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in The Factors of Production.

The section keeps the distinction practical and testable.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in The Factors of Production.

The section keeps the distinction practical and testable.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in The Factors of Production.

The section keeps the distinction practical and testable.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in The Factors of Production.

The section keeps the distinction practical and testable.

Case file, illustrative. Carried forward. Meghna and Sons opened on 4 January 2015 with start-up money of Tk 158,000 and monthly shop rent of Tk 9,000. Factors in the shop: land is the rented room (rent Tk 9,000 a month, advance paid to the landlord Tk 30,000); labour is Rafiq Uddin Mia and one helper, Mahbub, employed from 1 February 2015 at Tk 6,000 a month; capital is the Tk 158,000; Rafiq acts as entrepreneur. Location choice made in December 2014, three sites compared: Site A near a college: rent Tk 9,000, advance Tk 30,000, about 1,200 passers-by a day; Site B in a wholesale lane: rent Tk 14,000, advance Tk 56,000, about 2,000 passers-by a day; Site C in a residential lane: rent Tk 5,000, advance Tk 15,000, about 300 passers-by a day. Rent per 100 daily passers-by: Site A Tk 750, Site B Tk 700, Site C Tk 1,667 (to the nearest taka). Rafiq chose Site A because Site B's advance of Tk 56,000 was more than a third of his Tk 158,000 and its rent was Tk 5,000 higher. Environment events: on 2 January 2017 the education board changed the prescribed textbooks for three school classes, leaving 60 titles unsellable; average monthly sales were Tk 200,000 in 2017 and Tk 170,000 in 2018, a fall of 15% after an online bookstore began delivering in Dhaka; from March 2019 the helper delivered orders by bicycle for Tk 30 an order.

The running case applies the section's rule to recorded facts.

* * *

Before moving on. The Factors of Production can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

The section recap gathers the main point before the next section.

2.2 CHOOSING A LOCATION

Suppose you are looking at a business that must make a decision about choosing a location. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved,

Choosing a Location begins with a concrete question before the rule is stated.

Land. all natural resources and the ground itself, including soil, water, minerals and the site of a shop

The definition gives the boundary of land before the example is applied.

Entrepreneur. the person who combines the other resources, takes the risk and organises a business to meet a need

The definition gives the boundary of entrepreneur before the example is applied.

Environment. everything outside and around a business that can affect it, and everything inside that it controls

The definition gives the boundary of environment before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

and what result is expected. Only after that should the formal business term be used.

The word **Land** means all natural resources and the ground itself, including soil, water, minerals and the site of a shop. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Entrepreneur** means the person who combines the other resources, takes the risk and organises a business to meet a need. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Environment** means everything outside and around a business that can affect it, and everything inside that it controls. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Choosing a Location is what the forces that shape where a business sets up, and how to weigh them changes in an ordinary business decision.

The answer begins with the definition: The forces that shape where a business sets up, and how to weigh them. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Choosing a Location.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Choosing a Location.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Choosing a Location.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Choosing a Location.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Choosing a Location.

* * *

Before moving on. Choosing a Location can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

The section recap gathers the main point before the next section.

2.3 THE BUSINESS ENVIRONMENT

Suppose you are looking at a business that must make a decision about the business environment. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The Business Environment begins with a concrete question before the rule is stated.

The word **Labour** means the physical and mental effort that people give to producing goods or services. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

Labour. the physical and mental effort that people give to producing goods or services

The definition gives the boundary of labour before the example is applied.

The word **Location** means the place where a business carries out its work, chosen from the available sites. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

Location. the place where a business carries out its work, chosen from the available sites

The definition gives the boundary of location before the example is applied.

The word **Internal environment** means the parts of the environment that the business controls: owners, managers, employees, methods and resources. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

Internal environment. the parts of the environment that the business controls: owners, managers, employees, methods and resources

The definition gives the boundary of internal environment before the example is applied.

The useful question in The Business Environment is what internal and external environment, and how a business and its surroundings affect each other changes in an ordinary business decision.

The paragraph connects the idea to a practical business question.

The answer begins with the definition: Internal and external environment, and how a business and its surroundings affect each other. This gives the idea a boundary, so it can be distinguished from nearby ideas.

The paragraph connects the idea to a practical business question.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The paragraph connects the idea to a practical business question.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in The Business Environment.

The section keeps the distinction practical and testable.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in The Business Environment.

The section keeps the distinction practical and testable.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in The Business Environment.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in The Business Environment.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in The Business Environment.

Case file, illustrative. Carried forward. Meghna and Sons opened on 4 January 2015 with start-up money of Tk 158,000 and monthly shop rent of Tk 9,000. Factors in the shop: land is the rented room (rent Tk 9,000 a month, advance paid to the landlord Tk 30,000); labour is Rafiq Uddin Mia and one helper, Mahbub, employed from 1 February 2015 at Tk 6,000 a month; capital is the Tk 158,000; Rafiq acts as entrepreneur. Location choice made in December 2014, three sites compared: Site A near a college: rent Tk 9,000, advance Tk 30,000, about 1,200 passers-by a day; Site B in a wholesale lane: rent Tk 14,000, advance Tk 56,000, about 2,000 passers-by a day; Site C in a residential lane: rent Tk 5,000, advance Tk 15,000, about 300 passers-by a day. Rent per 100 daily passers-by: Site A Tk 750, Site B Tk 700, Site C Tk 1,667 (to the nearest taka). Rafiq chose Site A because Site B's advance of Tk 56,000 was more than a third of his Tk 158,000 and its rent was Tk 5,000 higher. Environment events: on 2 January 2017 the education board changed the prescribed textbooks for three school classes, leaving 60 titles unsellable; average monthly sales were Tk 200,000 in 2017 and Tk 170,000 in 2018, a fall of 15% after an online bookstore began delivering in Dhaka; from March 2019 the helper delivered orders by bicycle for Tk 30 an order.

* * *

The section recap gathers the main point before the next section.

Before moving on. The Business Environment can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

WORKED CASE

A worked case shows how the chapter's ideas can be applied without turning the case into a story.

Situation. The documented running case contains recorded facts relevant to this chapter.

The running case applies the section's rule to recorded facts.

Case file, illustrative. Carried forward. Meghna and Sons opened on 4 January 2015 with start-up money of Tk 158,000 and monthly shop rent of Tk 9,000. Factors in the shop: land is the rented room (rent Tk 9,000 a month, advance paid to the landlord Tk 30,000); labour is Rafiq Uddin Mia and one helper, Mahbub, employed from 1 February 2015 at Tk 6,000 a month; capital is the Tk 158,000; Rafiq acts as entrepreneur. Location choice made in December 2014, three sites compared: Site A near a college: rent Tk 9,000, advance Tk 30,000, about 1,200 passers-by a day; Site B in a wholesale lane: rent Tk 14,000, advance Tk 56,000, about 2,000 passers-by a day; Site C in a residential lane: rent Tk 5,000, advance Tk 15,000, about 300 passers-by a day. Rent per 100 daily passers-by: Site A Tk 750, Site B Tk 700, Site C Tk 1,667 (to the nearest taka). Rafiq chose Site A because Site B's advance of Tk 56,000 was more than a third of his Tk 158,000 and its rent was Tk 5,000 higher. Environment events: on

2 January 2017 the education board changed the prescribed textbooks for three school classes, leaving 60 titles unsellable; average monthly sales were Tk 200,000 in 2017 and Tk 170,000 in 2018, a fall of 15% after an online bookstore began delivering in Dhaka; from March 2019 the helper delivered orders by bicycle for Tk 30 an order.

Question. Which chapter idea best describes the recorded facts? Reasoning. Identify the relevant term, match it to the facts, and distinguish what is recorded from what would need further evidence. Conclusion. The rule can be applied only to the facts that satisfy its definition. Check. Change one fact and ask whether the same rule still applies.

The question is tested by the rule rather than by invented assumptions.

SUMMARY

The central pattern is to identify the business situation, name the relevant idea, apply its rule, and then check its limits. The running case shows how the same principles operate in a recorded business setting. The definitions provide the vocabulary needed to make the distinctions precise.

The chapter's main ideas can be recalled as a connected set rather than as isolated terms.

THINK IT THROUGH

2.T1 name the four factors and the reward each one earns

2.T2 list the forces that shape a location and say which matter most for a shop and which for a factory

2.T3 separate a business's internal from its external environment, with an example of each

2.T4 explain how a business can respond to a change it cannot control

2.T5 a bakery can rent a roadside plot at Tk 18,000 a month with 2,400 daily passers-by, or an inner lane plot at Tk 7,000 with 500, and has Tk 120,000 to start, so compare rent per 100 passers-by and decide

These questions test the ideas by changing the situation or asking for a distinction.

WHERE PEOPLE GO WRONG

One common error is to use a familiar word without checking its business meaning. Another is to apply a rule before identifying the facts that make the rule relevant. A third is to treat an example as proof that every business must behave in the same way. The correction in each case is to return to the definition, state the facts, apply the rule, and then test the exception.

Most errors arise when a related idea is treated as if it were identical.

IN HISTORY

Tata Iron and Steel Company, 1907: the search for a site with ore, coal and water that ended at Sakchi, later Jamshedpur, India. Search hint: Tata Steel Sakchi site selection 1907 Jamshedpur.. The historical example is useful because it places the business principle in time and gives the reader a concrete setting. It should not be treated as evidence for facts that are not stated in the chapter.

The historical case shows how the chapter's ideas appeared in a documented setting.

REVIEW QUESTIONS

2.R1 name the four factors and the reward each one earns

The review questions return to the same ideas in a direct form.

2.R2 list the forces that shape a location and say which matter most for a shop and which for a factory

2.R3 separate a business's internal from its external environment, with an example of each

2.R4 explain how a business can respond to a change it cannot control

2.R5 a bakery can rent a roadside plot at Tk 18,000 a month with 2,400 daily passers-by, or an inner lane plot at Tk 7,000 with 500, and has Tk 120,000 to start, so compare rent per 100 passers-by and decide

PAUSE AND CHECK 2.P1 after the four factors, and after the split between internal and external environment

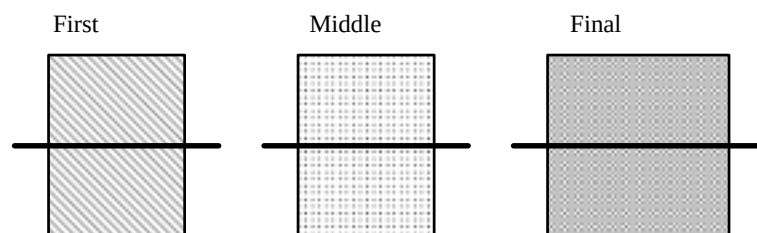
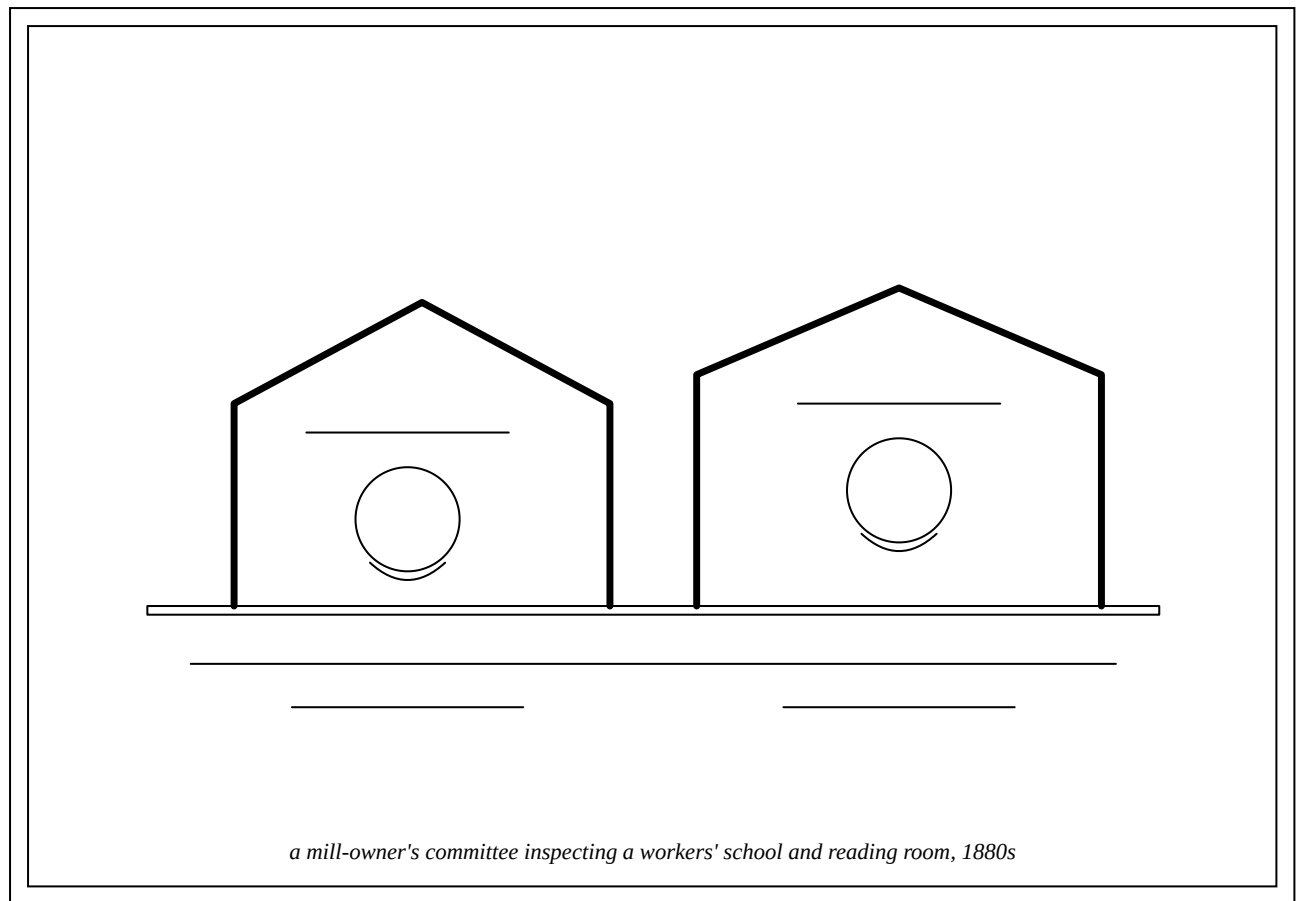


FIG. 2.1. *a business at the centre with the internal group (owner, helper, resources) close in and the outside forces (customers, rivals, government, technology, economy, society) in a ring around it*

Cross-references connect this chapter to related ideas elsewhere in the book.

The chapter points to: Chapter 1, 'What Business Is, Does and Aims For', section 1.2 'What a Business Is' — the idea of business that these resources serve; Chapter 3, 'Social Responsibility of Business', section 3.1 'Meaning and Importance of Responsibility' — the society that is part of the external environment. These references are reminders of where a related idea is developed; they do not introduce a new definition here.



CHAPTER III

Social Responsibility of Business

How does the business idea become a workable decision?



Explain why a business owes duties beyond profit, to whom it owes them, and how a reader can recognise a responsible business. The chapter builds the idea from ordinary experience to business practice.

Earlier ideas needed for this chapter are named before they are used.

You will need: Chapter 1, 'What Business Is, Does and Aims For', section 1.4 'Features, Functions and Aims of Business'; Chapter 2, 'Resources, Location and Environment', section 2.3 'The Business Environment'

3.1 MEANING AND IMPORTANCE OF RESPONSIBILITY

Meaning and Importance of Responsibility begins with a concrete question before the rule is stated.

Suppose you are looking at a business that must make a decision about meaning and importance of responsibility. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

Social responsibility. the duty of a business to act in ways that benefit society as well as itself

The word **Social responsibility** means the duty of a business to act in ways that benefit society as well as itself. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The definition gives the boundary of social responsibility before the example is applied.

The word **Investor** means a person or organisation that puts money into a business in the hope of getting more money back. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

Investor. a person or organisation that puts money into a business in the hope of getting more money back

The definition gives the boundary of investor before the example is applied.

The useful question in Meaning and Importance of Responsibility is what social responsibility and the reasons it matters, including how it fits with the aim of profit changes in an ordinary business decision.

The paragraph connects the idea to a practical business question.

The answer begins with the definition: Social responsibility and the reasons it matters, including how it fits with the aim of profit. This gives the idea a boundary, so it can be distinguished from nearby ideas.

The paragraph connects the idea to a practical business question.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The paragraph connects the idea to a practical business question.

The useful question in Meaning and Importance of Responsibility is what stakeholders and the idea of duties to each changes in an ordinary business decision.

The paragraph connects the idea to a practical business question.

The answer begins with the definition: Stakeholders and the idea of duties to each. This gives the idea a boundary, so it can be distinguished from nearby ideas.

The paragraph connects the idea to a practical business question.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The paragraph connects the idea to a practical business question.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Meaning and Importance of Responsibility.

The section keeps the distinction practical and testable.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Meaning and Importance of Responsibility.

The section keeps the distinction practical and testable.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into

The section keeps the distinction practical and testable.

the rule. This is the point to carry into the next example in Meaning and Importance of Responsibility.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Meaning and Importance of Responsibility.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Meaning and Importance of Responsibility.

Case file, illustrative. Carried forward. In 2019 Meghna and Sons had average monthly sales of Tk 190,000, so annual sales were Tk 2,280,000 ($190,000 \times 12$). The helper, Mahbub, earned Tk 8,000 a month and received a festival bonus of one month's wage at each of two festivals, Tk 16,000 in the year ($8,000 \times 2$). The shop paid its main supplier, a publisher called Alo Prokashoni (illustrative), within the agreed 45 days; the invoice of Tk 84,000 dated 1 June 2019 was paid on 15 July 2019, on day 44. On 1 March 2019 Rafiq Uddin Mia borrowed Tk 60,000 from a bank at 10% a year, so yearly interest was Tk 6,000. On 10 December 2019 the shop gave 1% of the year's sales, Tk 22,800 ($2,280,000 \times 1/100$), to the library of a primary school. The shop has no outside investor; the bank is its only lender.

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Before moving on. Meaning and Importance of Responsibility can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

The section recap gathers the main point before the next section.

3.2 RESPONSIBILITY TO SOCIETY, SUPPLIERS AND INVESTORS

Suppose you are looking at a business that must make a decision about responsibility to society, suppliers and investors. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Stakeholder** means any person or group affected by a business or able to affect it, such as customers or neighbours. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Business ethics** means the standards of right and wrong that guide how a business treats people and makes decisions. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Responsibility to Society, Suppliers and Investors is what duties to society, suppliers and investors changes in an ordinary business decision.

Responsibility to Society, Suppliers and Investors begins with a concrete question before the rule is stated.

Stakeholder. any person or group affected by a business or able to affect it, such as customers or neighbours

The definition gives the boundary of stakeholder before the example is applied.

Business ethics. the standards of right and wrong that guide how a business treats people and makes decisions

The definition gives the boundary of business ethics before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section recap gathers the main point before the next section.

Recognising a Responsible Organisation begins with a concrete question before the rule is stated.

The answer begins with the definition: Duties to society, suppliers and investors. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Responsibility to Society, Suppliers and Investors is what business ethics in everyday decisions changes in an ordinary business decision.

The answer begins with the definition: Business ethics in everyday decisions. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Responsibility to Society, Suppliers and Investors.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Responsibility to Society, Suppliers and Investors.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Responsibility to Society, Suppliers and Investors.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Responsibility to Society, Suppliers and Investors.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Responsibility to Society, Suppliers and Investors.

* * *

Before moving on. Responsibility to Society, Suppliers and Investors can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

3.3 RECOGNISING A RESPONSIBLE ORGANISATION

Suppose you are looking at a business that must make a decision about recognising a responsible organisation. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Supplier** means a person or business that sells the goods, materials or services that another business needs. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Recognising a Responsible Organisation is what signs that a business is acting responsibly changes in an ordinary business decision.

The answer begins with the definition: Signs that a business is acting responsibly. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Recognising a Responsible Organisation.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Recognising a Responsible Organisation.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Recognising a Responsible Organisation.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Recognising a Responsible Organisation.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Recognising a Responsible Organisation.

Case file, illustrative. Carried forward. In 2019 Meghna and Sons had average monthly sales of Tk 190,000, so annual sales were Tk 2,280,000 ($190,000 \times 12$). The helper, Mahbub, earned Tk 8,000 a month and received a festival bonus of one month's wage at each of two festivals, Tk 16,000 in the year ($8,000 \times 2$). The shop paid its main supplier, a publisher called Alo Prokashoni (illustrative), within the agreed 45 days; the invoice of Tk 84,000 dated 1 June 2019 was paid on 15 July 2019, on day 44. On 1 March 2019 Rafiq Uddin Mia borrowed Tk 60,000 from a bank at 10% a year, so yearly interest was Tk 6,000. On 10 December 2019 the shop gave 1% of the year's sales, Tk 22,800 ($2,280,000 \times 1/100$), to the library of a primary school. The shop has no outside investor; the bank is its only lender.

Supplier. a person or business that sells the goods, materials or services that another business needs

The definition gives the boundary of supplier before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

The section recap gathers the main point before the next section.

The rule becomes more useful when the surrounding conditions are made explicit.

A second test is to ask what the idea does not include.

The principle can also be viewed from different positions.

A final application should return to the evidence.

A worked case shows how the chapter's ideas can be applied without turning the case into a story.

The running case applies the section's rule to recorded facts.

The question is tested by the rule rather than by invented assumptions.

The chapter's main ideas can be recalled as a connected set rather than as isolated terms.

Before moving on. Recognising a Responsible Organisation can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

A business decision is affected by the setting in which it is made. The same form of ownership, resource choice, responsibility, or market arrangement can have different consequences when the people, law, money, or purpose changes. The reader should therefore state the relevant conditions before applying the rule. This is not an extra complication; it is part of using the definition accurately.

Definitions are useful because they separate one idea from another. A supplier is not the same as an investor, a shareholder is not the same as a manager, and a business decision is not the same as its eventual result. When two terms appear together, ask what question each term answers. That question often reveals the boundary more quickly than memorising a longer description.

An owner may focus on control and risk. A manager may focus on workable procedures. An employee may focus on duties and conditions. A customer may focus on price, quality, and service. These viewpoints do not change the definition of a term. They help the reader see why the same business arrangement can matter to several groups at once.

Before accepting a conclusion, identify the figures, dates, people, and decisions that support it. Then separate those facts from assumptions. If the evidence is incomplete, the conclusion should remain limited to what the evidence supports. This habit is especially important when a business case crosses different forms of ownership, institutions, countries, or periods.

WORKED CASE

Situation. The documented running case contains recorded facts relevant to this chapter.

Case file, illustrative. Carried forward. In 2019 Meghna and Sons had average monthly sales of Tk 190,000, so annual sales were Tk 2,280,000 ($190,000 \times 12$). The helper, Mahbub, earned Tk 8,000 a month and received a festival bonus of one month's wage at each of two festivals, Tk 16,000 in the year ($8,000 \times 2$). The shop paid its main supplier, a publisher called Alo Prokashoni (illustrative), within the agreed 45 days; the invoice of Tk 84,000 dated 1 June 2019 was paid on 15 July 2019, on day 44. On 1 March 2019 Rafiq Uddin Mia borrowed Tk 60,000 from a bank at 10% a year, so yearly interest was Tk 6,000. On 10 December 2019 the shop gave 1% of the year's sales, Tk 22,800 ($2,280,000 \times 1/100$), to the library of a primary school. The shop has no outside investor; the bank is its only lender.

Question. Which chapter idea best describes the recorded facts? Reasoning. Identify the relevant term, match it to the facts, and distinguish what is recorded from what would need further evidence. Conclusion. The rule can be applied only to the facts that satisfy its definition. Check. Change one fact and ask whether the same rule still applies.

SUMMARY

The central pattern is to identify the business situation, name the relevant idea, apply its rule, and then check its limits. The running case shows how the same

principles operate in a recorded business setting. The definitions provide the vocabulary needed to make the distinctions precise.

THINK IT THROUGH

- 3.T1 say in your own words what social responsibility means and give two reasons it matters
- 3.T2 name five stakeholders of a restaurant and the duty owed to each
- 3.T3 explain what a business owes a supplier and what it owes an investor
- 3.T4 list three signs of a responsible business
- 3.T5 a printer offers books at 12% less, but its workers have no safety equipment, so weigh cost against duty and give a decision with reasons

These questions test the ideas by changing the situation or asking for a distinction.

WHERE PEOPLE GO WRONG

One common error is to use a familiar word without checking its business meaning. Another is to apply a rule before identifying the facts that make the rule relevant. A third is to treat an example as proof that every business must behave in the same way. The correction in each case is to return to the definition, state the facts, apply the rule, and then test the exception.

Most errors arise when a related idea is treated as if it were identical.

IN HISTORY

The collapse of the Rana Plaza building at Savar, Bangladesh, on 24 April 2013, and the building and fire safety agreement signed by buyers and unions in May 2013. Search hint: Rana Plaza collapse 2013 Accord on Fire and Building Safety.. The historical example is useful because it places the business principle in time and gives the reader a concrete setting. It should not be treated as evidence for facts that are not stated in the chapter.

The historical case shows how the chapter's ideas appeared in a documented setting.

REVIEW QUESTIONS

- 3.R1 say in your own words what social responsibility means and give two reasons it matters
- 3.R2 name five stakeholders of a restaurant and the duty owed to each
- 3.R3 explain what a business owes a supplier and what it owes an investor
- 3.R4 list three signs of a responsible business
- 3.R5 a printer offers books at 12% less, but its workers have no safety equipment, so weigh cost against duty and give a decision with reasons

The review questions return to the same ideas in a direct form.

PAUSE AND CHECK 3.P1 after the definition of stakeholder, and after the passage on duties to suppliers

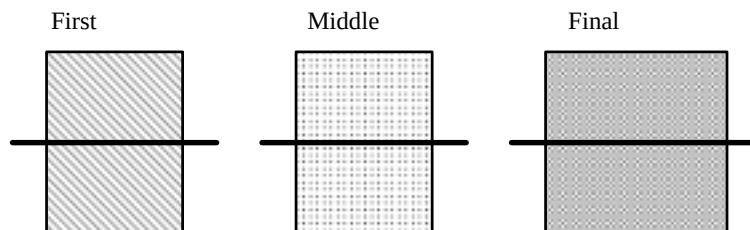
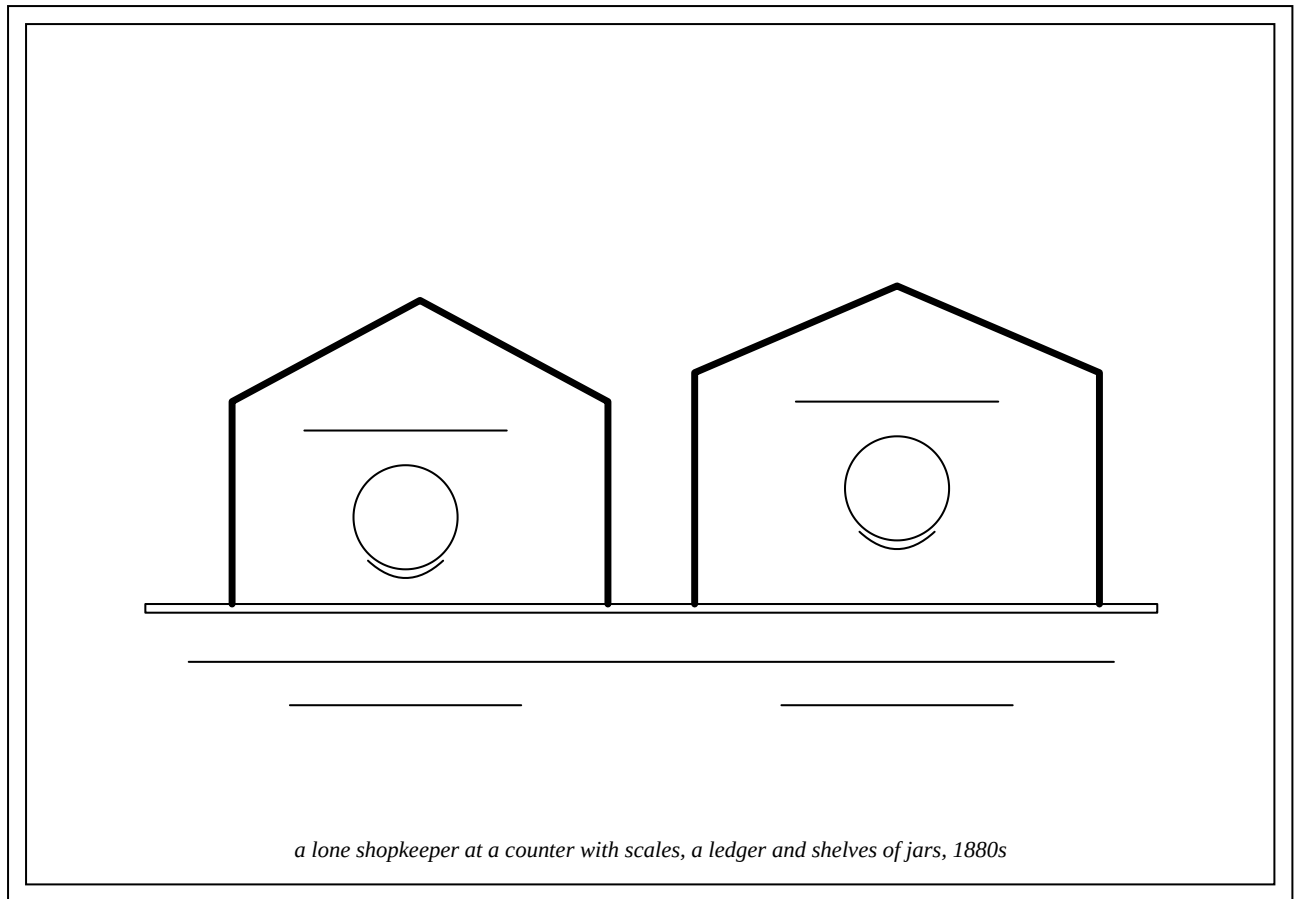


FIG. 3.1. *a business in the middle with arrows to customers, employees, suppliers, lenders, owners and the community, each arrow labelled with the duty owed*

Cross-references connect this chapter to related ideas elsewhere in the book.

The chapter points to: Chapter 2, 'Resources, Location and Environment', section 2.3 'The Business Environment' — the society and the economy as outside forces; Chapter 4, 'Ways to Own a Business, and the Sole Proprietor', section 4.1 'Why the Form of Ownership Matters' — who answers for the business. These references are reminders of where a related idea is developed; they do not introduce a new definition here.



CHAPTER IV

Ways to Own a Business, and the Sole Proprietor

How does the business idea become a workable decision?



Show why the form of ownership matters, teach limited and unlimited liability, and explain the sole proprietorship with its strengths and limits. The chapter builds the idea from ordinary experience to business practice.

Earlier ideas needed for this chapter are named before they are used.

Why the Form of Ownership Matters begins with a concrete question before the rule is stated.

Liability. the duty to pay what the business owes, whether to a supplier, a lender or an employee

The definition gives the boundary of liability before the example is applied.

Legal person. an organisation that the law treats as separate from its owners, able to own property and make contracts

The definition gives the boundary of legal person before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

You will need: Chapter 1, 'What Business Is, Does and Aims For', section 1.2 'What a Business Is'; Chapter 3, 'Social Responsibility of Business', section 3.2 'Responsibility to Society, Suppliers and Investors'

4.1 WHY THE FORM OF OWNERSHIP MATTERS

Suppose you are looking at a business that must make a decision about why the form of ownership matters. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Liability** means the duty to pay what the business owes, whether to a supplier, a lender or an employee. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Legal person** means an organisation that the law treats as separate from its owners, able to own property and make contracts. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Why the Form of Ownership Matters is what liability, unlimited and limited, and who bears a business's losses changes in an ordinary business decision.

The answer begins with the definition: Liability, unlimited and limited, and who bears a business's losses. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Why the Form of Ownership Matters is what the main forms of ownership and the legal person changes in an ordinary business decision.

The answer begins with the definition: The main forms of ownership and the legal person. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Why the Form of Ownership Matters.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Why the Form of Ownership Matters.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into

the rule. This is the point to carry into the next example in Why the Form of Ownership Matters.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Why the Form of Ownership Matters.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Why the Form of Ownership Matters.

Case file, illustrative. Carried forward. Meghna and Sons is a sole proprietorship owned by Rafiq Uddin Mia, with a bank loan of Tk 60,000 taken on 1 March 2019. Position on 31 December 2019: assets Tk 400,000 (stock Tk 310,000 and other assets Tk 90,000); debts Tk 180,000 (owed to suppliers Tk 120,000 and to the bank Tk 60,000); the owner's own stake was therefore Tk 220,000 (400,000 - 180,000). The shop was closed for nine weeks in 2020. Position on 31 December 2020: assets Tk 380,000; debts Tk 430,000 (owed to suppliers Tk 370,000 and to the bank Tk 60,000); debts exceeded assets by Tk 50,000 (430,000 - 380,000). On 15 January 2021 Rafiq paid the Tk 50,000 shortfall from his personal savings. The shop's trade licence (illustrative number TL-2015-0417) was issued on 20 December 2014 and has been renewed each year.

* * *

Before moving on. Why the Form of Ownership Matters can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

The section recap gathers the main point before the next section.

4.2 SOLE PROPRIETORSHIP

Suppose you are looking at a business that must make a decision about sole proprietorship. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Unlimited liability** means the owner must pay all the business's debts, using personal property if the business cannot. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Sole proprietorship** means a business owned, financed and run by one person who keeps all profit and bears all loss. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Sole Proprietorship is what sole proprietorship: meaning, features, strengths, limits and suitable fields changes in an ordinary business decision.

Sole Proprietorship begins with a concrete question before the rule is stated.

Unlimited liability. the owner must pay all the business's debts, using personal property if the business cannot

The definition gives the boundary of unlimited liability before the example is applied.

Sole proprietorship. a business owned, financed and run by one person who keeps all profit and bears all loss

The definition gives the boundary of sole proprietorship before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section recap gathers the main point before the next section.

Comparing the Forms begins with a concrete question before the rule is stated.

The answer begins with the definition: Sole proprietorship: meaning, features, strengths, limits and suitable fields. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Sole Proprietorship is what formation of a sole proprietorship and why it survives beside large businesses changes in an ordinary business decision.

The answer begins with the definition: Formation of a sole proprietorship and why it survives beside large businesses. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Sole Proprietorship.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Sole Proprietorship.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Sole Proprietorship.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Sole Proprietorship.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Sole Proprietorship.

* * *

Before moving on. Sole Proprietorship can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

4.3 COMPARING THE FORMS

Suppose you are looking at a business that must make a decision about comparing the forms. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Limited liability** means the owner can lose only the money put into the business, and personal property stays safe. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Trade licence** means official permission, given by a local authority, to carry on a particular business in a particular place. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Comparing the Forms is what a first comparison of the forms on owner, money, risk and control changes in an ordinary business decision.

The answer begins with the definition: A first comparison of the forms on owner, money, risk and control. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Comparing the Forms.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Comparing the Forms.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Comparing the Forms.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Comparing the Forms.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Comparing the Forms.

Case file, illustrative. Carried forward. Meghna and Sons is a sole proprietorship owned by Rafiq Uddin Mia, with a bank loan of Tk 60,000 taken on 1 March 2019. Position on 31 December 2019: assets Tk 400,000 (stock Tk 310,000 and other assets Tk 90,000); debts Tk 180,000 (owed to suppliers Tk 120,000 and to the bank Tk 60,000); the owner's own stake was therefore Tk 220,000 (400,000 - 180,000). The shop was closed for nine weeks in 2020.

Limited liability. the owner can lose only the money put into the business, and personal property stays safe

The definition gives the boundary of limited liability before the example is applied.

Trade licence. official permission, given by a local authority, to carry on a particular business in a particular place

The definition gives the boundary of trade licence before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

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The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

Position on 31 December 2020: assets Tk 380,000; debts Tk 430,000 (owed to suppliers Tk 370,000 and to the bank Tk 60,000); debts exceeded assets by Tk 50,000 (430,000 - 380,000). On 15 January 2021 Rafiq paid the Tk 50,000 shortfall from his personal savings. The shop's trade licence (illustrative number TL-2015-0417) was issued on 20 December 2014 and has been renewed each year.

* * *

The section recap gathers the main point before the next section.

The rule becomes more useful when the surrounding conditions are made explicit.

A second test is to ask what the idea does not include.

The principle can also be viewed from different positions.

A final application should return to the evidence.

A worked case shows how the chapter's ideas can be applied without turning the case into a story.

The running case applies the section's rule to recorded facts.

The question is tested by the rule rather than by invented assumptions.

Before moving on. Comparing the Forms can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

A business decision is affected by the setting in which it is made. The same form of ownership, resource choice, responsibility, or market arrangement can have different consequences when the people, law, money, or purpose changes. The reader should therefore state the relevant conditions before applying the rule. This is not an extra complication; it is part of using the definition accurately.

Definitions are useful because they separate one idea from another. A supplier is not the same as an investor, a shareholder is not the same as a manager, and a business decision is not the same as its eventual result. When two terms appear together, ask what question each term answers. That question often reveals the boundary more quickly than memorising a longer description.

An owner may focus on control and risk. A manager may focus on workable procedures. An employee may focus on duties and conditions. A customer may focus on price, quality, and service. These viewpoints do not change the definition of a term. They help the reader see why the same business arrangement can matter to several groups at once.

Before accepting a conclusion, identify the figures, dates, people, and decisions that support it. Then separate those facts from assumptions. If the evidence is incomplete, the conclusion should remain limited to what the evidence supports. This habit is especially important when a business case crosses different forms of ownership, institutions, countries, or periods.

WORKED CASE

Situation. The documented running case contains recorded facts relevant to this chapter.

Case file, illustrative. Carried forward. Meghna and Sons is a sole proprietorship owned by Rafiq Uddin Mia, with a bank loan of Tk 60,000 taken on 1 March 2019. Position on 31 December 2019: assets Tk 400,000 (stock Tk 310,000 and other assets Tk 90,000); debts Tk 180,000 (owed to suppliers Tk 120,000 and to the bank Tk 60,000); the owner's own stake was therefore Tk 220,000 (400,000 - 180,000). The shop was closed for nine weeks in 2020. Position on 31 December 2020: assets Tk 380,000; debts Tk 430,000 (owed to suppliers Tk 370,000 and to the bank Tk 60,000); debts exceeded assets by Tk 50,000 (430,000 - 380,000). On 15 January 2021 Rafiq paid the Tk 50,000 shortfall from his personal savings. The shop's trade licence (illustrative number TL-2015-0417) was issued on 20 December 2014 and has been renewed each year.

Question. Which chapter idea best describes the recorded facts? Reasoning. Identify the relevant term, match it to the facts, and distinguish what is recorded

from what would need further evidence. Conclusion. The rule can be applied only to the facts that satisfy its definition. Check. Change one fact and ask whether the same rule still applies.

SUMMARY

The central pattern is to identify the business situation, name the relevant idea, apply its rule, and then check its limits. The running case shows how the same principles operate in a recorded business setting. The definitions provide the vocabulary needed to make the distinctions precise.

The chapter's main ideas can be recalled as a connected set rather than as isolated terms.

THINK IT THROUGH

- 4.T1 define liability and say how unlimited differs from limited liability, using one sum of your own
- 4.T2 list four features of a sole proprietorship
- 4.T3 give two fields where it suits and say why
- 4.T4 explain why it survives beside large businesses
- 4.T5 a tailor's assets are Tk 90,000 and her debts Tk 135,000, so say who must pay the gap under each kind of liability and what she might do

These questions test the ideas by changing the situation or asking for a distinction.

WHERE PEOPLE GO WRONG

One common error is to use a familiar word without checking its business meaning. Another is to apply a rule before identifying the facts that make the rule relevant. A third is to treat an example as proof that every business must behave in the same way. The correction in each case is to return to the definition, state the facts, apply the rule, and then test the exception.

Most errors arise when a related idea is treated as if it were identical.

IN HISTORY

The failure of the City of Glasgow Bank in 1878, when shareholders with unlimited liability lost their homes and savings. Search hint: City of Glasgow Bank 1878 collapse unlimited liability shareholders.. The historical example is useful because it places the business principle in time and gives the reader a concrete setting. It should not be treated as evidence for facts that are not stated in the chapter.

The historical case shows how the chapter's ideas appeared in a documented setting.

REVIEW QUESTIONS

- 4.R1 define liability and say how unlimited differs from limited liability, using one sum of your own
- 4.R2 list four features of a sole proprietorship
- 4.R3 give two fields where it suits and say why
- 4.R4 explain why it survives beside large businesses
- 4.R5 a tailor's assets are Tk 90,000 and her debts Tk 135,000, so say who must pay the gap under each kind of liability and what she might do

The review questions return to the same ideas in a direct form.

PAUSE AND CHECK 4.P1 after the definition of unlimited liability, and after the passage on the legal person

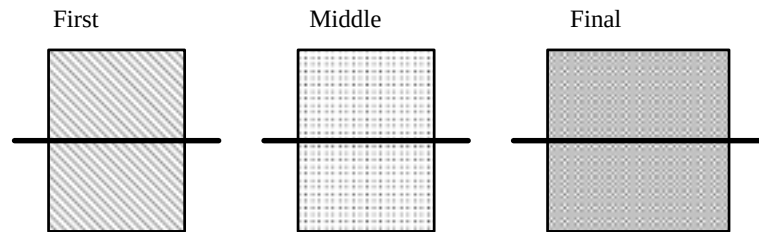
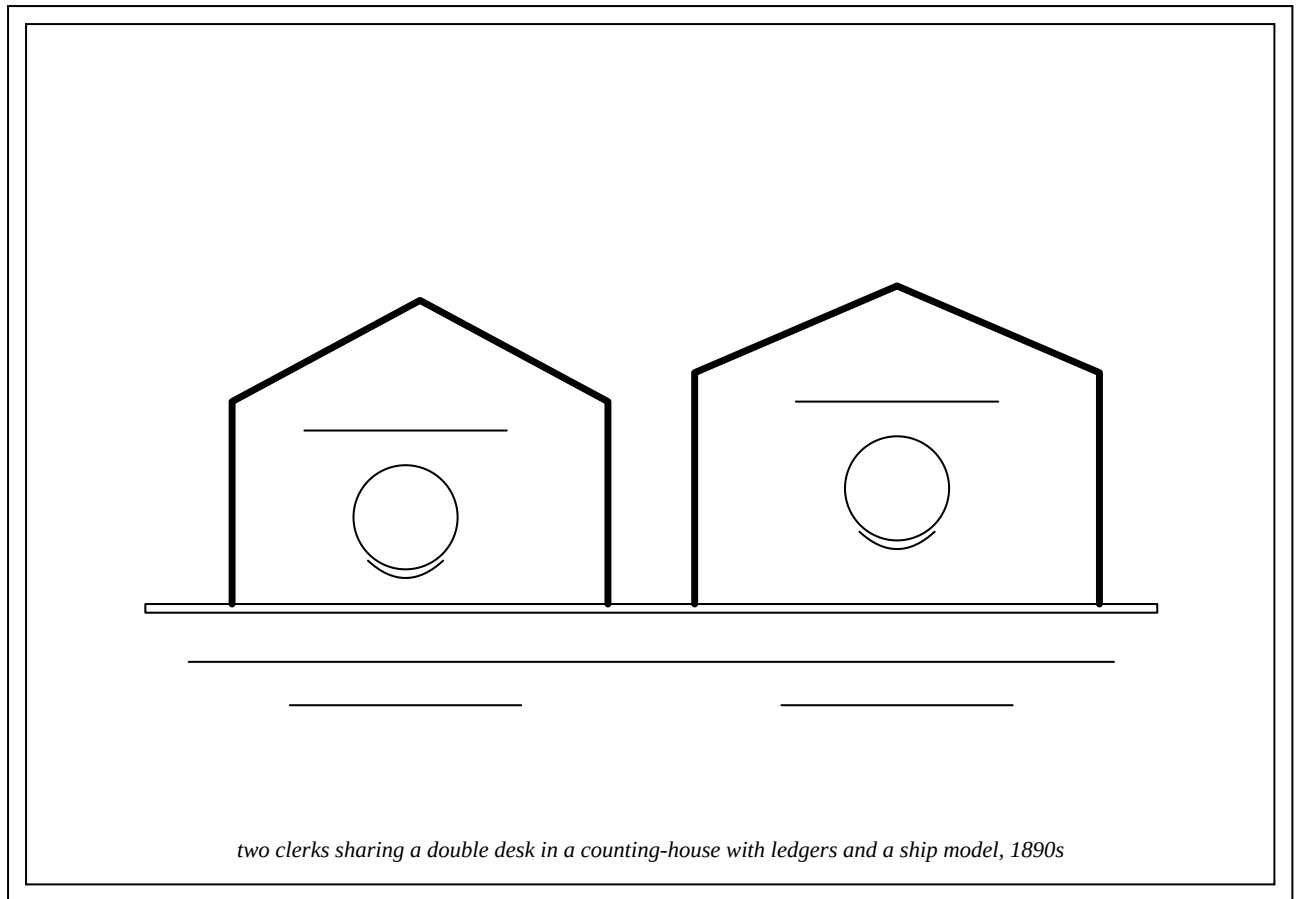


FIG. 4.1. two balance-style drawings of one business whose debts exceed its assets, one showing the shortfall falling on the owner's home and savings, the other stopping at the business

Cross-references connect this chapter to related ideas elsewhere in the book.

The chapter points to: Chapter 3, 'Social Responsibility of Business', section 3.2 'Responsibility to Society, Suppliers and Investors' — the lender and supplier whose claims the owner must meet; Chapter 5, 'Partnership', section 5.1 'The Idea and Types of Partnership' — what changes when two or more people share the business. These references are reminders of where a related idea is developed; they do not introduce a new definition here.



CHAPTER V

Partnership

How does the business idea become a workable decision?



Teach what a partnership is, the kinds of partnership and partner, the duties between partners, and how a partnership ends. The chapter builds the idea from ordinary experience to business practice.

Earlier ideas needed for this chapter are named before they are used.

The Idea and Types of Partnership begins with a concrete question before the rule is stated.

Partnership. a business owned by two or more people who agree to run it together and share its profit

The definition gives the boundary of partnership before the example is applied.

Partnership at will. a partnership with no fixed end date, which any partner can end by giving notice

The definition gives the boundary of partnership at will before the example is applied.

Nominal partner. a person who lends their name to the business and takes no share, yet may still be answerable to outsiders

The definition gives the boundary of nominal partner before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

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The paragraph connects the idea to a practical business question.

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The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

You will need: Chapter 4, 'Ways to Own a Business, and the Sole Proprietor', sections 4.1 'Why the Form of Ownership Matters' and 4.2 'Sole Proprietorship'

5.1 THE IDEA AND TYPES OF PARTNERSHIP

Suppose you are looking at a business that must make a decision about the idea and types of partnership. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Partnership** means a business owned by two or more people who agree to run it together and share its profit. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Partnership at will** means a partnership with no fixed end date, which any partner can end by giving notice. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Nominal partner** means a person who lends their name to the business and takes no share, yet may still be answerable to outsiders. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in The Idea and Types of Partnership is what partnership, the partnership deed and the base on which it rests changes in an ordinary business decision.

The answer begins with the definition: Partnership, the partnership deed and the base on which it rests. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in The Idea and Types of Partnership is what kinds of partnership: by purpose and length, and by liability changes in an ordinary business decision.

The answer begins with the definition: Kinds of partnership: by purpose and length, and by liability. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in The Idea and Types of Partnership.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue.

This is the point to carry into the next example in The Idea and Types of Partnership.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in The Idea and Types of Partnership.

The section keeps the distinction practical and testable.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in The Idea and Types of Partnership.

The section keeps the distinction practical and testable.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in The Idea and Types of Partnership.

The section keeps the distinction practical and testable.

Case file, illustrative. Carried forward. In 2020 Rafiq Uddin Mia met a Tk 50,000 shortfall from savings (Chapter 4). On 1 July 2021 Rafiq and his son Imran formed a partnership under a deed of that date. Capital: Rafiq Tk 400,000, Imran Tk 200,000, total Tk 600,000. Profit and loss are shared 2 : 1, the ratio of capital (400,000 : 200,000); both partners work full time. Profit for the year ended 30 June 2022 was Tk 360,000: Rafiq Tk 240,000 ($360,000 \times \frac{2}{3}$) and Imran Tk 120,000 ($360,000 \times \frac{1}{3}$). On 1 January 2023 Rafiq's second son Sohel joined as a sleeping partner with capital of Tk 200,000, taking total capital to Tk 800,000; profit is now shared 2 : 1 : 1. Profit for the year ended 31 December 2023 was Tk 480,000: Rafiq Tk 240,000 ($480,000 \times \frac{2}{4}$), Imran Tk 120,000 ($480,000 \times \frac{1}{4}$), Sohel Tk 120,000 ($480,000 \times \frac{1}{4}$). On 31 March 2024 the partners' capital, including profit left in the business, stood at Tk 1,200,000: Rafiq Tk 600,000, Imran Tk 300,000, Sohel Tk 300,000.

The running case applies the section's rule to recorded facts.

* * *

Before moving on. The Idea and Types of Partnership can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

The section recap gathers the main point before the next section.

5.2 TYPES OF PARTNERS AND THEIR DUTIES

Suppose you are looking at a business that must make a decision about types of partners and their duties. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

Types of Partners and Their Duties begins with a concrete question before the rule is stated.

The word **Partner** means one of the people who own a partnership and share in its profit, loss and duties. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

Partner. one of the people who own a partnership and share in its profit, loss and duties

The definition gives the boundary of partner before the example is applied.

Active partner. a partner who takes a full part in running the business day to day

The definition gives the boundary of active partner before the example is applied.

Dissolution. the ending of the partnership between the partners, or of the whole business, with its affairs settled

The definition gives the boundary of dissolution before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The word **Active partner** means a partner who takes a full part in running the business day to day. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Dissolution** means the ending of the partnership between the partners, or of the whole business, with its affairs settled. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Types of Partners and Their Duties is what active, sleeping and nominal partners, and the duties implied between partners changes in an ordinary business decision.

The answer begins with the definition: Active, sleeping and nominal partners, and the duties implied between partners. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Types of Partners and Their Duties is what how profit and loss are shared when the deed is silent or specific changes in an ordinary business decision.

The answer begins with the definition: How profit and loss are shared when the deed is silent or specific. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Types of Partners and Their Duties.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Types of Partners and Their Duties.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Types of Partners and Their Duties.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Types of Partners and Their Duties.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects.

This is the point to carry into the next example in Types of Partners and Their Duties.

* * *

Before moving on. Types of Partners and Their Duties can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

The section recap gathers the main point before the next section.

5.3 ADVANTAGES, DISADVANTAGES AND DISSOLUTION

Suppose you are looking at a business that must make a decision about advantages, disadvantages and dissolution. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

Advantages, Disadvantages and Dissolution begins with a concrete question before the rule is stated.

The word **Partnership deed** means the written agreement that sets out how partners share capital, profit, work and decisions. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

Partnership deed. the written agreement that sets out how partners share capital, profit, work and decisions

The definition gives the boundary of partnership deed before the example is applied.

The word **Sleeping partner** means a partner who puts in money and shares profit but takes no part in running the business. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

Sleeping partner. a partner who puts in money and shares profit but takes no part in running the business

The definition gives the boundary of sleeping partner before the example is applied.

The useful question in Advantages, Disadvantages and Dissolution is what advantages and disadvantages of partnership, and how it differs from a sole proprietorship, ending with dissolution changes in an ordinary business decision.

The paragraph connects the idea to a practical business question.

The answer begins with the definition: Advantages and disadvantages of partnership, and how it differs from a sole proprietorship, ending with dissolution. This gives the idea a boundary, so it can be distinguished from nearby ideas.

The paragraph connects the idea to a practical business question.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The paragraph connects the idea to a practical business question.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Advantages, Disadvantages and Dissolution.

The section keeps the distinction practical and testable.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Advantages, Disadvantages and Dissolution.

The section keeps the distinction practical and testable.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Advantages, Disadvantages and Dissolution.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Advantages, Disadvantages and Dissolution.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Advantages, Disadvantages and Dissolution.

Case file, illustrative. Carried forward. In 2020 Rafiq Uddin Mia met a Tk 50,000 shortfall from savings (Chapter 4). On 1 July 2021 Rafiq and his son Imran formed a partnership under a deed of that date. Capital: Rafiq Tk 400,000, Imran Tk 200,000, total Tk 600,000. Profit and loss are shared 2 : 1, the ratio of capital (400,000 : 200,000); both partners work full time. Profit for the year ended 30 June 2022 was Tk 360,000: Rafiq Tk 240,000 ($360,000 \times \frac{2}{3}$) and Imran Tk 120,000 ($360,000 \times \frac{1}{3}$). On 1 January 2023 Rafiq's second son Sohel joined as a sleeping partner with capital of Tk 200,000, taking total capital to Tk 800,000; profit is now shared 2 : 1 : 1. Profit for the year ended 31 December 2023 was Tk 480,000: Rafiq Tk 240,000 ($480,000 \times \frac{2}{4}$), Imran Tk 120,000 ($480,000 \times \frac{1}{4}$), Sohel Tk 120,000 ($480,000 \times \frac{1}{4}$). On 31 March 2024 the partners' capital, including profit left in the business, stood at Tk 1,200,000: Rafiq Tk 600,000, Imran Tk 300,000, Sohel Tk 300,000.

* * *

The section recap gathers the main point before the next section.

The reader can test the rule by changing one fact at a time.

The distinction is strongest when the terms are used consistently.

The partnership idea can be checked from the relationship between ownership and responsibility.

Before moving on. Advantages, Disadvantages and Dissolution can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

If one amount, person, purpose, or condition changes, apply the same definition again. The result may stay the same or it may change. What matters is that the reader can identify the fact that caused the change and explain the connection rather than relying on the appearance of the example.

Use one term for one idea. When a related everyday word is available, keep the defined business term in place so that the reader can see exactly which rule is being applied. Consistent vocabulary makes comparisons easier and reduces confusion when several ideas appear in the same case.

When more than one person owns a business, the reader should ask how the agreement allocates capital, work, profit, loss, decisions, and responsibility. A written agreement can make those arrangements explicit, while the legal form determines which consequences follow from the arrangement. The example is therefore read in two stages: first identify what the partners agreed, then apply the relevant rule.

WORKED CASE

A worked case shows how the chapter's ideas can be applied without turning the case into a story.

The running case applies the section's rule to recorded facts.

Situation. The documented running case contains recorded facts relevant to this chapter.

Case file, illustrative. Carried forward. In 2020 Rafiq Uddin Mia met a Tk 50,000 shortfall from savings (Chapter 4). On 1 July 2021 Rafiq and his son Imran formed a partnership under a deed of that date. Capital: Rafiq Tk 400,000,

Imran Tk 200,000, total Tk 600,000. Profit and loss are shared 2 : 1, the ratio of capital (400,000 : 200,000); both partners work full time. Profit for the year ended 30 June 2022 was Tk 360,000: Rafiq Tk 240,000 ($360,000 \times \frac{2}{3}$) and Imran Tk 120,000 ($360,000 \times \frac{1}{3}$). On 1 January 2023 Rafiq's second son Soheli joined as a sleeping partner with capital of Tk 200,000, taking total capital to Tk 800,000; profit is now shared 2 : 1 : 1. Profit for the year ended 31 December 2023 was Tk 480,000: Rafiq Tk 240,000 ($480,000 \times \frac{2}{4}$), Imran Tk 120,000 ($480,000 \times \frac{1}{4}$), Soheli Tk 120,000 ($480,000 \times \frac{1}{4}$). On 31 March 2024 the partners' capital, including profit left in the business, stood at Tk 1,200,000: Rafiq Tk 600,000, Imran Tk 300,000, Soheli Tk 300,000.

Question. Which chapter idea best describes the recorded facts? Reasoning. Identify the relevant term, match it to the facts, and distinguish what is recorded from what would need further evidence. Conclusion. The rule can be applied only to the facts that satisfy its definition. Check. Change one fact and ask whether the same rule still applies.

The question is tested by the rule rather than by invented assumptions.

SUMMARY

The central pattern is to identify the business situation, name the relevant idea, apply its rule, and then check its limits. The running case shows how the same principles operate in a recorded business setting. The definitions provide the vocabulary needed to make the distinctions precise.

The chapter's main ideas can be recalled as a connected set rather than as isolated terms.

THINK IT THROUGH

- 5.T1 define partnership and name the base it rests on
- 5.T2 compare active, sleeping and nominal partners
- 5.T3 state three duties partners owe each other
- 5.T4 list the ways a partnership can end
- 5.T5 three partners put in Tk 300,000, Tk 200,000 and Tk 100,000 and earn Tk 180,000, so share the profit by capital and say what changes if the deed fixes equal shares

These questions test the ideas by changing the situation or asking for a distinction.

WHERE PEOPLE GO WRONG

One common error is to use a familiar word without checking its business meaning. Another is to apply a rule before identifying the facts that make the rule relevant. A third is to treat an example as proof that every business must behave in the same way. The correction in each case is to return to the definition, state the facts, apply the rule, and then test the exception.

Most errors arise when a related idea is treated as if it were identical.

IN HISTORY

The partnership of Michael Marks and Thomas Spencer, formed in 1894 in Leeds, England, which grew into the retailer Marks and Spencer. Search hint: Marks and Spencer 1894 partnership Thomas Spencer.. The historical example is useful because it places the business principle in time and gives the reader a concrete setting. It should not be treated as evidence for facts that are not stated in the chapter.

The historical case shows how the chapter's ideas appeared in a documented setting.

REVIEW QUESTIONS

The review questions return to the same ideas in a direct form.

5.R1 define partnership and name the base it rests on

5.R2 compare active, sleeping and nominal partners

5.R3 state three duties partners owe each other

5.R4 list the ways a partnership can end

5.R5 three partners put in Tk 300,000, Tk 200,000 and Tk 100,000 and earn Tk 180,000, so share the profit by capital and say what changes if the deed fixes equal shares

PAUSE AND CHECK 5.P1 after the passage on sleeping partners, and after profit sharing

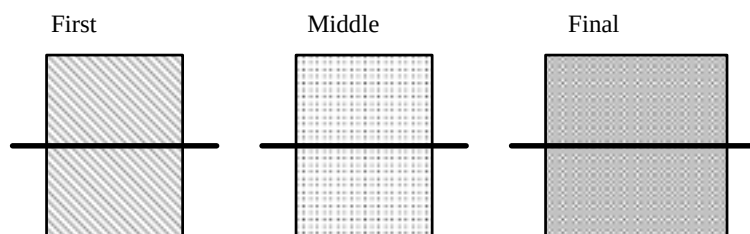
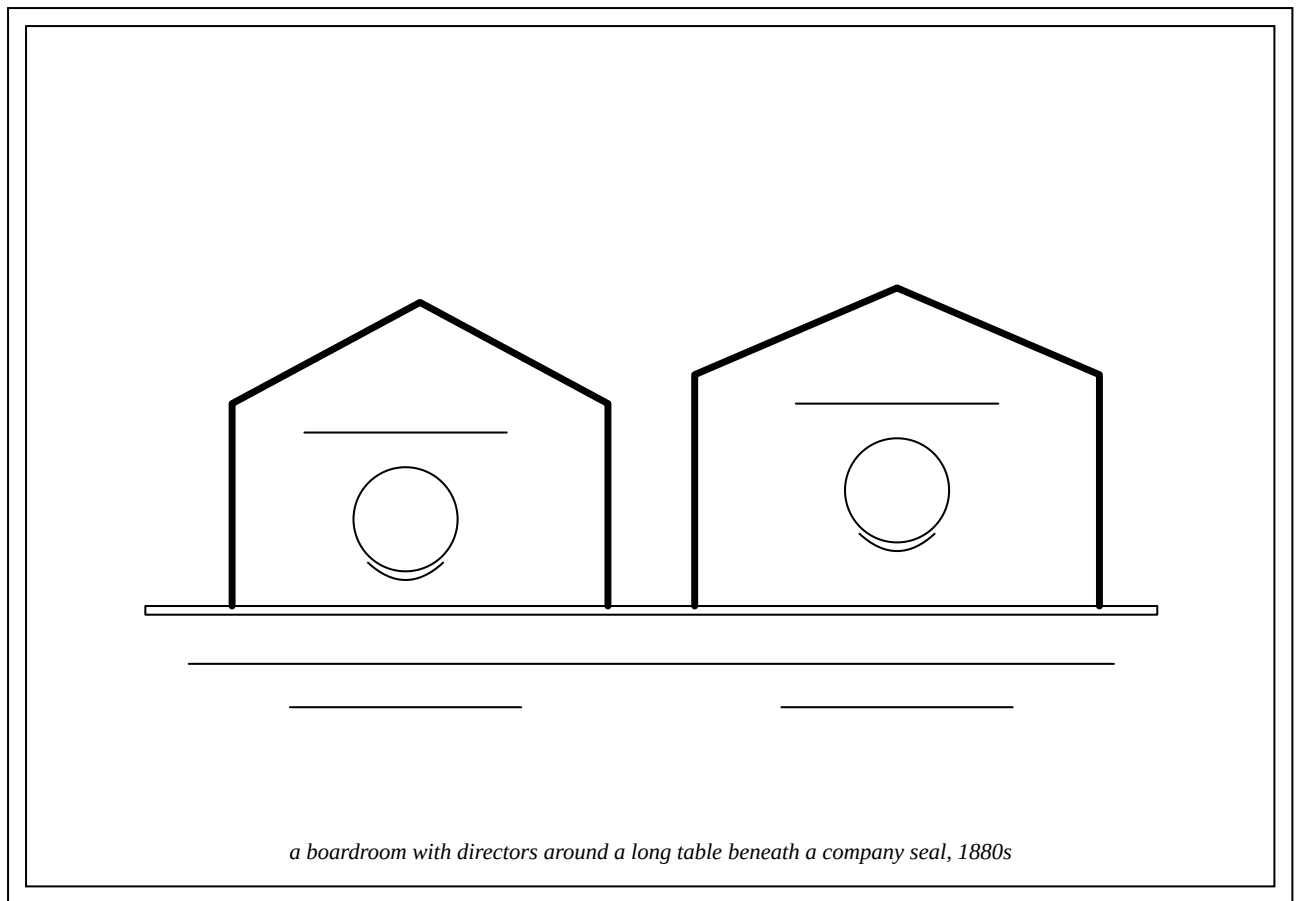


FIG. 5.1. *how a year's profit is shared among three partners in the ratio of their capital, drawn as three hatched blocks with labels*

Cross-references connect this chapter to related ideas elsewhere in the book.

The chapter points to: Chapter 4, 'Ways to Own a Business, and the Sole Proprietor', section 4.1 'Why the Form of Ownership Matters' — liability, which partners share; Chapter 6, 'Joint Stock Company', section 6.1 'The Company and Its Shares' — the next step when a partnership outgrows its form. These references are reminders of where a related idea is developed; they do not introduce a new definition here.



CHAPTER VI

Joint Stock Company

How does the business idea become a workable decision?



Teach the company as a separate legal person owned through shares, how private and public companies differ, how one is formed, and its merits and demerits. The chapter builds the idea from ordinary experience to business practice.

Earlier ideas needed for this chapter are named before they are used.

The Company and Its Shares begins with a concrete question before the rule is stated.

Company. a business that the law treats as a separate person, owned by shareholders through shares

The definition gives the boundary of company before the example is applied.

Authorised capital. the largest amount of share capital that a company is permitted to raise under its rules

The definition gives the boundary of authorised capital before the example is applied.

Memorandum of association. the founding document that states a company's name, aims, home and capital

The definition gives the boundary of memorandum of association before the example is applied.

Certificate of commencement. the official paper that allows a public company to start business after it has raised enough money

The definition gives the boundary of certificate of commencement before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

You will need: Chapter 4, 'Ways to Own a Business, and the Sole Proprietor', section 4.1 'Why the Form of Ownership Matters'; Chapter 5, 'Partnership', section 5.3 'Advantages, Disadvantages and Dissolution'

6.1 THE COMPANY AND ITS SHARES

Suppose you are looking at a business that must make a decision about the company and its shares. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Company** means a business that the law treats as a separate person, owned by shareholders through shares. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Authorised capital** means the largest amount of share capital that a company is permitted to raise under its rules. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Memorandum of association** means the founding document that states a company's name, aims, home and capital. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Certificate of commencement** means the official paper that allows a public company to start business after it has raised enough money. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in The Company and Its Shares is what the company as a legal person with limited liability changes in an ordinary business decision.

The answer begins with the definition: The company as a legal person with limited liability. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in The Company and Its Shares is what shares, shareholders and dividend changes in an ordinary business decision.

The answer begins with the definition: Shares, shareholders and dividend. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in The Company and Its Shares.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in The Company and Its Shares.

The section keeps the distinction practical and testable.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in The Company and Its Shares.

The section keeps the distinction practical and testable.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in The Company and Its Shares.

The section keeps the distinction practical and testable.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in The Company and Its Shares.

The section keeps the distinction practical and testable.

Case file, illustrative. Carried forward. On 31 March 2024 the partners' capital was Tk 1,200,000: Rafiq Tk 600,000, Imran Tk 300,000, Sohel Tk 300,000 (Chapter 5). On 1 April 2024 the partners ended the partnership and formed Meghna and Sons Limited, a private company. Authorised capital Tk 2,000,000, divided into 200,000 shares of Tk 10 each. Shares issued 120,000 ($120,000 \times 10 = \text{Tk } 1,200,000$): Rafiq 60,000, Imran 30,000, Sohel 30,000. Unissued shares 80,000 (Tk 800,000). Certificate of incorporation dated 15 April 2024. Directors: Rafiq (chairman), Imran (managing director), Sohel. For the year ended 31 March 2025 profit after all costs was Tk 540,000; the board proposed a dividend of Tk 2 a share, Tk 240,000 in all ($120,000 \times 2$): Rafiq Tk 120,000, Imran Tk 60,000, Sohel Tk 60,000; the remaining Tk 300,000 was kept in the business. As a private company the business issued no prospectus.

The running case applies the section's rule to recorded facts.

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Before moving on. The Company and Its Shares can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

The section recap gathers the main point before the next section.

6.2 PRIVATE AND PUBLIC COMPANIES

Suppose you are looking at a business that must make a decision about private and public companies. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

Private and Public Companies begins with a concrete question before the rule is stated.

The word **Share** means one equal part of a company's capital, which gives its holder a part of ownership. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

Share. one equal part of a company's capital, which gives its holder a part of ownership
The definition gives the boundary of share before the example is applied.

Private company. a company that limits who may hold its shares and may not invite the public to buy them

The definition gives the boundary of private company before the example is applied.

Articles of association. the rules for running the company inside, including meetings, directors and shares

The definition gives the boundary of articles of association before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The word **Private company** means a company that limits who may hold its shares and may not invite the public to buy them. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Articles of association** means the rules for running the company inside, including meetings, directors and shares. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Private and Public Companies is what private and public companies compared changes in an ordinary business decision.

The answer begins with the definition: Private and public companies compared. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Private and Public Companies is what management by the board of directors changes in an ordinary business decision.

The answer begins with the definition: Management by the board of directors. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Private and Public Companies.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Private and Public Companies.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Private and Public Companies.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Private and Public Companies.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Private and Public Companies.

Before moving on. Private and Public Companies can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

The section recap gathers the main point before the next section.

6.3 FORMING A COMPANY AND ISSUING A PROSPECTUS

Suppose you are looking at a business that must make a decision about forming a company and issuing a prospectus. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

Forming a Company and Issuing a Prospectus begins with a concrete question before the rule is stated.

The word **Shareholder** means a person or organisation that owns one or more shares in a company. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

Shareholder. a person or organisation that owns one or more shares in a company

The definition gives the boundary of shareholder before the example is applied.

The word **Public company** means a company that may invite the public to buy its shares and whose shares can be freely traded. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

Public company. a company that may invite the public to buy its shares and whose shares can be freely traded

The definition gives the boundary of public company before the example is applied.

The word **Certificate of incorporation** means the official paper that proves the company legally exists as a separate person. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

Certificate of incorporation. the official paper that proves the company legally exists as a separate person

The definition gives the boundary of certificate of incorporation before the example is applied.

The useful question in Forming a Company and Issuing a Prospectus is what steps of formation: the memorandum, the articles, incorporation, the prospectus and starting trade changes in an ordinary business decision.

The paragraph connects the idea to a practical business question.

The answer begins with the definition: Steps of formation: the memorandum, the articles, incorporation, the prospectus and starting trade. This gives the idea a boundary, so it can be distinguished from nearby ideas.

The paragraph connects the idea to a practical business question.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The paragraph connects the idea to a practical business question.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Forming a Company and Issuing a Prospectus.

The section keeps the distinction practical and testable.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Forming a Company and Issuing a Prospectus.

The section keeps the distinction practical and testable.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Forming a Company and Issuing a Prospectus.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section recap gathers the main point before the next section.

Merits and Demerits begins with a concrete question before the rule is stated.

Dividend. the part of a company's profit that is paid out to its shareholders

The definition gives the boundary of dividend before the example is applied.

Board of directors. the group chosen by shareholders to guide the company and appoint its senior managers

The definition gives the boundary of board of directors before the example is applied.

Prospectus. the document by which a public company invites the public to buy its shares

The definition gives the boundary of prospectus before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Forming a Company and Issuing a Prospectus.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Forming a Company and Issuing a Prospectus.

* * *

Before moving on. Forming a Company and Issuing a Prospectus can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

6.4 MERITS AND DEMERITS

Suppose you are looking at a business that must make a decision about merits and demerits. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Dividend** means the part of a company's profit that is paid out to its shareholders. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Board of directors** means the group chosen by shareholders to guide the company and appoint its senior managers. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Prospectus** means the document by which a public company invites the public to buy its shares. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Merits and Demerits is what merits and demerits of the company form, and whether it is the best form changes in an ordinary business decision.

The answer begins with the definition: Merits and demerits of the company form, and whether it is the best form. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different

business meaning. This is the point to carry into the next example in Merits and Demerits.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Merits and Demerits.

The section keeps the distinction practical and testable.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Merits and Demerits.

The section keeps the distinction practical and testable.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Merits and Demerits.

The section keeps the distinction practical and testable.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Merits and Demerits.

The section keeps the distinction practical and testable.

Case file, illustrative. Carried forward. On 31 March 2024 the partners' capital was Tk 1,200,000: Rafiq Tk 600,000, Imran Tk 300,000, Sohel Tk 300,000 (Chapter 5). On 1 April 2024 the partners ended the partnership and formed Meghna and Sons Limited, a private company. Authorised capital Tk 2,000,000, divided into 200,000 shares of Tk 10 each. Shares issued 120,000 ($120,000 \times 10 = \text{Tk } 1,200,000$): Rafiq 60,000, Imran 30,000, Sohel 30,000. Unissued shares 80,000 (Tk 800,000). Certificate of incorporation dated 15 April 2024. Directors: Rafiq (chairman), Imran (managing director), Sohel. For the year ended 31 March 2025 profit after all costs was Tk 540,000; the board proposed a dividend of Tk 2 a share, Tk 240,000 in all ($120,000 \times 2$): Rafiq Tk 120,000, Imran Tk 60,000, Sohel Tk 60,000; the remaining Tk 300,000 was kept in the business. As a private company the business issued no prospectus.

The running case applies the section's rule to recorded facts.

* * *

Before moving on. Merits and Demerits can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

The section recap gathers the main point before the next section.

WORKED CASE

Situation. The documented running case contains recorded facts relevant to this chapter.

A worked case shows how the chapter's ideas can be applied without turning the case into a story.

Case file, illustrative. Carried forward. On 31 March 2024 the partners' capital was Tk 1,200,000: Rafiq Tk 600,000, Imran Tk 300,000, Sohel Tk 300,000 (Chapter 5). On 1 April 2024 the partners ended the partnership and formed Meghna and Sons Limited, a private company. Authorised capital Tk 2,000,000, divided into 200,000 shares of Tk 10 each. Shares issued 120,000 ($120,000 \times 10 = \text{Tk } 1,200,000$): Rafiq 60,000, Imran 30,000, Sohel 30,000. Unissued shares 80,000 (Tk 800,000). Certificate of incorporation dated 15 April 2024. Directors: Rafiq (chairman), Imran (managing director), Sohel. For the year

The running case applies the section's rule to recorded facts.

The question is tested by the rule rather than by invented assumptions.

The chapter's main ideas can be recalled as a connected set rather than as isolated terms.

These questions test the ideas by changing the situation or asking for a distinction.

Most errors arise when a related idea is treated as if it were identical.

The historical case shows how the chapter's ideas appeared in a documented setting.

ended 31 March 2025 profit after all costs was Tk 540,000; the board proposed a dividend of Tk 2 a share, Tk 240,000 in all (120,000 x 2): Rafiq Tk 120,000, Imran Tk 60,000, Sohel Tk 60,000; the remaining Tk 300,000 was kept in the business. As a private company the business issued no prospectus.

Question. Which chapter idea best describes the recorded facts? Reasoning. Identify the relevant term, match it to the facts, and distinguish what is recorded from what would need further evidence. Conclusion. The rule can be applied only to the facts that satisfy its definition. Check. Change one fact and ask whether the same rule still applies.

SUMMARY

The central pattern is to identify the business situation, name the relevant idea, apply its rule, and then check its limits. The running case shows how the same principles operate in a recorded business setting. The definitions provide the vocabulary needed to make the distinctions precise.

THINK IT THROUGH

- 6.T1 define company and explain why it counts as a separate person
- 6.T2 compare private and public companies on members, shares and the public offer
- 6.T3 list the documents needed to form a company and say what each contains
- 6.T4 state two merits and two demerits of the form
- 6.T5 a company has 50,000 shares of Tk 10, earns Tk 80,000 profit and keeps half, so work out the dividend per share and the sum each holder of 5,000 shares receives

WHERE PEOPLE GO WRONG

One common error is to use a familiar word without checking its business meaning. Another is to apply a rule before identifying the facts that make the rule relevant. A third is to treat an example as proof that every business must behave in the same way. The correction in each case is to return to the definition, state the facts, apply the rule, and then test the exception.

IN HISTORY

The Dutch East India Company (VOC), chartered in 1602 in Amsterdam, whose shares could be bought and sold, and the English Joint Stock Companies Act of 1844 and Limited Liability Act of 1855. Search hint: Dutch East India Company 1602 first joint stock shares Amsterdam.. The historical example is useful because it places the business principle in time and gives the reader a concrete setting. It should not be treated as evidence for facts that are not stated in the chapter.

SOURCES

REVIEW QUESTIONS

- 6.R1** define company and explain why it counts as a separate person
- 6.R2** compare private and public companies on members, shares and the public offer
- 6.R3** list the documents needed to form a company and say what each contains
- 6.R4** state two merits and two demerits of the form
- 6.R5** a company has 50,000 shares of Tk 10, earns Tk 80,000 profit and keeps half, so work out the dividend per share and the sum each holder of 5,000 shares receives

PAUSE AND CHECK 6.P1 after limited liability for shareholders, and after the memorandum and the articles

These sources support the historical or defining material used in the chapter.

The review questions return to the same ideas in a direct form.

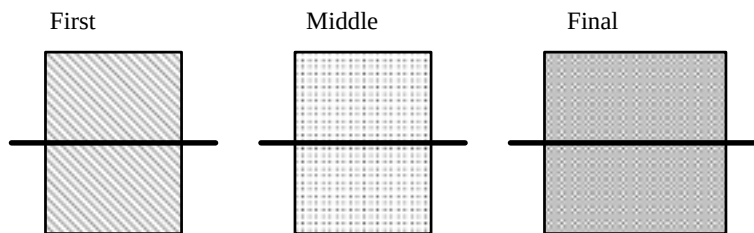


FIG. 6.1. the chain from shareholders to board of directors to managers, with arrows showing who elects and who reports

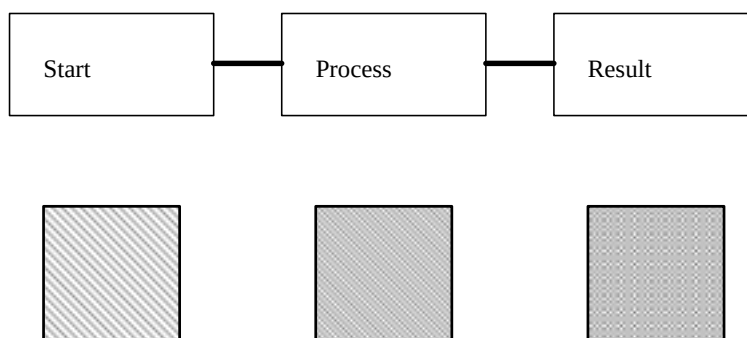
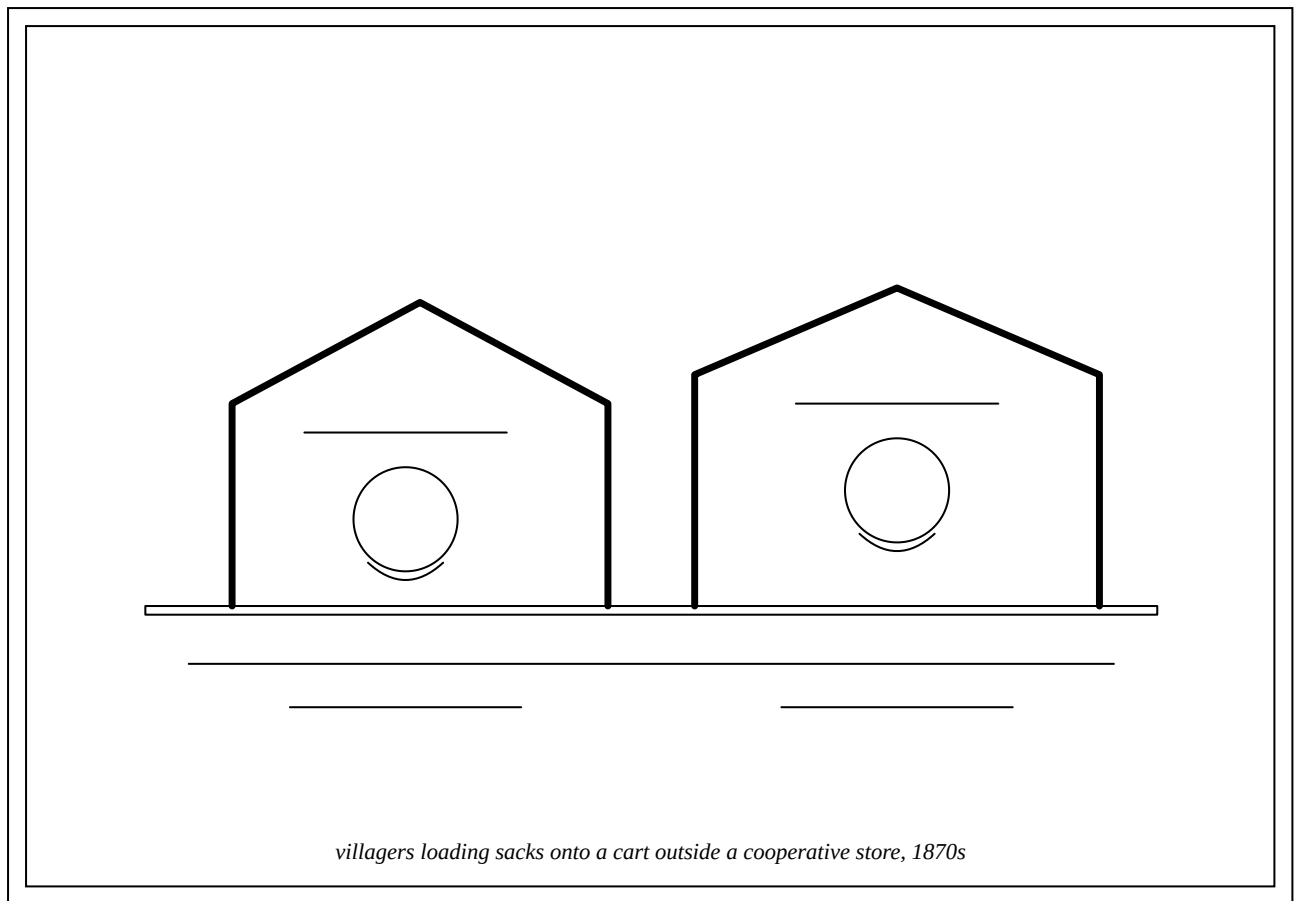


FIG. 6.2. *the steps of forming a company in order, from agreeing the aims to receiving the certificate, drawn as numbered boxes*

Cross-references connect this chapter to related ideas elsewhere in the book.

The chapter points to: Chapter 4, 'Ways to Own a Business, and the Sole Proprietor', section 4.1 'Why the Form of Ownership Matters' — limited liability and the legal person; Chapter 9, 'The Share Market', section 9.1 'Shares and Their Kinds' — the kinds of shares and where they are traded. These references are reminders of where a related idea is developed; they do not introduce a new definition here.



CHAPTER VII

Cooperative Societies

How does the business idea become a workable decision?



Teach what a cooperative society is, the principles it follows, the kinds found in Bangladesh, how it operates, and where it helps and falls short. The chapter builds the idea from ordinary experience to business practice.

Earlier ideas needed for this chapter are named before they are used.

The Idea and Principles of Cooperation begins with a concrete question before the rule is stated.

Cooperative society. a business owned and run by its members, who join to meet a shared need rather than to earn the largest profit

The definition gives the boundary of cooperative society before the example is applied.

Surplus. the money left over after a cooperative pays its costs, which it shares or keeps for the members

The definition gives the boundary of surplus before the example is applied.

Marketing cooperative. a society that gathers members' products, such as crops, and sells them for a better price

The definition gives the boundary of marketing cooperative before the example is applied.

The paragraph connects the idea to a practical business question.

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The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

You will need: Chapter 5, 'Partnership', section 5.1 'The Idea and Types of Partnership'; Chapter 6, 'Joint Stock Company', section 6.1 'The Company and Its Shares'

7.1 THE IDEA AND PRINCIPLES OF COOPERATION

Suppose you are looking at a business that must make a decision about the idea and principles of cooperation. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Cooperative society** means a business owned and run by its members, who join to meet a shared need rather than to earn the largest profit. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Surplus** means the money left over after a cooperative pays its costs, which it shares or keeps for the members. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Marketing cooperative** means a society that gathers members' products, such as crops, and sells them for a better price. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in The Idea and Principles of Cooperation is what the cooperative society, its aims and the principles it follows changes in an ordinary business decision.

The answer begins with the definition: The cooperative society, its aims and the principles it follows. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in The Idea and Principles of Cooperation is what open membership and one member, one vote changes in an ordinary business decision.

The answer begins with the definition: Open membership and one member, one vote. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in The Idea and Principles of Cooperation.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control

and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in The Idea and Principles of Cooperation.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in The Idea and Principles of Cooperation.

The section keeps the distinction practical and testable.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in The Idea and Principles of Cooperation.

The section keeps the distinction practical and testable.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in The Idea and Principles of Cooperation.

The section keeps the distinction practical and testable.

Case file, illustrative. Case in this chapter is a members' purchasing society, an illustrative arrangement (membership rules differ by society and by law). On 3 February 2025 Meghna and Sons Limited joined the Dhaka Booksellers' Purchasing Society as one of 40 member shops. Each member holds one share of Tk 5,000, so share capital is Tk 200,000 (40 x 5,000). Each member has one vote. For the year ended 31 December 2025 the members bought books worth Tk 3,000,000 through the society. The society's surplus after costs was Tk 150,000. The general meeting voted to return 80% of the surplus to members as a patronage refund, Tk 120,000 (150,000 x 80/100), and to keep 20%, Tk 30,000, as a reserve. Meghna and Sons Limited bought books worth Tk 240,000 through the society, which is 8% of the total (240,000 / 3,000,000), so its refund was Tk 9,600 (120,000 x 8/100).

The running case applies the section's rule to recorded facts.

* * *

Before moving on. The Idea and Principles of Cooperation can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

The section recap gathers the main point before the next section.

7.2 TYPES AND OPERATION OF COOPERATIVES

Suppose you are looking at a business that must make a decision about types and operation of cooperatives. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

Types and Operation of Cooperatives begins with a concrete question before the rule is stated.

The word **Open membership** means the rule that anyone who meets the society's basic conditions may join, with no unfair barrier. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

Open membership. the rule that anyone who meets the society's basic conditions may join, with no unfair barrier

The definition gives the boundary of open membership before the example is applied.

Patronage refund. a share of the surplus paid to members in proportion to the business they did with the society

The definition gives the boundary of patronage refund before the example is applied.

Consumer cooperative. a society that buys goods in bulk and sells them to members at fair prices

The definition gives the boundary of consumer cooperative before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

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The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The word **Patronage refund** means a share of the surplus paid to members in proportion to the business they did with the society. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Consumer cooperative** means a society that buys goods in bulk and sells them to members at fair prices. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Types and Operation of Cooperatives is what kinds of cooperative found in Bangladesh, including those that help farmers market their crops changes in an ordinary business decision.

The answer begins with the definition: Kinds of cooperative found in Bangladesh, including those that help farmers market their crops. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Types and Operation of Cooperatives is what how a society is formed, financed, governed and shares its surplus changes in an ordinary business decision.

The answer begins with the definition: How a society is formed, financed, governed and shares its surplus. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Types and Operation of Cooperatives.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Types and Operation of Cooperatives.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Types and Operation of Cooperatives.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Types and Operation of Cooperatives.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This

is the point to carry into the next example in Types and Operation of Cooperatives.

* * *

Before moving on. Types and Operation of Cooperatives can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

The section recap gathers the main point before the next section.

7.3 IMPORTANCE AND LIMITS

Suppose you are looking at a business that must make a decision about importance and limits. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

Importance and Limits begins with a concrete question before the rule is stated.

The word **Democratic control** means the rule that each member has one vote, however many shares or how much business they bring. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

Democratic control. the rule that each member has one vote, however many shares or how much business they bring

The definition gives the boundary of democratic control before the example is applied.

The word **Credit cooperative** means a society that collects savings from members and lends to them on fair terms. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

Credit cooperative. a society that collects savings from members and lends to them on fair terms

The definition gives the boundary of credit cooperative before the example is applied.

The word **Producer cooperative** means a society in which members make goods together and share the work and the reward. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

Producer cooperative. a society in which members make goods together and share the work and the reward

The definition gives the boundary of producer cooperative before the example is applied.

The useful question in Importance and Limits is what the importance of cooperatives and their limits changes in an ordinary business decision.

The paragraph connects the idea to a practical business question.

The answer begins with the definition: The importance of cooperatives and their limits. This gives the idea a boundary, so it can be distinguished from nearby ideas.

The paragraph connects the idea to a practical business question.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The paragraph connects the idea to a practical business question.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Importance and Limits.

The section keeps the distinction practical and testable.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Importance and Limits.

The section keeps the distinction practical and testable.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into

The section keeps the distinction practical and testable.

the rule. This is the point to carry into the next example in Importance and Limits.

The section keeps the distinction practical and testable.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Importance and Limits.

The section keeps the distinction practical and testable.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Importance and Limits.

The running case applies the section's rule to recorded facts.

Case file, illustrative. Case in this chapter is a members' purchasing society, an illustrative arrangement (membership rules differ by society and by law). On 3 February 2025 Meghna and Sons Limited joined the Dhaka Booksellers' Purchasing Society as one of 40 member shops. Each member holds one share of Tk 5,000, so share capital is Tk 200,000 (40 x 5,000). Each member has one vote. For the year ended 31 December 2025 the members bought books worth Tk 3,000,000 through the society. The society's surplus after costs was Tk 150,000. The general meeting voted to return 80% of the surplus to members as a patronage refund, Tk 120,000 (150,000 x 80/100), and to keep 20%, Tk 30,000, as a reserve. Meghna and Sons Limited bought books worth Tk 240,000 through the society, which is 8% of the total (240,000 / 3,000,000), so its refund was Tk 9,600 (120,000 x 8/100).

* * *

The section recap gathers the main point before the next section.

Before moving on. Importance and Limits can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

WORKED CASE

A worked case shows how the chapter's ideas can be applied without turning the case into a story.

Situation. The documented running case contains recorded facts relevant to this chapter.

The running case applies the section's rule to recorded facts.

Case file, illustrative. Case in this chapter is a members' purchasing society, an illustrative arrangement (membership rules differ by society and by law). On 3 February 2025 Meghna and Sons Limited joined the Dhaka Booksellers' Purchasing Society as one of 40 member shops. Each member holds one share of Tk 5,000, so share capital is Tk 200,000 (40 x 5,000). Each member has one vote. For the year ended 31 December 2025 the members bought books worth Tk 3,000,000 through the society. The society's surplus after costs was Tk 150,000. The general meeting voted to return 80% of the surplus to members as a patronage refund, Tk 120,000 (150,000 x 80/100), and to keep 20%, Tk 30,000, as a reserve. Meghna and Sons Limited bought books worth Tk 240,000 through the society, which is 8% of the total (240,000 / 3,000,000), so its refund was Tk 9,600 (120,000 x 8/100).

The question is tested by the rule rather than by invented assumptions.

Question. Which chapter idea best describes the recorded facts? Reasoning. Identify the relevant term, match it to the facts, and distinguish what is recorded from what would need further evidence. Conclusion. The rule can be applied only to the facts that satisfy its definition. Check. Change one fact and ask whether the same rule still applies.

SUMMARY

The central pattern is to identify the business situation, name the relevant idea, apply its rule, and then check its limits. The running case shows how the same principles operate in a recorded business setting. The definitions provide the vocabulary needed to make the distinctions precise.

The chapter's main ideas can be recalled as a connected set rather than as isolated terms.

THINK IT THROUGH

7.T1 define cooperative society and give three of its principles

These questions test the ideas by changing the situation or asking for a distinction.

7.T2 explain why one member has one vote and how that differs from a company

7.T3 name four kinds of cooperative and say who each helps

7.T4 describe how a surplus is shared

7.T5 a farmers' society sells its crop for Tk 600,000 against Tk 520,000 if each farmer sold alone and has 40 members, so find the gain per member and say what the members might do with a surplus

WHERE PEOPLE GO WRONG

One common error is to use a familiar word without checking its business meaning. Another is to apply a rule before identifying the facts that make the rule relevant. A third is to treat an example as proof that every business must behave in the same way. The correction in each case is to return to the definition, state the facts, apply the rule, and then test the exception.

Most errors arise when a related idea is treated as if it were identical.

IN HISTORY

The Rochdale Society of Equitable Pioneers, opened in Rochdale, England, in December 1844 in Toad Lane, and the rules it set for its members. Search hint: Rochdale Pioneers 1844 Toad Lane principles.. The historical example is useful because it places the business principle in time and gives the reader a concrete setting. It should not be treated as evidence for facts that are not stated in the chapter.

The historical case shows how the chapter's ideas appeared in a documented setting.

SOURCES

These sources support the historical or defining material used in the chapter.

REVIEW QUESTIONS

7.R1 define cooperative society and give three of its principles

The review questions return to the same ideas in a direct form.

7.R2 explain why one member has one vote and how that differs from a company

7.R3 name four kinds of cooperative and say who each helps

7.R4 describe how a surplus is shared

7.R5 a farmers' society sells its crop for Tk 600,000 against Tk 520,000 if each farmer sold alone and has 40 members, so find the gain per member and say what the members might do with a surplus

PAUSE AND CHECK 7.P1 after the principles, and after the passage on sharing surplus

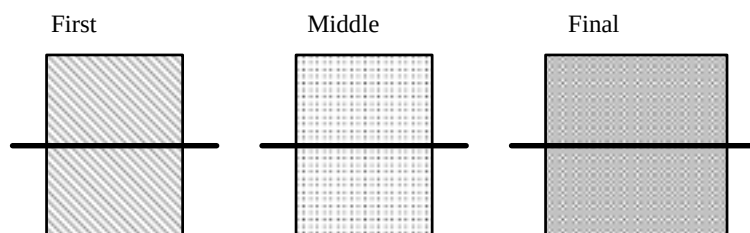
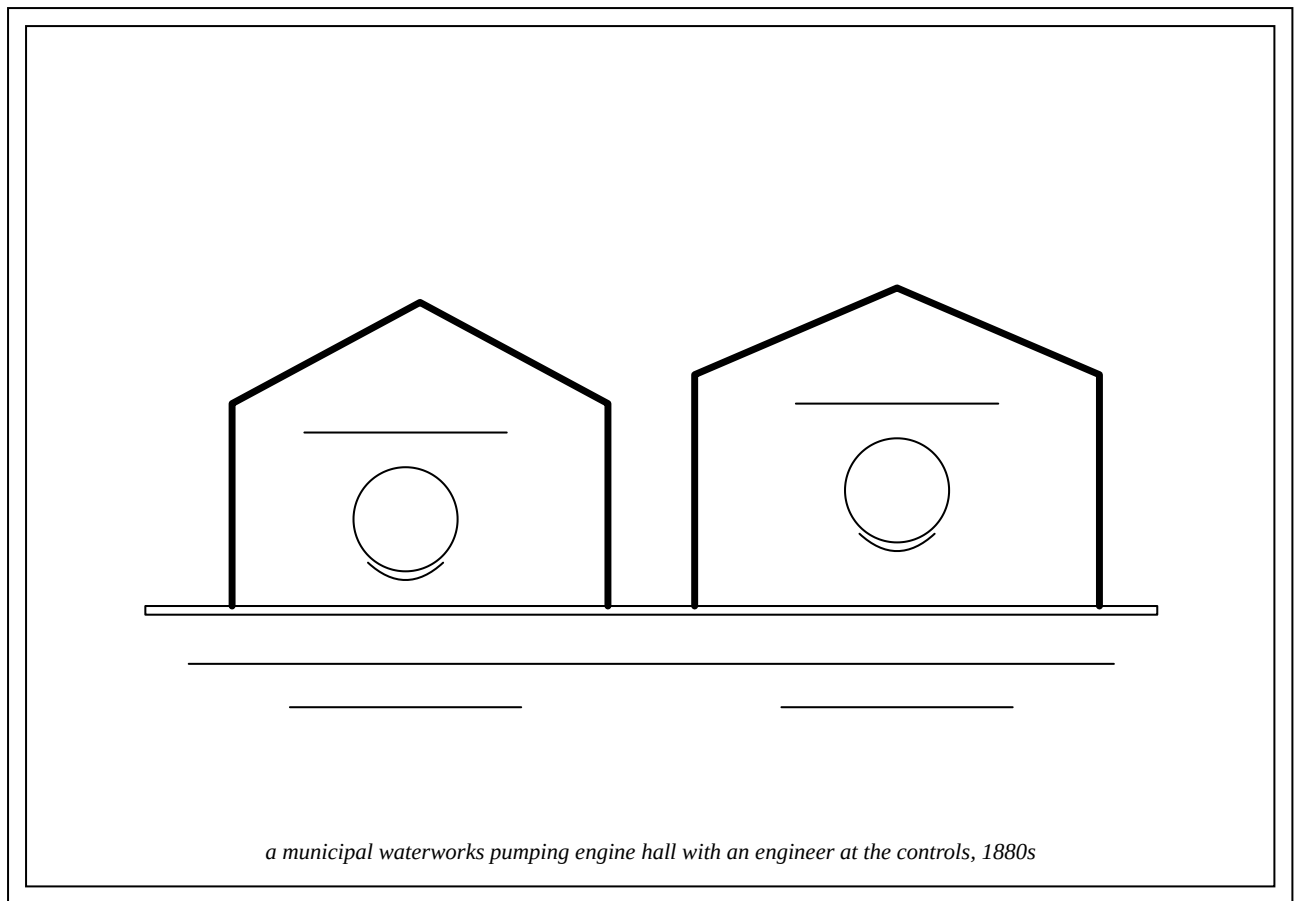


FIG. 7.1. *members at the base voting in a general meeting, which elects a managing committee, which hires a manager; a second arrow shows surplus flowing back to members by their purchases*

Cross-references connect this chapter to related ideas elsewhere in the book.

The chapter points to: Chapter 5, 'Partnership', section 5.1 'The Idea and Types of Partnership' — a small group owning together; Chapter 6, 'Joint Stock Company', section 6.1 'The Company and Its Shares' — the contrast of votes by member and votes by share. These references are reminders of where a related idea is developed; they do not introduce a new definition here.



CHAPTER VIII

State Enterprise

How does the business idea become a workable decision?



Teach what a state enterprise is, why governments run businesses, the forms they take, and why many struggle to make a profit. The chapter builds the idea from ordinary experience to business practice.

Earlier ideas needed for this chapter are named before they are used.

Meaning, Need and Importance begins with a concrete question before the rule is stated.

State enterprise. a business owned and run by the government, set up to serve the public or to earn money for the state

The definition gives the boundary of state enterprise before the example is applied.

Monopoly. a market in which only one seller supplies a good or service, so customers have no choice

The definition gives the boundary of monopoly before the example is applied.

Government company. a company, formed under company law, in which the government owns most or all of the shares

The definition gives the boundary of government company before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

You will need: Chapter 4, 'Ways to Own a Business, and the Sole Proprietor', section 4.1 'Why the Form of Ownership Matters'; Chapter 6, 'Joint Stock Company', section 6.1 'The Company and Its Shares'

8.1 MEANING, NEED AND IMPORTANCE

Suppose you are looking at a business that must make a decision about meaning, need and importance. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **State enterprise** means a business owned and run by the government, set up to serve the public or to earn money for the state. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Monopoly** means a market in which only one seller supplies a good or service, so customers have no choice. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Government company** means a company, formed under company law, in which the government owns most or all of the shares. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Meaning, Need and Importance is what the state enterprise, the public sector and the reasons governments run businesses, including the fields where it fits changes in an ordinary business decision.

The answer begins with the definition: The state enterprise, the public sector and the reasons governments run businesses, including the fields where it fits. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Meaning, Need and Importance is what nationalisation, monopoly and the case for and against state ownership changes in an ordinary business decision.

The answer begins with the definition: Nationalisation, monopoly and the case for and against state ownership. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Meaning, Need and Importance.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control

and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Meaning, Need and Importance.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Meaning, Need and Importance.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Meaning, Need and Importance.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Meaning, Need and Importance.

Case file, illustrative. none

* * *

Before moving on. Meaning, Need and Importance can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

8.2 FORMS OF STATE ENTERPRISE

Suppose you are looking at a business that must make a decision about forms of state enterprise. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Public sector** means all the businesses and organisations that the government owns or controls. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Departmental undertaking** means a state business run as a part of a government office and funded from its budget. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Public utility** means a service that everyone needs and that is hard to supply through competition, such as water or electricity. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Forms of State Enterprise is what departmental undertaking, public corporation and government company compared changes in an ordinary business decision.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

The section recap gathers the main point before the next section.

Forms of State Enterprise begins with a concrete question before the rule is stated.

Public sector. all the businesses and organisations that the government owns or controls

The definition gives the boundary of public sector before the example is applied.

Departmental undertaking. a state business run as a part of a government office and funded from its budget

The definition gives the boundary of departmental undertaking before the example is applied.

Public utility. a service that everyone needs and that is hard to supply through competition, such as water or electricity

The definition gives the boundary of public utility before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section recap gathers the main point before the next section.

Performance and Reform begins with a concrete question before the rule is stated.

The answer begins with the definition: Departmental undertaking, public corporation and government company compared. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Forms of State Enterprise is what public utilities and joint ventures with private businesses changes in an ordinary business decision.

The answer begins with the definition: Public utilities and joint ventures with private businesses. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Forms of State Enterprise.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Forms of State Enterprise.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Forms of State Enterprise.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Forms of State Enterprise.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Forms of State Enterprise.

* * *

Before moving on. Forms of State Enterprise can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

8.3 PERFORMANCE AND REFORM

Suppose you are looking at a business that must make a decision about performance and reform. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Nationalisation** means the act of a government taking over a privately owned business and making it state property. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Public corporation** means a state business set up by a special law, with its own legal identity and some freedom to act. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Privatisation** means the sale or handing over of a state enterprise to private owners. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Performance and Reform is what why state enterprises often lose money, and the remedies tried, including privatisation changes in an ordinary business decision.

The answer begins with the definition: Why state enterprises often lose money, and the remedies tried, including privatisation. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Performance and Reform.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Performance and Reform.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Performance and Reform.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Performance and Reform.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Performance and Reform.

Case file, illustrative. none

Nationalisation. the act of a government taking over a privately owned business and making it state property

The definition gives the boundary of nationalisation before the example is applied.

Public corporation. a state business set up by a special law, with its own legal identity and some freedom to act

The definition gives the boundary of public corporation before the example is applied.

Privatisation. the sale or handing over of a state enterprise to private owners

The definition gives the boundary of privatisation before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

* * *

The section recap gathers the main point before the next section.

The rule becomes more useful when the surrounding conditions are made explicit.

A second test is to ask what the idea does not include.

The principle can also be viewed from different positions.

A final application should return to the evidence.

The reader can test the rule by changing one fact at a time.

A worked case shows how the chapter's ideas can be applied without turning the case into a story.

The running case applies the section's rule to recorded facts.

The question is tested by the rule rather than by invented assumptions.

The chapter's main ideas can be recalled as a connected set rather than as isolated terms.

Before moving on. Performance and Reform can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

A business decision is affected by the setting in which it is made. The same form of ownership, resource choice, responsibility, or market arrangement can have different consequences when the people, law, money, or purpose changes. The reader should therefore state the relevant conditions before applying the rule. This is not an extra complication; it is part of using the definition accurately.

Definitions are useful because they separate one idea from another. A supplier is not the same as an investor, a shareholder is not the same as a manager, and a business decision is not the same as its eventual result. When two terms appear together, ask what question each term answers. That question often reveals the boundary more quickly than memorising a longer description.

An owner may focus on control and risk. A manager may focus on workable procedures. An employee may focus on duties and conditions. A customer may focus on price, quality, and service. These viewpoints do not change the definition of a term. They help the reader see why the same business arrangement can matter to several groups at once.

Before accepting a conclusion, identify the figures, dates, people, and decisions that support it. Then separate those facts from assumptions. If the evidence is incomplete, the conclusion should remain limited to what the evidence supports. This habit is especially important when a business case crosses different forms of ownership, institutions, countries, or periods.

If one amount, person, purpose, or condition changes, apply the same definition again. The result may stay the same or it may change. What matters is that the reader can identify the fact that caused the change and explain the connection rather than relying on the appearance of the example.

WORKED CASE

Situation. The documented running case contains recorded facts relevant to this chapter.

Case file, illustrative. none

Question. Which chapter idea best describes the recorded facts? **Reasoning.** Identify the relevant term, match it to the facts, and distinguish what is recorded from what would need further evidence. **Conclusion.** The rule can be applied only to the facts that satisfy its definition. **Check.** Change one fact and ask whether the same rule still applies.

SUMMARY

The central pattern is to identify the business situation, name the relevant idea, apply its rule, and then check its limits. The running case shows how the same principles operate in a recorded business setting. The definitions provide the vocabulary needed to make the distinctions precise.

THINK IT THROUGH

- 8.T1** define state enterprise and name two reasons a government runs a business
- 8.T2** compare the three forms on control, money and legal identity
- 8.T3** explain what a public utility is and why it is often state-run
- 8.T4** give two causes of loss in state enterprises and one remedy
- 8.T5** a government mill loses Tk 40 crore a year while employing 3,000 people, so set out the case for keeping it, the case for selling it, and a decision

These questions test the ideas by changing the situation or asking for a distinction.

WHERE PEOPLE GO WRONG

One common error is to use a familiar word without checking its business meaning. Another is to apply a rule before identifying the facts that make the rule relevant. A third is to treat an example as proof that every business must behave in the same way. The correction in each case is to return to the definition, state the facts, apply the rule, and then test the exception.

Most errors arise when a related idea is treated as if it were identical.

IN HISTORY

The British Broadcasting Corporation, set up as a company in 1922 and made a public corporation under a Royal Charter on 1 January 1927. Search hint: BBC royal charter 1927 public corporation Reith.. The historical example is useful because it places the business principle in time and gives the reader a concrete setting. It should not be treated as evidence for facts that are not stated in the chapter.

The historical case shows how the chapter's ideas appeared in a documented setting.

REVIEW QUESTIONS

- 8.R1** define state enterprise and name two reasons a government runs a business
- 8.R2** compare the three forms on control, money and legal identity
- 8.R3** explain what a public utility is and why it is often state-run
- 8.R4** give two causes of loss in state enterprises and one remedy
- 8.R5** a government mill loses Tk 40 crore a year while employing 3,000 people, so set out the case for keeping it, the case for selling it, and a decision
- PAUSE AND CHECK 8.P1** after the three forms are introduced, and after the causes of loss

The review questions return to the same ideas in a direct form.

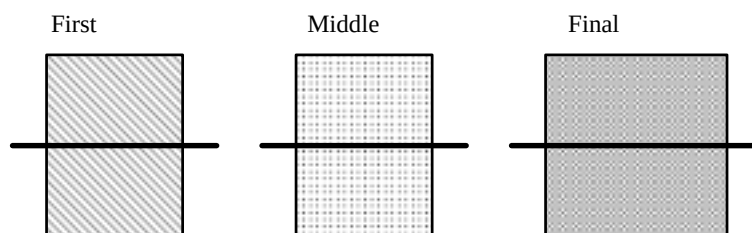
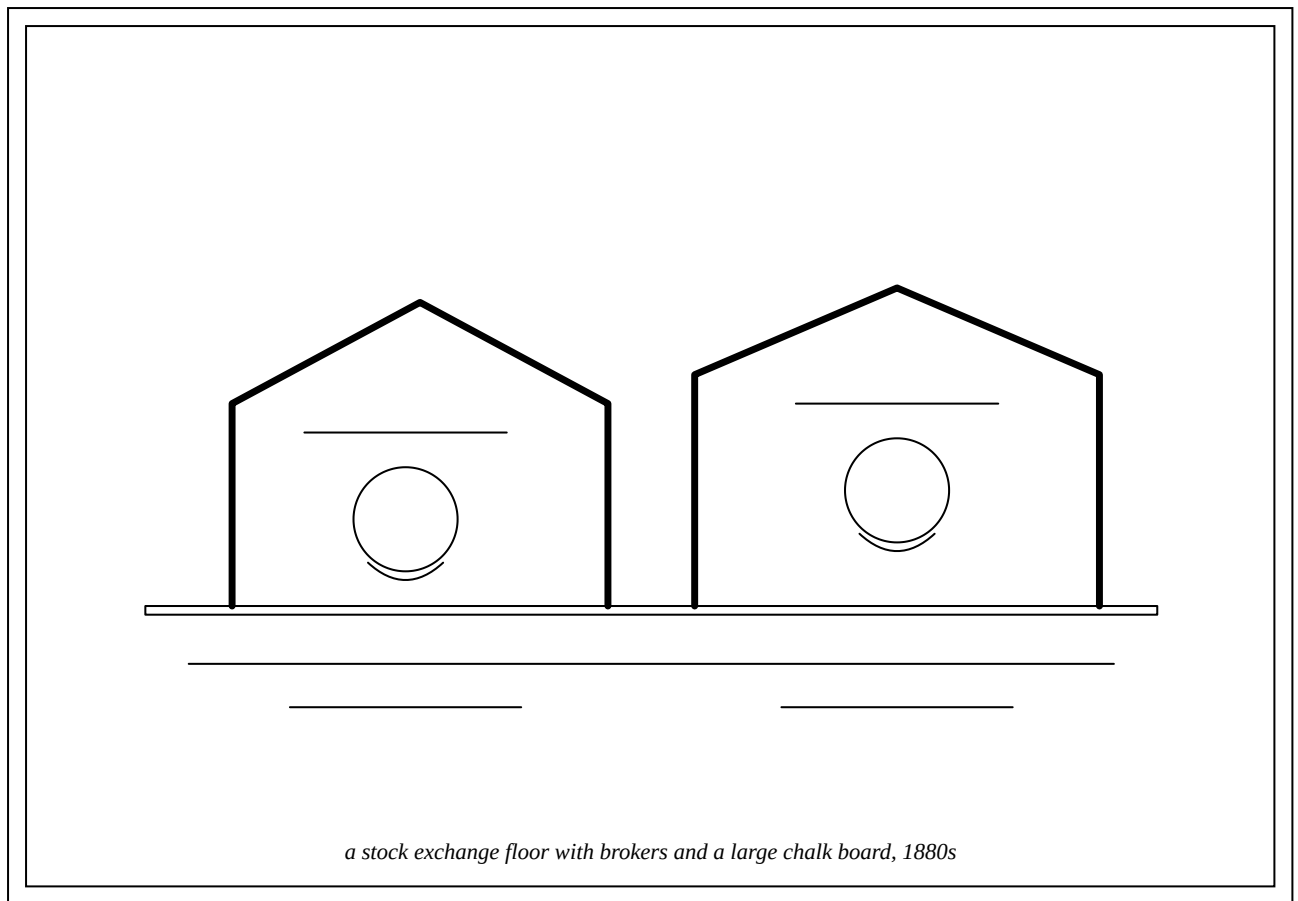


FIG. 8.1. a tree with state enterprise at the top and three branches: run as a government office, set up as a public corporation, formed as a government-owned company

Cross-references connect this chapter to related ideas elsewhere in the book.

The chapter points to: Chapter 6, 'Joint Stock Company', section 6.1 'The Company and Its Shares' — a government company is a company in law; Chapter 7, 'Cooperative Societies', section 7.1 'The Idea and Principles of Cooperation' — another form that does not exist only for private profit. These references are reminders of where a related idea is developed; they do not introduce a new definition here.



CHAPTER IX

The Share Market

How does the business idea become a workable decision?



Teach the kinds of shares, how a company first offers shares to the public, and how stock exchanges, including the Dhaka Stock Exchange, let investors trade them. The chapter builds the idea from ordinary experience to business practice.

Earlier ideas needed for this chapter are named before they are used.

Shares and Their Kinds begins with a concrete question before the rule is stated.

Ordinary share. a share whose holder votes at meetings and receives a dividend that rises and falls with the company's profit

The definition gives the boundary of ordinary share before the example is applied.

Primary market. the part of the share market where a company sells new shares directly to investors for the first time

The definition gives the boundary of primary market before the example is applied.

Stock exchange. an organised market with rules where approved members trade company shares and other securities

The definition gives the boundary of stock exchange before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

You will need: Chapter 6, 'Joint Stock Company', sections 6.1 'The Company and Its Shares', 6.2 'Private and Public Companies' and 6.3 'Forming a Company and Issuing a Prospectus'

9.1 SHARES AND THEIR KINDS

Suppose you are looking at a business that must make a decision about shares and their kinds. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Ordinary share** means a share whose holder votes at meetings and receives a dividend that rises and falls with the company's profit. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Primary market** means the part of the share market where a company sells new shares directly to investors for the first time. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Stock exchange** means an organised market with rules where approved members trade company shares and other securities. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Shares and Their Kinds is what ordinary and preference shares, and which kind suits which investor changes in an ordinary business decision.

The answer begins with the definition: Ordinary and preference shares, and which kind suits which investor. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Shares and Their Kinds is what the share market, with its primary and secondary parts changes in an ordinary business decision.

The answer begins with the definition: The share market, with its primary and secondary parts. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Shares and Their Kinds.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about

customers can affect service and revenue. This is the point to carry into the next example in Shares and Their Kinds.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Shares and Their Kinds.

The section keeps the distinction practical and testable.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Shares and Their Kinds.

The section keeps the distinction practical and testable.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Shares and Their Kinds.

The section keeps the distinction practical and testable.

Case file, illustrative. Carried forward. Meghna and Sons Limited has 120,000 issued shares of Tk 10 and an authorised capital of Tk 2,000,000 (200,000 shares); Rafiq, Imran and Sohel hold 60,000, 30,000 and 30,000 shares. At a board meeting on 10 February 2026 the directors considered raising Tk 4,000,000 for a second shop through an initial public offering of 400,000 new shares at Tk 10 each (400,000 x 10). The offering would need authorised capital to rise to at least 520,000 shares (120,000 + 400,000), Tk 5,200,000, and the company to become a public company. After the offering the three founders' 120,000 shares would be 23.1% of 520,000 shares (120,000 / 520,000) and outside investors would hold 76.9%. The board noted the cost of the offering and the loss of control, and deferred the decision. Imran Rafiq was asked to prepare a cost estimate by 31 March 2026.

The running case applies the section's rule to recorded facts.

* * *

Before moving on. Shares and Their Kinds can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

The section recap gathers the main point before the next section.

9.2 THE INITIAL PUBLIC OFFERING

Suppose you are looking at a business that must make a decision about the initial public offering. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The Initial Public Offering begins with a concrete question before the rule is stated.

The word **Preference share** means a share whose holder is paid a fixed dividend before ordinary shareholders but usually has no vote. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

Preference share. a share whose holder is paid a fixed dividend before ordinary shareholders but usually has no vote

The definition gives the boundary of preference share before the example is applied.

The word **Secondary market** means the part of the share market where investors buy and sell shares that already exist. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

Secondary market. the part of the share market where investors buy and sell shares that already exist

The definition gives the boundary of secondary market before the example is applied.

Broker. a licensed person or firm that buys and sells shares for clients and earns a fee

The definition gives the boundary of broker before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section recap gathers the main point before the next section.

Stock Exchanges and the Dhaka Stock Exchange begins with a concrete question before the rule is stated.

The word **Broker** means a licensed person or firm that buys and sells shares for clients and earns a fee. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in The Initial Public Offering is what the initial public offering and the steps that lead to it changes in an ordinary business decision.

The answer begins with the definition: The initial public offering and the steps that lead to it. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in The Initial Public Offering.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in The Initial Public Offering.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in The Initial Public Offering.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in The Initial Public Offering.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in The Initial Public Offering.

* * *

Before moving on. The Initial Public Offering can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

9.3 STOCK EXCHANGES AND THE DHAKA STOCK EXCHANGE

Suppose you are looking at a business that must make a decision about stock exchanges and the dhaka stock exchange. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Share market** means the whole system of buying and selling shares, both when they are first issued and afterwards. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Initial public offering** means the first time a company invites the public to buy its shares. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Share price index** means a single number that shows how the prices of a chosen group of shares have moved together. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Stock Exchanges and the Dhaka Stock Exchange is what the stock exchange and the functions of the dhaka stock exchange changes in an ordinary business decision.

The answer begins with the definition: The stock exchange and the functions of the Dhaka Stock Exchange. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Stock Exchanges and the Dhaka Stock Exchange is what brokers, share price indices and the regulator's role changes in an ordinary business decision.

The answer begins with the definition: Brokers, share price indices and the regulator's role. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Stock Exchanges and the Dhaka Stock Exchange.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Stock Exchanges and the Dhaka Stock Exchange.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Stock Exchanges and the Dhaka Stock Exchange.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters,

Share market. the whole system of buying and selling shares, both when they are first issued and afterwards

The definition gives the boundary of share market before the example is applied.

Initial public offering. the first time a company invites the public to buy its shares

The definition gives the boundary of initial public offering before the example is applied.

Share price index. a single number that shows how the prices of a chosen group of shares have moved together

The definition gives the boundary of share price index before the example is applied.

The paragraph connects the idea to a practical business question.

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The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

The section recap gathers the main point before the next section.

A worked case shows how the chapter's ideas can be applied without turning the case into a story.

The running case applies the section's rule to recorded facts.

The question is tested by the rule rather than by invented assumptions.

the reader should identify the country or institution involved. This is the point to carry into the next example in Stock Exchanges and the Dhaka Stock Exchange.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Stock Exchanges and the Dhaka Stock Exchange.

Case file, illustrative. Carried forward. Meghna and Sons Limited has 120,000 issued shares of Tk 10 and an authorised capital of Tk 2,000,000 (200,000 shares); Rafiq, Imran and Sohel hold 60,000, 30,000 and 30,000 shares. At a board meeting on 10 February 2026 the directors considered raising Tk 4,000,000 for a second shop through an initial public offering of 400,000 new shares at Tk 10 each (400,000 x 10). The offering would need authorised capital to rise to at least 520,000 shares (120,000 + 400,000), Tk 5,200,000, and the company to become a public company. After the offering the three founders' 120,000 shares would be 23.1% of 520,000 shares (120,000 / 520,000) and outside investors would hold 76.9%. The board noted the cost of the offering and the loss of control, and deferred the decision. Imran Rafiq was asked to prepare a cost estimate by 31 March 2026.

* * *

Before moving on. Stock Exchanges and the Dhaka Stock Exchange can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

WORKED CASE

Situation. The documented running case contains recorded facts relevant to this chapter.

Case file, illustrative. Carried forward. Meghna and Sons Limited has 120,000 issued shares of Tk 10 and an authorised capital of Tk 2,000,000 (200,000 shares); Rafiq, Imran and Sohel hold 60,000, 30,000 and 30,000 shares. At a board meeting on 10 February 2026 the directors considered raising Tk 4,000,000 for a second shop through an initial public offering of 400,000 new shares at Tk 10 each (400,000 x 10). The offering would need authorised capital to rise to at least 520,000 shares (120,000 + 400,000), Tk 5,200,000, and the company to become a public company. After the offering the three founders' 120,000 shares would be 23.1% of 520,000 shares (120,000 / 520,000) and outside investors would hold 76.9%. The board noted the cost of the offering and the loss of control, and deferred the decision. Imran Rafiq was asked to prepare a cost estimate by 31 March 2026.

Question. Which chapter idea best describes the recorded facts? Reasoning. Identify the relevant term, match it to the facts, and distinguish what is recorded from what would need further evidence. **Conclusion.** The rule can be applied only to the facts that satisfy its definition. **Check.** Change one fact and ask whether the same rule still applies.

SUMMARY

The central pattern is to identify the business situation, name the relevant idea, apply its rule, and then check its limits. The running case shows how the same principles operate in a recorded business setting. The definitions provide the vocabulary needed to make the distinctions precise.

The chapter's main ideas can be recalled as a connected set rather than as isolated terms.

THINK IT THROUGH

- 9.T1 tell ordinary from preference shares on vote, dividend and risk
- 9.T2 separate the primary from the secondary market with an example of each
- 9.T3 describe the steps by which a company offers shares to the public
- 9.T4 list the main functions of a stock exchange
- 9.T5 an investor has Tk 100,000, wants steady income and dislikes risk, so choose between the two kinds of share and explain

These questions test the ideas by changing the situation or asking for a distinction.

WHERE PEOPLE GO WRONG

One common error is to use a familiar word without checking its business meaning. Another is to apply a rule before identifying the facts that make the rule relevant. A third is to treat an example as proof that every business must behave in the same way. The correction in each case is to return to the definition, state the facts, apply the rule, and then test the exception.

Most errors arise when a related idea is treated as if it were identical.

IN HISTORY

The Buttonwood Agreement signed by 24 brokers in New York on 17 May 1792, which began the organised trading that became the New York Stock Exchange. Search hint: Buttonwood Agreement 1792 New York brokers.. The historical example is useful because it places the business principle in time and gives the reader a concrete setting. It should not be treated as evidence for facts that are not stated in the chapter.

The historical case shows how the chapter's ideas appeared in a documented setting.

REVIEW QUESTIONS

- 9.R1 tell ordinary from preference shares on vote, dividend and risk
 - 9.R2 separate the primary from the secondary market with an example of each
 - 9.R3 describe the steps by which a company offers shares to the public
 - 9.R4 list the main functions of a stock exchange
 - 9.R5 an investor has Tk 100,000, wants steady income and dislikes risk, so choose between the two kinds of share and explain
- PAUSE AND CHECK 9.P1** after the two kinds of share, and after the split between the primary and secondary markets

The review questions return to the same ideas in a direct form.

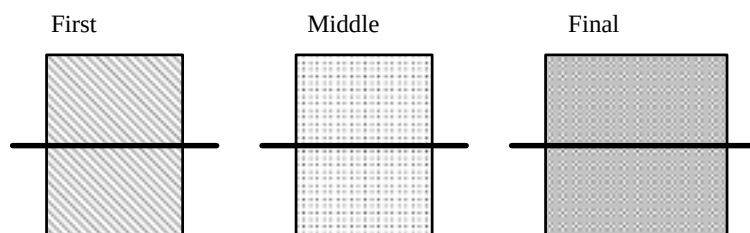
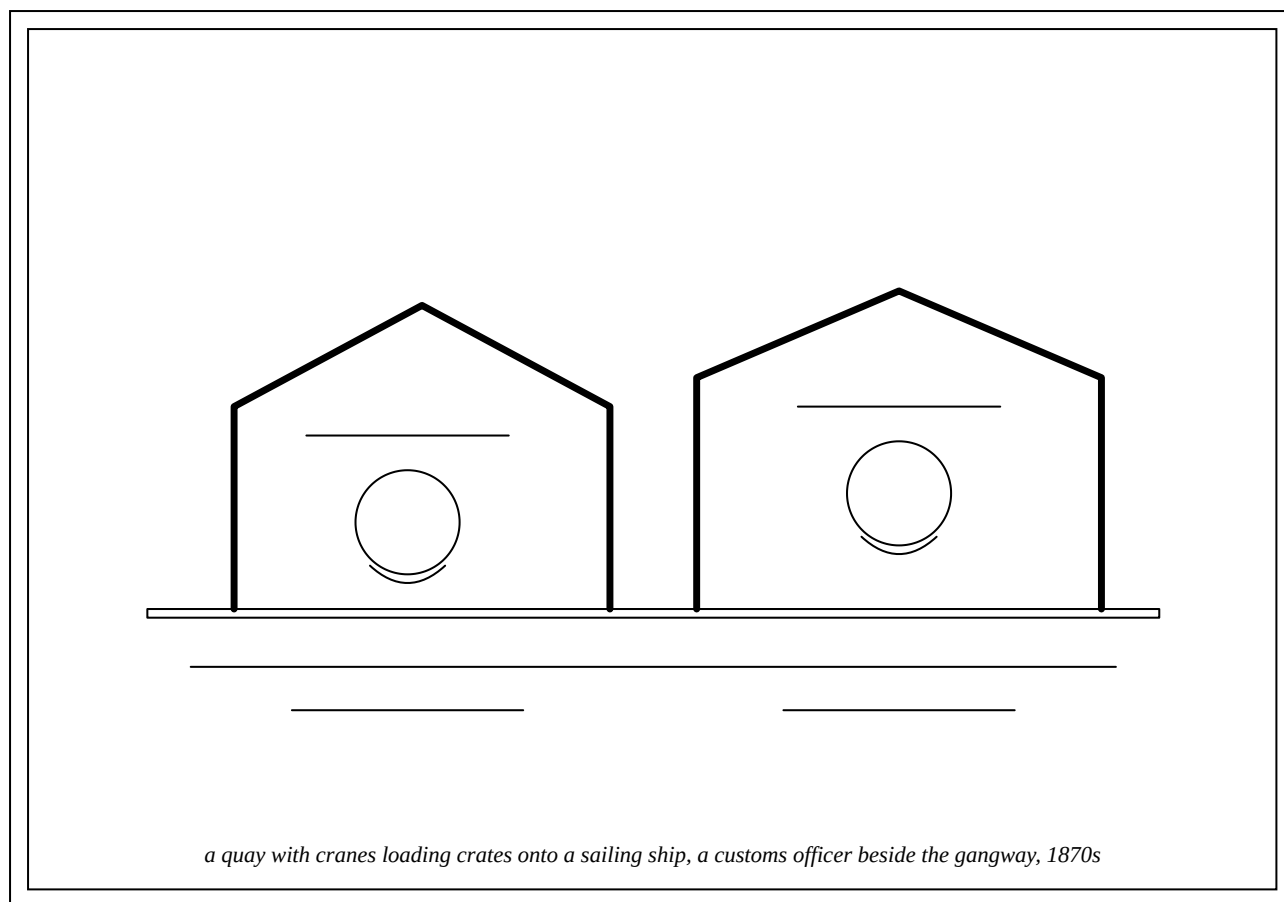


FIG. 9.1. *companies selling shares to investors in the primary market (left), and investors trading among themselves through brokers on the stock exchange in the secondary market (right)*

Cross-references connect this chapter to related ideas elsewhere in the book.

The chapter points to: Chapter 6, 'Joint Stock Company', section 6.3 'Forming a Company and Issuing a Prospectus' — the prospectus a public company issues; Chapter 12, 'Institutions and Business Combination', section 12.1 'Institutions That Promote Business' — the regulator of the share market. These references are reminders of where a related idea is developed; they do not introduce a new definition here.



CHAPTER X

Foreign Trade: Measuring It and Doing It

How does the business idea become a workable decision?



Explain why nations trade, how trade between nations is measured, and how an export or import is carried out, with the documents and barriers involved. The chapter builds the idea from ordinary experience to business practice.

Earlier ideas needed for this chapter are named before they are used.

Why Nations Trade, and Why It Matters begins with a concrete question before the rule is stated.

Foreign trade. the buying and selling of goods and services between people or businesses in different countries

The definition gives the boundary of foreign trade before the example is applied.

Visible trade. trade in goods that can be seen and counted at a port, such as books, cloth and machines

The definition gives the boundary of visible trade before the example is applied.

Letter of credit. a bank's written promise to pay the exporter once agreed documents are shown

The definition gives the boundary of letter of credit before the example is applied.

Non-tariff barrier. a rule or practice other than a tax that makes it harder to trade, such as a quota or a quality test

The definition gives the boundary of non-tariff barrier before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

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The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

You will need: Chapter 1, 'What Business Is, Does and Aims For', section 1.3 'Trade, Commerce and Industry'; Chapter 2, 'Resources, Location and Environment', section 2.1 'The Factors of Production'

10.1 WHY NATIONS TRADE, AND WHY IT MATTERS

Suppose you are looking at a business that must make a decision about why nations trade, and why it matters. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Foreign trade** means the buying and selling of goods and services between people or businesses in different countries. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Visible trade** means trade in goods that can be seen and counted at a port, such as books, cloth and machines. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Letter of credit** means a bank's written promise to pay the exporter once agreed documents are shown. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Non-tariff barrier** means a rule or practice other than a tax that makes it harder to trade, such as a quota or a quality test. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Why Nations Trade, and Why It Matters is what why nations trade: differences in resources and comparative advantage changes in an ordinary business decision.

The answer begins with the definition: Why nations trade: differences in resources and comparative advantage. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Why Nations Trade, and Why It Matters is what the importance of foreign trade to a country such as Bangladesh changes in an ordinary business decision.

The answer begins with the definition: The importance of foreign trade to a country such as Bangladesh. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a

different business meaning. This is the point to carry into the next example in Why Nations Trade, and Why It Matters.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Why Nations Trade, and Why It Matters.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Why Nations Trade, and Why It Matters.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Why Nations Trade, and Why It Matters.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Why Nations Trade, and Why It Matters.

Case file, illustrative. Carried forward. Meghna and Sons Limited is a company (since 1 April 2024). The figures here use an assumed rate of Tk 120 for one US dollar, chosen only for this illustration. Import: on 3 March 2025 the company opened a letter of credit for 1,500 English-language books from a publisher in the United Kingdom, invoice value US\$ 6,000 (Tk 720,000: 6,000 x 120). The goods were shipped on 28 March 2025 under a bill of lading of that date and reached Chattogram on 29 April 2025. Customs duty and taxes were Tk 108,000 (15% of 720,000) and the bank's charges on the letter of credit were Tk 7,200 (1% of 720,000). Landed cost Tk 835,200 (720,000 + 108,000 + 7,200), which is Tk 556.80 a book (835,200 / 1,500). Export: in 2025 the company also sold 200 Bangla books to a bookseller in London, invoice value US\$ 2,000 (Tk 240,000: 2,000 x 120). Balance of trade for the company's goods: 240,000 - 720,000 = minus Tk 480,000, a deficit. Invisible trade: marine insurance paid to a foreign insurer US\$ 150 (Tk 18,000: 150 x 120), so goods and services together show a deficit of Tk 498,000 (480,000 + 18,000).

* * *

Before moving on. Why Nations Trade, and Why It Matters can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

The section recap gathers the main point before the next section.

10.2 MEASURING TRADE BETWEEN NATIONS

Suppose you are looking at a business that must make a decision about measuring trade between nations. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

Measuring Trade Between Nations begins with a concrete question before the rule is stated.

Export. a good or service sold to a buyer in another country

The definition gives the boundary of export before the example is applied.

Invisible trade. trade in services, such as shipping, insurance and tourism, that cannot be seen at a port

The definition gives the boundary of invisible trade before the example is applied.

Bill of lading. a receipt and contract issued by a shipping company for goods it has accepted for carriage

The definition gives the boundary of bill of lading before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The word **Export** means a good or service sold to a buyer in another country. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Invisible trade** means trade in services, such as shipping, insurance and tourism, that cannot be seen at a port. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Bill of lading** means a receipt and contract issued by a shipping company for goods it has accepted for carriage. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Measuring Trade Between Nations is what visible and invisible trade, the balance of trade and the balance of payments changes in an ordinary business decision.

The answer begins with the definition: Visible and invisible trade, the balance of trade and the balance of payments. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Measuring Trade Between Nations is what reading a surplus or a deficit changes in an ordinary business decision.

The answer begins with the definition: Reading a surplus or a deficit. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Measuring Trade Between Nations.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Measuring Trade Between Nations.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Measuring Trade Between Nations.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Measuring Trade Between Nations.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Measuring Trade Between Nations.

* * *

Before moving on. Measuring Trade Between Nations can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

The section keeps the distinction practical and testable.

The section recap gathers the main point before the next section.

10.3 EXPORT AND IMPORT PROCEDURE AND DOCUMENTS

Suppose you are looking at a business that must make a decision about export and import procedure and documents. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Import** means a good or service bought from a seller in another country. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Balance of trade** means the value of a country's visible exports minus the value of its visible imports. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Charter party** means the contract by which the owner of a ship hires the whole ship, or part of it, to another business. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Export and Import Procedure and Documents is what the export and import procedure from first enquiry to payment and customs clearance changes in an ordinary business decision.

The answer begins with the definition: The export and import procedure from first enquiry to payment and customs clearance. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Export and Import Procedure and Documents is what the main documents in foreign trade, including the bill of lading and the charter party changes in an ordinary business decision.

The answer begins with the definition: The main documents in foreign trade, including the bill of lading and the charter party. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

Export and Import Procedure and Documents begins with a concrete question before the rule is stated.

Import. a good or service bought from a seller in another country

The definition gives the boundary of import before the example is applied.

Balance of trade. the value of a country's visible exports minus the value of its visible imports

The definition gives the boundary of balance of trade before the example is applied.

Charter party. the contract by which the owner of a ship hires the whole ship, or part of it, to another business

The definition gives the boundary of charter party before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section recap gathers the main point before the next section.

Barriers to Export Trade begins with a concrete question before the rule is stated.

Comparative advantage. a country's ability to make a good at a lower sacrifice of other goods than another country can

The definition gives the boundary of comparative advantage before the example is applied.

Balance of payments. the full record of money flowing into and out of a country over a period for all kinds of dealings

The definition gives the boundary of balance of payments before the example is applied.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Export and Import Procedure and Documents.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Export and Import Procedure and Documents.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Export and Import Procedure and Documents.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Export and Import Procedure and Documents.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Export and Import Procedure and Documents.

* * *

Before moving on. Export and Import Procedure and Documents can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

10.4 BARRIERS TO EXPORT TRADE

Suppose you are looking at a business that must make a decision about barriers to export trade. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Comparative advantage** means a country's ability to make a good at a lower sacrifice of other goods than another country can. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Balance of payments** means the full record of money flowing into and out of a country over a period for all kinds of dealings. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Customs duty** means a tax charged on goods when they cross a national border. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Barriers to Export Trade is what barriers to export trade in Bangladesh, and tariff and non-tariff barriers changes in an ordinary business decision.

The answer begins with the definition: Barriers to export trade in Bangladesh, and tariff and non-tariff barriers. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Barriers to Export Trade.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Barriers to Export Trade.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Barriers to Export Trade.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Barriers to Export Trade.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Barriers to Export Trade.

Case file, illustrative. Carried forward. Meghna and Sons Limited is a company (since 1 April 2024). The figures here use an assumed rate of Tk 120 for one US dollar, chosen only for this illustration. Import: on 3 March 2025 the company opened a letter of credit for 1,500 English-language books from a publisher in the United Kingdom, invoice value US\$ 6,000 (Tk 720,000: $6,000 \times 120$). The goods were shipped on 28 March 2025 under a bill of lading of that date and reached Chattogram on 29 April 2025. Customs duty and taxes were Tk 108,000 (15% of 720,000) and the bank's charges on the letter of credit were Tk 7,200 (1% of 720,000). Landed cost Tk 835,200 ($720,000 + 108,000 + 7,200$), which is Tk 556.80 a book ($835,200 / 1,500$). Export: in 2025 the company also sold 200 Bangla books to a bookseller in London, invoice value US\$ 2,000 (Tk 240,000: $2,000 \times 120$). Balance of trade for the company's goods: $240,000 - 720,000 =$ minus Tk 480,000, a deficit. Invisible trade: marine insurance paid to

Customs duty. a tax charged on goods when they cross a national border

The definition gives the boundary of customs duty before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

a foreign insurer US\$ 150 (Tk 18,000: 150×120), so goods and services together show a deficit of Tk 498,000 ($480,000 + 18,000$).

* * *

The section recap gathers the main point before the next section.

Before moving on. Barriers to Export Trade can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

WORKED CASE

A worked case shows how the chapter's ideas can be applied without turning the case into a story.

Situation. The documented running case contains recorded facts relevant to this chapter.

The running case applies the section's rule to recorded facts.

Case file, illustrative. Carried forward. Meghna and Sons Limited is a company (since 1 April 2024). The figures here use an assumed rate of Tk 120 for one US dollar, chosen only for this illustration. Import: on 3 March 2025 the company opened a letter of credit for 1,500 English-language books from a publisher in the United Kingdom, invoice value US\$ 6,000 (Tk 720,000: $6,000 \times 120$). The goods were shipped on 28 March 2025 under a bill of lading of that date and reached Chattogram on 29 April 2025. Customs duty and taxes were Tk 108,000 (15% of 720,000) and the bank's charges on the letter of credit were Tk 7,200 (1% of 720,000). Landed cost Tk 835,200 ($720,000 + 108,000 + 7,200$), which is Tk 556.80 a book ($835,200 / 1,500$). Export: in 2025 the company also sold 200 Bangla books to a bookseller in London, invoice value US\$ 2,000 (Tk 240,000: $2,000 \times 120$). Balance of trade for the company's goods: $240,000 - 720,000 =$ minus Tk 480,000, a deficit. Invisible trade: marine insurance paid to a foreign insurer US\$ 150 (Tk 18,000: 150×120), so goods and services together show a deficit of Tk 498,000 ($480,000 + 18,000$).

The question is tested by the rule rather than by invented assumptions.

Question. Which chapter idea best describes the recorded facts? Reasoning. Identify the relevant term, match it to the facts, and distinguish what is recorded from what would need further evidence. Conclusion. The rule can be applied only to the facts that satisfy its definition. Check. Change one fact and ask whether the same rule still applies.

SUMMARY

The chapter's main ideas can be recalled as a connected set rather than as isolated terms.

The central pattern is to identify the business situation, name the relevant idea, apply its rule, and then check its limits. The running case shows how the same principles operate in a recorded business setting. The definitions provide the vocabulary needed to make the distinctions precise.

THINK IT THROUGH

These questions test the ideas by changing the situation or asking for a distinction.

10.T1 explain comparative advantage with a pair of goods of your own

10.T2 separate visible from invisible trade with two examples of each

10.T3 list the steps of an export in order

10.T4 name five documents used in foreign trade and say what each does

10.T5 a country sells goods worth 48 billion and buys goods worth 61 billion, so find the balance of trade and say if it is a surplus or deficit

10.T6 a country has a deficit in goods but earns much from workers abroad, so say what the balance of payments might show and why

WHERE PEOPLE GO WRONG

One common error is to use a familiar word without checking its business meaning. Another is to apply a rule before identifying the facts that make the rule relevant. A third is to treat an example as proof that every business must behave in the same way. The correction in each case is to return to the definition, state the facts, apply the rule, and then test the exception.

Most errors arise when a related idea is treated as if it were identical.

IN HISTORY

David Ricardo's example of cloth and wine traded between England and Portugal in *On the Principles of Political Economy and Taxation*, 1817. Search hint: Ricardo 1817 comparative advantage wine cloth Portugal.. The historical example is useful because it places the business principle in time and gives the reader a concrete setting. It should not be treated as evidence for facts that are not stated in the chapter.

The historical case shows how the chapter's ideas appeared in a documented setting.

SOURCES

These sources support the historical or defining material used in the chapter.

REVIEW QUESTIONS

10.R1 explain comparative advantage with a pair of goods of your own

10.R2 separate visible from invisible trade with two examples of each

10.R3 list the steps of an export in order

10.R4 name five documents used in foreign trade and say what each does

10.R5 a country sells goods worth 48 billion and buys goods worth 61 billion, so find the balance of trade and say if it is a surplus or deficit

10.R6 a country has a deficit in goods but earns much from workers abroad, so say what the balance of payments might show and why

The review questions return to the same ideas in a direct form.

PAUSE AND CHECK 10.P1 after comparative advantage, and after the worked deficit

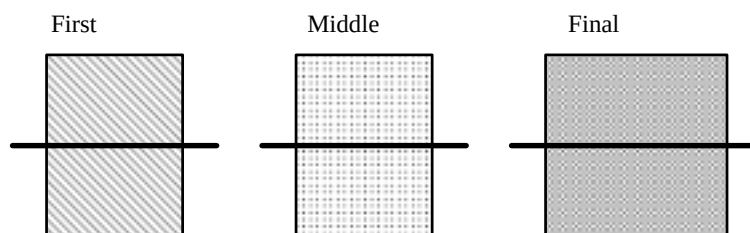


FIG. 10.1. *the steps of an export in order, from enquiry and order through letter of credit and shipment to payment, drawn as numbered boxes*

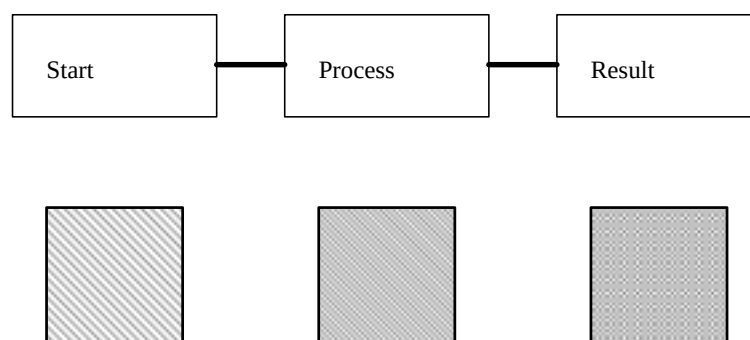
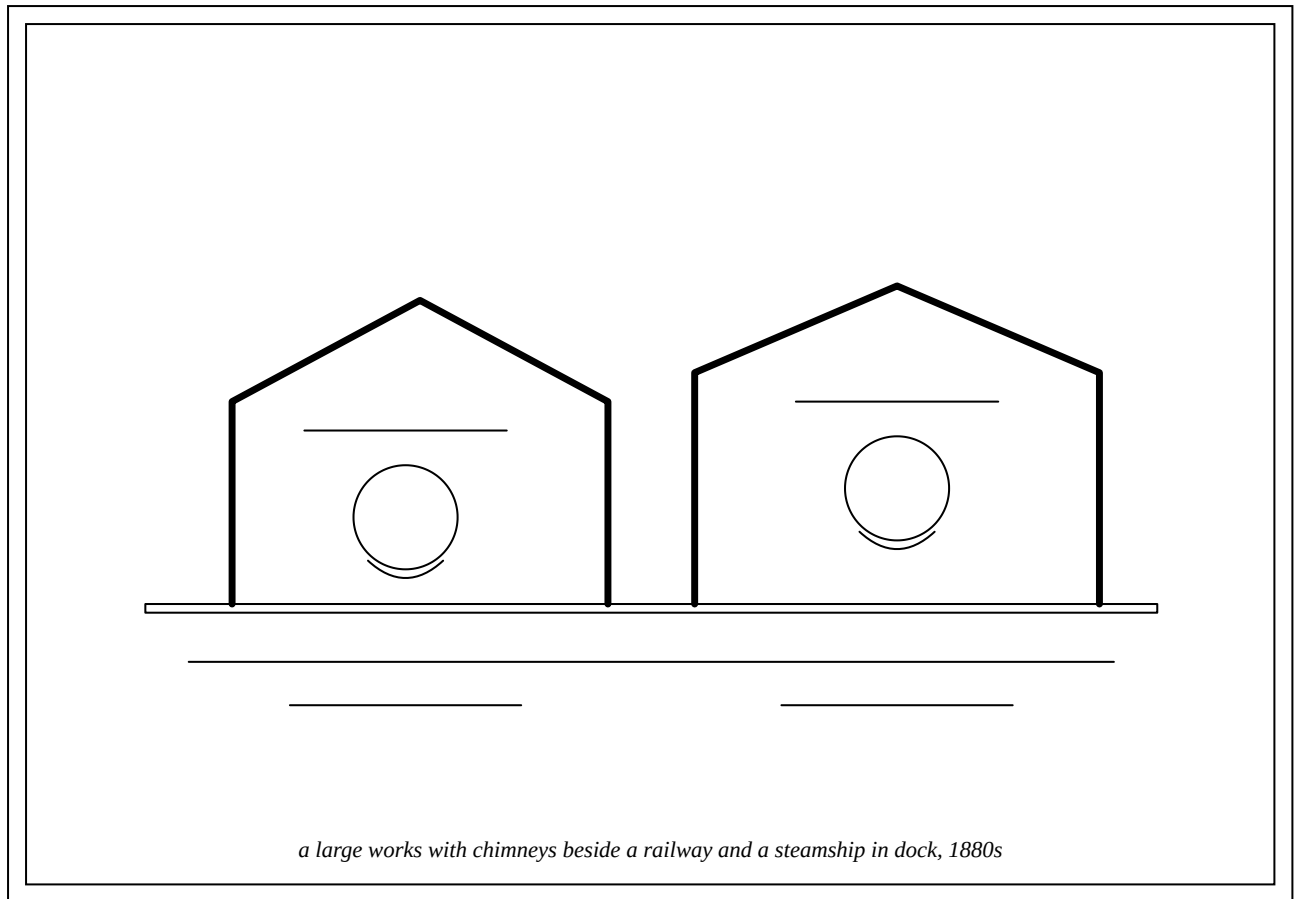


FIG. 10.2. *two hatched columns, exports and imports, with the gap between them labelled as the balance of trade*

Cross-references connect this chapter to related ideas elsewhere in the book.

The chapter points to: Chapter 11, 'Multinational Corporations', section 11.1 'What a Multinational Corporation Is' — firms that operate in several countries; Chapter 12, 'Institutions and Business Combination', section 12.2 'Zones, Export Bodies and Others' — bodies that help exporters. These references are reminders of where a related idea is developed; they do not introduce a new definition here.



CHAPTER XI

Multinational Corporations

How does the business idea become a workable decision?



Teach what a multinational corporation is, why firms become multinational, the three groups of staff such firms use, and the gains and problems for the countries that host them. The chapter builds the idea from ordinary experience to business practice.

Earlier ideas needed for this chapter are named before they are used.

What a Multinational Corporation Is begins with a concrete question before the rule is stated.

Multinational corporation. a company that owns and runs business operations in two or more countries

The definition gives the boundary of multinational corporation before the example is applied.

Subsidiary. a company that is owned or controlled by another, larger company called the parent

The definition gives the boundary of subsidiary before the example is applied.

Third-country national. an employee of a multinational who comes from neither its home nor its host country

The definition gives the boundary of third-country national before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

You will need: Chapter 6, 'Joint Stock Company', section 6.1 'The Company and Its Shares'; Chapter 10, 'Foreign Trade: Measuring It and Doing It', section 10.1 'Why Nations Trade, and Why It Matters'

11.1 WHAT A MULTINATIONAL CORPORATION IS

Suppose you are looking at a business that must make a decision about what a multinational corporation is. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Multinational corporation** means a company that owns and runs business operations in two or more countries. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Subsidiary** means a company that is owned or controlled by another, larger company called the parent. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Third-country national** means an employee of a multinational who comes from neither its home nor its host country. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in What a Multinational Corporation Is is what the multinational corporation and the reasons firms set up in other countries changes in an ordinary business decision.

The answer begins with the definition: The multinational corporation and the reasons firms set up in other countries. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in What a Multinational Corporation Is is what home country, host country and subsidiary changes in an ordinary business decision.

The answer begins with the definition: Home country, host country and subsidiary. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in What a Multinational Corporation Is.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This

is the point to carry into the next example in What a Multinational Corporation Is.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in What a Multinational Corporation Is.

The section keeps the distinction practical and testable.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in What a Multinational Corporation Is.

The section keeps the distinction practical and testable.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in What a Multinational Corporation Is.

The section keeps the distinction practical and testable.

Case file, illustrative. Case in this chapter is an illustrative multinational. Northwind Stationery plc (fictional) is headquartered in the United Kingdom and began operating through a subsidiary in Dhaka, Northwind Stationery Bangladesh Limited, on 5 May 2024. The parent invested US\$ 1,000,000, Tk 120,000,000 at the illustration's assumed rate of Tk 120 a dollar ($1,000,000 \times 120$). The subsidiary has 90 staff: 3 parent-country nationals from the United Kingdom, 2 third-country nationals from India, and 85 host-country nationals from Bangladesh ($3 + 2 + 85 = 90$). Host-country nationals are 94.4% of staff ($85 / 90$). From 1 September 2025 Meghna and Sons Limited has sold Northwind notebooks, and its purchases from the subsidiary between 1 September and 31 December 2025 were Tk 180,000.

The running case applies the section's rule to recorded facts.

* * *

Before moving on. What a Multinational Corporation Is can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

The section recap gathers the main point before the next section.

11.2 PEOPLE IN A MULTINATIONAL

Suppose you are looking at a business that must make a decision about people in a multinational. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

People in a Multinational begins with a concrete question before the rule is stated.

The word **Home country** means the country where a multinational has its headquarters and where its parent company is based. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

Home country. the country where a multinational has its headquarters and where its parent company is based

The definition gives the boundary of home country before the example is applied.

Parent-country national. an employee of a multinational who comes from the country of its headquarters

The definition gives the boundary of parent-country national before the example is applied.

Technology transfer. the passing of knowledge, machines and methods from one country or firm to another

The definition gives the boundary of technology transfer before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section recap gathers the main point before the next section.

The word **Parent-country national** means an employee of a multinational who comes from the country of its headquarters. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Technology transfer** means the passing of knowledge, machines and methods from one country or firm to another. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in *People in a Multinational* is what parent-country, host-country and third-country nationals in a multinational's staff changes in an ordinary business decision.

The answer begins with the definition: Parent-country, host-country and third-country nationals in a multinational's staff. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in *People in a Multinational*.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in *People in a Multinational*.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in *People in a Multinational*.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in *People in a Multinational*.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in *People in a Multinational*.

* * *

Before moving on. *People in a Multinational* can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

11.3 WHY MULTINATIONALS MATTER, AND THEIR PROBLEMS

Suppose you are looking at a business that must make a decision about why multinationals matter, and their problems. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Host country** means a country in which a multinational sets up a branch or subsidiary and operates. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Host-country national** means an employee of a multinational who comes from the country where it is operating. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Why Multinationals Matter, and Their Problems is what the gains a multinational brings to a host country and the problems it can cause changes in an ordinary business decision.

The answer begins with the definition: The gains a multinational brings to a host country and the problems it can cause. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Why Multinationals Matter, and Their Problems is what technology transfer and the way a country such as Bangladesh deals with multinationals changes in an ordinary business decision.

The answer begins with the definition: Technology transfer and the way a country such as Bangladesh deals with multinationals. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Why Multinationals Matter, and Their Problems.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Why Multinationals Matter, and Their Problems.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Why Multinationals Matter, and Their Problems.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern

Why Multinationals Matter, and Their Problems begins with a concrete question before the rule is stated.

Host country. a country in which a multinational sets up a branch or subsidiary and operates

The definition gives the boundary of host country before the example is applied.

Host-country national. an employee of a multinational who comes from the country where it is operating

The definition gives the boundary of host-country national before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

The section recap gathers the main point before the next section.

The rule becomes more useful when the surrounding conditions are made explicit.

A second test is to ask what the idea does not include.

The principle can also be viewed from different positions.

A final application should return to the evidence.

A worked case shows how the chapter's ideas can be applied without turning the case into a story.

without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Why Multinationals Matter, and Their Problems.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Why Multinationals Matter, and Their Problems.

Case file, illustrative. Case in this chapter is an illustrative multinational. Northwind Stationery plc (fictional) is headquartered in the United Kingdom and began operating through a subsidiary in Dhaka, Northwind Stationery Bangladesh Limited, on 5 May 2024. The parent invested US\$ 1,000,000, Tk 120,000,000 at the illustration's assumed rate of Tk 120 a dollar ($1,000,000 \times 120$). The subsidiary has 90 staff: 3 parent-country nationals from the United Kingdom, 2 third-country nationals from India, and 85 host-country nationals from Bangladesh ($3 + 2 + 85 = 90$). Host-country nationals are 94.4% of staff ($85 / 90$). From 1 September 2025 Meghna and Sons Limited has sold Northwind notebooks, and its purchases from the subsidiary between 1 September and 31 December 2025 were Tk 180,000.

* * *

Before moving on. Why Multinationals Matter, and Their Problems can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

A business decision is affected by the setting in which it is made. The same form of ownership, resource choice, responsibility, or market arrangement can have different consequences when the people, law, money, or purpose changes. The reader should therefore state the relevant conditions before applying the rule. This is not an extra complication; it is part of using the definition accurately.

Definitions are useful because they separate one idea from another. A supplier is not the same as an investor, a shareholder is not the same as a manager, and a business decision is not the same as its eventual result. When two terms appear together, ask what question each term answers. That question often reveals the boundary more quickly than memorising a longer description.

An owner may focus on control and risk. A manager may focus on workable procedures. An employee may focus on duties and conditions. A customer may focus on price, quality, and service. These viewpoints do not change the definition of a term. They help the reader see why the same business arrangement can matter to several groups at once.

Before accepting a conclusion, identify the figures, dates, people, and decisions that support it. Then separate those facts from assumptions. If the evidence is incomplete, the conclusion should remain limited to what the evidence supports. This habit is especially important when a business case crosses different forms of ownership, institutions, countries, or periods.

WORKED CASE

Situation. The documented running case contains recorded facts relevant to this chapter.

Case file, illustrative. Case in this chapter is an illustrative multinational. Northwind Stationery plc (fictional) is headquartered in the United Kingdom and began operating through a subsidiary in Dhaka, Northwind Stationery Bangladesh Limited, on 5 May 2024. The parent invested US\$ 1,000,000, Tk 120,000,000 at the illustration's assumed rate of Tk 120 a dollar ($1,000,000 \times 120$). The subsidiary has 90 staff: 3 parent-country nationals from the United Kingdom, 2 third-country nationals from India, and 85 host-country nationals from Bangladesh ($3 + 2 + 85 = 90$). Host-country nationals are 94.4% of staff ($85 / 90$). From 1 September 2025 Meghna and Sons Limited has sold Northwind notebooks, and its purchases from the subsidiary between 1 September and 31 December 2025 were Tk 180,000.

Question. Which chapter idea best describes the recorded facts? Reasoning. Identify the relevant term, match it to the facts, and distinguish what is recorded from what would need further evidence. Conclusion. The rule can be applied only to the facts that satisfy its definition. Check. Change one fact and ask whether the same rule still applies.

The running case applies the section's rule to recorded facts.

The question is tested by the rule rather than by invented assumptions.

SUMMARY

The central pattern is to identify the business situation, name the relevant idea, apply its rule, and then check its limits. The running case shows how the same principles operate in a recorded business setting. The definitions provide the vocabulary needed to make the distinctions precise.

The chapter's main ideas can be recalled as a connected set rather than as isolated terms.

THINK IT THROUGH

11.T1 define multinational corporation and name three reasons a firm becomes one

11.T2 tell home country from host country with an example

11.T3 explain the three groups of staff and why a multinational mixes them

11.T4 list two gains and two problems for a host country

11.T5 a foreign factory will employ 400 local workers and train them, but may send most of its profit abroad and push local makers out, so weigh both sides and say what rules a government might set

These questions test the ideas by changing the situation or asking for a distinction.

WHERE PEOPLE GO WRONG

One common error is to use a familiar word without checking its business meaning. Another is to apply a rule before identifying the facts that make the rule relevant. A third is to treat an example as proof that every business must behave in the same way. The correction in each case is to return to the definition, state the facts, apply the rule, and then test the exception.

Most errors arise when a related idea is treated as if it were identical.

IN HISTORY

The Singer Manufacturing Company's factory at Kilbowie, near Glasgow, Scotland, opened in 1867 as one of the first overseas factories of an American firm. Search hint: Singer Kilbowie factory 1867 Scotland first overseas.. The historical example is useful because it places the business principle in time and gives the reader a concrete

The historical case shows how the chapter's ideas appeared in a documented setting.

setting. It should not be treated as evidence for facts that are not stated in the chapter.

REVIEW QUESTIONS

The review questions return to the same ideas in a direct form.

11.R1 define multinational corporation and name three reasons a firm becomes one

11.R2 tell home country from host country with an example

11.R3 explain the three groups of staff and why a multinational mixes them

11.R4 list two gains and two problems for a host country

11.R5 a foreign factory will employ 400 local workers and train them, but may send most of its profit abroad and push local makers out, so weigh both sides and say what rules a government might set

PAUSE AND CHECK 11.P1 after the three groups of staff, and after the gains and problems

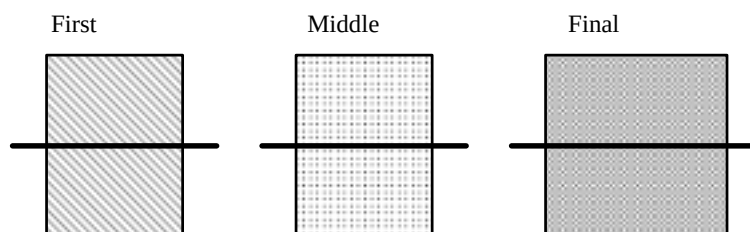
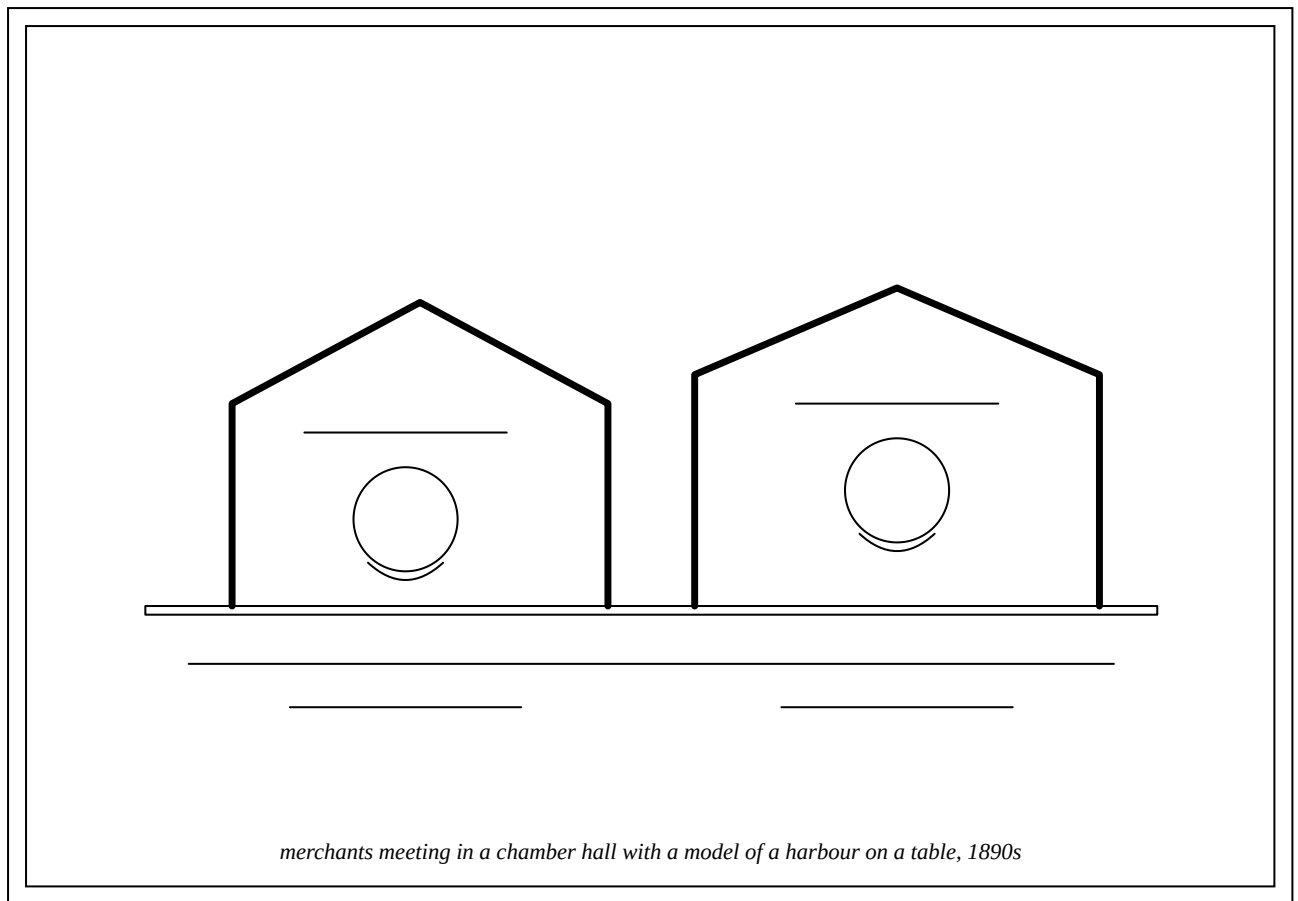


FIG. 11.1. a parent company in its home country with a subsidiary in a host country, and three groups of staff labelled by their country of origin

Cross-references connect this chapter to related ideas elsewhere in the book.

The chapter points to: Chapter 10, 'Foreign Trade: Measuring It and Doing It', section 10.1 'Why Nations Trade, and Why It Matters' — the gains from trade that multinationals extend; Chapter 12, 'Institutions and Business Combination', section 12.2 'Zones, Export Bodies and Others' — zones that attract overseas investors. These references are reminders of where a related idea is developed; they do not introduce a new definition here.



C H A P T E R X I I

Institutions and Business Combination

How does the business idea become a workable decision?



Teach the bodies that promote and regulate business in Bangladesh, and why and how businesses combine, with the opportunities and threats of combining. The chapter builds the idea from ordinary experience to business practice.

Earlier ideas needed for this chapter are named before they are used.

Institutions That Promote Business begins with a concrete question before the rule is stated.

Securities regulator. a public body that makes and enforces rules for the share market in order to protect investors

The definition gives the boundary of securities regulator before the example is applied.

Cartel. a loose agreement among businesses that stay separate but fix prices or output together

The definition gives the boundary of cartel before the example is applied.

Vertical integration. joining businesses at different stages of the chain, such as a printer, a wholesaler and a shop

The definition gives the boundary of vertical integration before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

You will need: Chapter 6, 'Joint Stock Company', section 6.1 'The Company and Its Shares'; Chapter 9, 'The Share Market', section 9.3 'Stock Exchanges and the Dhaka Stock Exchange'

12.1 INSTITUTIONS THAT PROMOTE BUSINESS

Suppose you are looking at a business that must make a decision about institutions that promote business. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Securities regulator** means a public body that makes and enforces rules for the share market in order to protect investors. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Cartel** means a loose agreement among businesses that stay separate but fix prices or output together. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Vertical integration** means joining businesses at different stages of the chain, such as a printer, a wholesaler and a shop. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Institutions That Promote Business is what the role of bodies that promote and regulate business, including the securities regulator changes in an ordinary business decision.

The answer begins with the definition: The role of bodies that promote and regulate business, including the securities regulator. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Institutions That Promote Business is what chambers of commerce and the national federation of chambers changes in an ordinary business decision.

The answer begins with the definition: Chambers of commerce and the national federation of chambers. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Institutions That Promote Business.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about

customers can affect service and revenue. This is the point to carry into the next example in Institutions That Promote Business.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Institutions That Promote Business.

The section keeps the distinction practical and testable.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Institutions That Promote Business.

The section keeps the distinction practical and testable.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Institutions That Promote Business.

The section keeps the distinction practical and testable.

Case file, illustrative. Carried forward. Meghna and Sons Limited has been a member since 1 July 2022 of a district traders' chamber that belongs to a national federation of chambers (illustrative), with an annual subscription of Tk 12,000. Sales for the year ended 31 March 2026 were Tk 3,600,000. On 12 May 2026 the board considered buying a printing press for Tk 2,500,000 (vertical integration) and rejected it. On 1 June 2026 the company took over Shapla Books, a shop with annual sales of Tk 1,800,000, for Tk 900,000, paid by a bank loan of Tk 500,000 and retained profit of Tk 400,000 ($500,000 + 400,000 = 900,000$). Shapla Books ceased to exist as a separate firm. Combined annual sales of the two shops are Tk 5,400,000 ($3,600,000 + 1,800,000$), and Shapla Books' sales are one third of the combined figure.

The running case applies the section's rule to recorded facts.

* * *

Before moving on. Institutions That Promote Business can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

The section recap gathers the main point before the next section.

12.2 ZONES, EXPORT BODIES AND OTHERS

Suppose you are looking at a business that must make a decision about zones, export bodies and others. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

Zones, Export Bodies and Others begins with a concrete question before the rule is stated.

The word **Chamber of commerce** means an association of local businesses that speaks for them and helps them trade. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

Chamber of commerce. an association of local businesses that speaks for them and helps them trade

The definition gives the boundary of chamber of commerce before the example is applied.

The word **Holding company** means a company that controls others by owning enough of their shares. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

Holding company. a company that controls others by owning enough of their shares

The definition gives the boundary of holding company before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section recap gathers the main point before the next section.

The useful question in Zones, Export Bodies and Others is what export processing zones and the authority that runs them changes in an ordinary business decision.

The answer begins with the definition: Export processing zones and the authority that runs them. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Zones, Export Bodies and Others is what the export promotion body, the trade corporation and other support bodies (the writer confirms each body's full name and role) changes in an ordinary business decision.

The answer begins with the definition: The export promotion body, the trade corporation and other support bodies (the writer confirms each body's full name and role). This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Zones, Export Bodies and Others.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Zones, Export Bodies and Others.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Zones, Export Bodies and Others.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Zones, Export Bodies and Others.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Zones, Export Bodies and Others.

* * *

Before moving on. Zones, Export Bodies and Others can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

12.3 FORMS OF BUSINESS COMBINATION

Suppose you are looking at a business that must make a decision about forms of business combination. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Export processing zone** means a designated area with special facilities and incentives, set up to attract factories that make goods for export. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Merger** means the joining of two or more businesses into one, with the owners of each becoming owners of the new business. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Forms of Business Combination is what forms of combination: cartel, holding company, merger and the directions of integration changes in an ordinary business decision.

The answer begins with the definition: Forms of combination: cartel, holding company, merger and the directions of integration. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Forms of Business Combination.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Forms of Business Combination.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Forms of Business Combination.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Forms of Business Combination.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects.

Forms of Business Combination begins with a concrete question before the rule is stated.

Export processing zone. a designated area with special facilities and incentives, set up to attract factories that make goods for export

The definition gives the boundary of export processing zone before the example is applied.

Merger. the joining of two or more businesses into one, with the owners of each becoming owners of the new business

The definition gives the boundary of merger before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

This is the point to carry into the next example in Forms of Business Combination.

* * *

The section recap gathers the main point before the next section.

Before moving on. Forms of Business Combination can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

12.4 OPPORTUNITIES AND THREATS

Opportunities and Threats begins with a concrete question before the rule is stated.

Suppose you are looking at a business that must make a decision about opportunities and threats. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

Business combination. two or more businesses joining together, by agreement or by one taking over another, to act as a larger unit

The definition gives the boundary of business combination before the example is applied.

The word **Business combination** means two or more businesses joining together, by agreement or by one taking over another, to act as a larger unit. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

Horizontal integration. joining businesses that sell the same kind of good or service at the same stage of the chain

The definition gives the boundary of horizontal integration before the example is applied.

The word **Horizontal integration** means joining businesses that sell the same kind of good or service at the same stage of the chain. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The paragraph connects the idea to a practical business question.

The useful question in Opportunities and Threats is what why businesses combine, and the opportunities and threats that follow changes in an ordinary business decision.

The paragraph connects the idea to a practical business question.

The answer begins with the definition: Why businesses combine, and the opportunities and threats that follow. This gives the idea a boundary, so it can be distinguished from nearby ideas.

The paragraph connects the idea to a practical business question.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The section keeps the distinction practical and testable.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Opportunities and Threats.

The section keeps the distinction practical and testable.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Opportunities and Threats.

The section keeps the distinction practical and testable.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Opportunities and Threats.

The section keeps the distinction practical and testable.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters,

the reader should identify the country or institution involved. This is the point to carry into the next example in Opportunities and Threats.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Opportunities and Threats.

Case file, illustrative. Carried forward. Meghna and Sons Limited has been a member since 1 July 2022 of a district traders' chamber that belongs to a national federation of chambers (illustrative), with an annual subscription of Tk 12,000. Sales for the year ended 31 March 2026 were Tk 3,600,000. On 12 May 2026 the board considered buying a printing press for Tk 2,500,000 (vertical integration) and rejected it. On 1 June 2026 the company took over Shapla Books, a shop with annual sales of Tk 1,800,000, for Tk 900,000, paid by a bank loan of Tk 500,000 and retained profit of Tk 400,000 ($500,000 + 400,000 = 900,000$). Shapla Books ceased to exist as a separate firm. Combined annual sales of the two shops are Tk 5,400,000 ($3,600,000 + 1,800,000$), and Shapla Books' sales are one third of the combined figure.

* * *

Before moving on. Opportunities and Threats can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

The section recap gathers the main point before the next section.

WORKED CASE

Situation. The documented running case contains recorded facts relevant to this chapter.

Case file, illustrative. Carried forward. Meghna and Sons Limited has been a member since 1 July 2022 of a district traders' chamber that belongs to a national federation of chambers (illustrative), with an annual subscription of Tk 12,000. Sales for the year ended 31 March 2026 were Tk 3,600,000. On 12 May 2026 the board considered buying a printing press for Tk 2,500,000 (vertical integration) and rejected it. On 1 June 2026 the company took over Shapla Books, a shop with annual sales of Tk 1,800,000, for Tk 900,000, paid by a bank loan of Tk 500,000 and retained profit of Tk 400,000 ($500,000 + 400,000 = 900,000$). Shapla Books ceased to exist as a separate firm. Combined annual sales of the two shops are Tk 5,400,000 ($3,600,000 + 1,800,000$), and Shapla Books' sales are one third of the combined figure.

Question. Which chapter idea best describes the recorded facts? Reasoning. Identify the relevant term, match it to the facts, and distinguish what is recorded from what would need further evidence. Conclusion. The rule can be applied only to the facts that satisfy its definition. Check. Change one fact and ask whether the same rule still applies.

A worked case shows how the chapter's ideas can be applied without turning the case into a story.

The running case applies the section's rule to recorded facts.

The question is tested by the rule rather than by invented assumptions.

SUMMARY

The central pattern is to identify the business situation, name the relevant idea, apply its rule, and then check its limits. The running case shows how the same principles operate in a recorded business setting. The definitions provide the vocabulary needed to make the distinctions precise.

The chapter's main ideas can be recalled as a connected set rather than as isolated terms.

These questions test the ideas by changing the situation or asking for a distinction.

THINK IT THROUGH

- 12.T1 say what a chamber of commerce does for its members
- 12.T2 describe the purpose of an export processing zone
- 12.T3 compare a cartel, a holding company and a merger
- 12.T4 tell horizontal from vertical integration with an example of each
- 12.T5 three bakeries each earning Tk 60,000 a month consider joining, so list two opportunities and two threats and decide whether to merge or only cooperate

Most errors arise when a related idea is treated as if it were identical.

WHERE PEOPLE GO WRONG

One common error is to use a familiar word without checking its business meaning. Another is to apply a rule before identifying the facts that make the rule relevant. A third is to treat an example as proof that every business must behave in the same way. The correction in each case is to return to the definition, state the facts, apply the rule, and then test the exception.

The historical case shows how the chapter's ideas appeared in a documented setting.

IN HISTORY

The Standard Oil Trust of 1882 in the United States, the Sherman Antitrust Act of 1890, and the order of 1911 that broke the company into parts. Search hint: Standard Oil trust 1882 Sherman Act 1890 breakup 1911.. The historical example is useful because it places the business principle in time and gives the reader a concrete setting. It should not be treated as evidence for facts that are not stated in the chapter.

The review questions return to the same ideas in a direct form.

REVIEW QUESTIONS

- 12.R1 say what a chamber of commerce does for its members
- 12.R2 describe the purpose of an export processing zone
- 12.R3 compare a cartel, a holding company and a merger
- 12.R4 tell horizontal from vertical integration with an example of each
- 12.R5 three bakeries each earning Tk 60,000 a month consider joining, so list two opportunities and two threats and decide whether to merge or only cooperate
- PAUSE AND CHECK 12.P1** after the securities regulator, and after the forms of combination

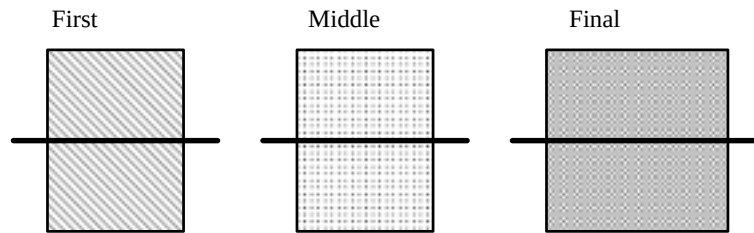


FIG. 12.1. two drawings side by side: horizontal combination (three shops of the same kind joined) and vertical combination (a printer, a wholesaler and a shop joined along one chain)

The chapter points to: Chapter 9, 'The Share Market', section 9.3 'Stock Exchanges and the Dhaka Stock Exchange' — the market the securities regulator oversees; Chapter 10, 'Foreign Trade: Measuring It and Doing It', section 10.4 'Barriers to Export Trade' — the barriers these bodies help exporters overcome; Chapter 6, 'Joint Stock Company', section 6.1 'The Company and Its Shares' — a holding company is a company that owns shares in others. These references are reminders of where a related idea is developed; they do not introduce a new definition here.

Cross-references connect this chapter to related ideas elsewhere in the book.

APPENDIX A

Maths You Will Use



A.1 A1.1 | PERCENTAGES AND PERCENTAGE CHANGE

Percentages express a part in relation to one hundred.

Percentage. a part expressed out of one hundred

Percentage change compares a new amount with an earlier amount.

The term **Percentage** means a part expressed out of one hundred. If 25 of 100 books are sold, the percentage sold is 25%.

Percentage change is found by taking the change, dividing by the original amount, and multiplying by 100. If sales rise from 200 to 250, the change is 50 and the percentage change is $50 \div 200 \times 100 = 25\%$.

A.2 A1.2 | RATIOS AND AVERAGES

Ratios compare quantities by showing their relative sizes.

Ratio. a comparison of two quantities using division

An average gives one representative value for a group of quantities.

Average. a value found by combining quantities and dividing by their number

The term **Ratio** means a comparison of two quantities using division. If a business has 4 workers and 2 supervisors, the ratio of workers to supervisors is 4 : 2, which can be simplified to 2 : 1.

The term **Average** means a value found by combining quantities and dividing by their number. For 10, 20 and 30, the average is $(10 + 20 + 30) \div 3 = 20$.

A.3 A1.3 | REARRANGING AN EQUATION AND ROUNDING

An equation can be rearranged by performing the same operation on both sides.

Rounding should be done only at the requested level of accuracy.

If sales = price $\times$ quantity, then quantity = sales $\div$ price. For sales of Tk 600 and a price of Tk 20, quantity = $600 \div 20 = 30$.

If a calculation gives 1,666.666..., rounded to the nearest taka it becomes Tk 1,667. Keep extra figures during intermediate steps when rounding early would change the final result.

A.4 A1.4 | READING A GRAPH

A graph shows a relationship visually, so first identify its axes and units.

A graph must be read from its scale, labels and plotted values rather than from appearance alone.

This is a reference check for applying the numerical rule safely.

The horizontal axis normally shows the independent quantity and the vertical axis shows the quantity being measured. A point on the graph represents one pair of values. A rising line means the vertical measure increases as the horizontal measure increases.

Check the units on both axes, locate the relevant point, and compare points using the same scale. If the graph begins above zero, do not treat the visible height as the amount itself without reading the axis labels.

When using any calculation in the book, write the given figures first, identify what is required, choose the operation, show each arithmetic step, state the answer with units, and make a quick check. These habits reduce errors caused by mixed units, wrong bases for percentage change, reversed ratios, early rounding, or misread graph scales.

When using any calculation in the book, write the given figures first, identify what is required, choose the operation, show each arithmetic step, state the answer with units, and make a quick check. These habits reduce errors caused by mixed units, wrong bases for percentage change, reversed ratios, early rounding, or misread graph scales.

This is a reference check for applying the numerical rule safely.

When using any calculation in the book, write the given figures first, identify what is required, choose the operation, show each arithmetic step, state the answer with units, and make a quick check. These habits reduce errors caused by mixed units, wrong bases for percentage change, reversed ratios, early rounding, or misread graph scales.

This is a reference check for applying the numerical rule safely.

When using any calculation in the book, write the given figures first, identify what is required, choose the operation, show each arithmetic step, state the answer with units, and make a quick check. These habits reduce errors caused by mixed units, wrong bases for percentage change, reversed ratios, early rounding, or misread graph scales.

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When using any calculation in the book, write the given figures first, identify what is required, choose the operation, show each arithmetic step, state the answer with units, and make a quick check. These habits reduce errors caused by mixed units, wrong bases for percentage change, reversed ratios, early rounding, or misread graph scales.

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When using any calculation in the book, write the given figures first, identify what is required, choose the operation, show each arithmetic step, state the answer with units, and make a quick check. These habits reduce errors caused by mixed units, wrong bases for percentage change, reversed ratios, early rounding, or misread graph scales.

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When using any calculation in the book, write the given figures first, identify what is required, choose the operation, show each arithmetic step, state the answer with units, and make a quick check. These habits reduce errors caused by mixed units, wrong bases for percentage change, reversed ratios, early rounding, or misread graph scales.

This is a reference check for applying the numerical rule safely.

When using any calculation in the book, write the given figures first, identify what is required, choose the operation, show each arithmetic step, state the answer with units, and make a quick check. These habits reduce errors caused by mixed units, wrong bases for percentage change, reversed ratios, early rounding, or misread graph scales.

This is a reference check for applying the numerical rule safely.

GLOSSARY

Active partner. a partner who takes a full part in running the business day to day. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter V*)

Articles of association. the rules for running the company inside, including meetings, directors and shares. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VI*)

Authorised capital. the largest amount of share capital that a company is permitted to raise under its rules. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VI*)

Average. a value found by combining quantities and dividing by their number. (*Appendix A*)

Balance of payments. the full record of money flowing into and out of a country over a period for all kinds of dealings. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter X*)

Balance of trade. the value of a country's visible exports minus the value of its visible imports. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter X*)

Bill of lading. a receipt and contract issued by a shipping company for goods it has accepted for carriage. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter X*)

Board of directors. the group chosen by shareholders to guide the company and appoint its senior managers. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VI*)

Broker. a licensed person or firm that buys and sells shares for clients and earns a fee. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter IX*)

Business. an activity that supplies goods or services to customers in the hope of earning a profit. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter I*)

Business combination. two or more businesses joining together, by agreement or by one taking over another, to act as a larger unit. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter XII*)

Business ethics. the standards of right and wrong that guide how a business treats people and makes decisions. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter III*)

Capital. the money and the man-made means of production, such as tools, stock and buildings, used to earn more. The term should be used only in this stated sense in the chapter.

A small business example can make the boundary easier to recognise. (*Chapter II*)

Cartel. a loose agreement among businesses that stay separate but fix prices or output together. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter XII*)

Certificate of commencement. the official paper that allows a public company to start business after it has raised enough money. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VI*)

Certificate of incorporation. the official paper that proves the company legally exists as a separate person. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VI*)

Chamber of commerce. an association of local businesses that speaks for them and helps them trade. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter XII*)

Charter party. the contract by which the owner of a ship hires the whole ship, or part of it, to another business. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter X*)

Commerce. all the activities that help goods move from maker to user, including trade and the services that support it. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter I*)

Company. a business that the law treats as a separate person, owned by shareholders through shares. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VI*)

Comparative advantage. a country's ability to make a good at a lower sacrifice of other goods than another country can. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter X*)

Consumer cooperative. a society that buys goods in bulk and sells them to members at fair prices. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VII*)

Cooperative society. a business owned and run by its members, who join to meet a shared need rather than to earn the largest profit. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VII*)

Credit cooperative. a society that collects savings from members and lends to them on fair terms. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VII*)

Customs duty. a tax charged on goods when they cross a national border. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter X*)

Democratic control. the rule that each member has one vote, however many shares or how much business they bring. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VII*)

Departmental undertaking. a state business run as a part of a government office and funded from its budget. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VIII*)

Dissolution. the ending of the partnership between the partners, or of the whole business, with its affairs settled. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter V*)

Dividend. the part of a company's profit that is paid out to its shareholders. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VI*)

Entrepreneur. the person who combines the other resources, takes the risk and organises a business to meet a need. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter II*)

Environment. everything outside and around a business that can affect it, and everything inside that it controls. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter II*)

Exchange. giving one thing and receiving another in return, whether goods, services or money. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter I*)

Export. a good or service sold to a buyer in another country. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter X*)

Export processing zone. a designated area with special facilities and incentives, set up to attract factories that make goods for export. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter XII*)

External environment. the forces outside the business that it cannot control but must respond to. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter II*)

Factors of production. the resources a business must combine to make or sell anything: land, labour, capital and the entrepreneur. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter II*)

Foreign trade. the buying and selling of goods and services between people or businesses in different countries. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter X*)

Good. a physical item that can be touched and owned, such as a book, a chair or a bag of rice. The term should be used only in this stated sense in the chapter.

A small business example can make the boundary easier to recognise. (*Chapter I*)

Government company. a company, formed under company law, in which the government owns most or all of the shares. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VIII*)

Holding company. a company that controls others by owning enough of their shares. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter XII*)

Home country. the country where a multinational has its headquarters and where its parent company is based. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter XI*)

Horizontal integration. joining businesses that sell the same kind of good or service at the same stage of the chain. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter XII*)

Host country. a country in which a multinational sets up a branch or subsidiary and operates. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter XI*)

Host-country national. an employee of a multinational who comes from the country where it is operating. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter XI*)

Import. a good or service bought from a seller in another country. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter X*)

Industry. the making or growing of goods, or the extraction of materials, by people who use skill, tools and effort. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter I*)

Initial public offering. the first time a company invites the public to buy its shares. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter IX*)

Internal environment. the parts of the environment that the business controls: owners, managers, employees, methods and resources. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter II*)

Investor. a person or organisation that puts money into a business in the hope of getting more money back. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter III*)

Invisible trade. trade in services, such as shipping, insurance and tourism, that cannot be seen at a port. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter X*)

Labour. the physical and mental effort that people give to producing goods or services. The term should be used only in this stated sense in the chapter.

A small business example can make the boundary easier to recognise. (*Chapter II*)

Land. all natural resources and the ground itself, including soil, water, minerals and the site of a shop. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter II*)

Legal person. an organisation that the law treats as separate from its owners, able to own property and make contracts. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter IV*)

Letter of credit. a bank's written promise to pay the exporter once agreed documents are shown. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter X*)

Liability. the duty to pay what the business owes, whether to a supplier, a lender or an employee. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter IV*)

Limited liability. the owner can lose only the money put into the business, and personal property stays safe. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter IV*)

Location. the place where a business carries out its work, chosen from the available sites. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter II*)

Marketing cooperative. a society that gathers members' products, such as crops, and sells them for a better price. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VII*)

Memorandum of association. the founding document that states a company's name, aims, home and capital. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VI*)

Merger. the joining of two or more businesses into one, with the owners of each becoming owners of the new business. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter XII*)

Monopoly. a market in which only one seller supplies a good or service, so customers have no choice. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VIII*)

Multinational corporation. a company that owns and runs business operations in two or more countries. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter XI*)

Nationalisation. the act of a government taking over a privately owned business and making it state property. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VIII*)

Need. something a person must have to live safely and in health, such as food, water, shelter and basic care. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter I*)

Nominal partner. a person who lends their name to the business and takes no share, yet may still be answerable to outsiders. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter V*)

Non-tariff barrier. a rule or practice other than a tax that makes it harder to trade, such as a quota or a quality test. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter X*)

Open membership. the rule that anyone who meets the society's basic conditions may join, with no unfair barrier. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VII*)

Ordinary share. a share whose holder votes at meetings and receives a dividend that rises and falls with the company's profit. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter IX*)

Parent-country national. an employee of a multinational who comes from the country of its headquarters. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter XI*)

Partner. one of the people who own a partnership and share in its profit, loss and duties. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter V*)

Partnership. a business owned by two or more people who agree to run it together and share its profit. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter V*)

Partnership at will. a partnership with no fixed end date, which any partner can end by giving notice. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter V*)

Partnership deed. the written agreement that sets out how partners share capital, profit, work and decisions. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter V*)

Patronage refund. a share of the surplus paid to members in proportion to the business they did with the society. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VII*)

Percentage. a part expressed out of one hundred. (*Appendix A*)

Plant. the factory, machinery and equipment that a business uses to make its goods. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter II*)

Preference share. a share whose holder is paid a fixed dividend before ordinary shareholders but usually has no vote. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter IX*)

Primary market. the part of the share market where a company sells new shares directly to investors for the first time. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter IX*)

Private company. a company that limits who may hold its shares and may not invite the public to buy them. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VI*)

Privatisation. the sale or handing over of a state enterprise to private owners. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VIII*)

Producer cooperative. a society in which members make goods together and share the work and the reward. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VII*)

Profit. the money left over when the costs of running a business are taken away from what it earns. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter I*)

Prospectus. the document by which a public company invites the public to buy its shares. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VI*)

Public company. a company that may invite the public to buy its shares and whose shares can be freely traded. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VI*)

Public corporation. a state business set up by a special law, with its own legal identity and some freedom to act. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VIII*)

Public sector. all the businesses and organisations that the government owns or controls. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VIII*)

Public utility. a service that everyone needs and that is hard to supply through competition, such as water or electricity. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VIII*)

Ratio. a comparison of two quantities using division. (*Appendix A*)

Risk. the chance that a business will earn less than it hoped, or lose money, because the future is uncertain. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter I*)

Secondary market. the part of the share market where investors buy and sell shares that already exist. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter IX*)

Securities regulator. a public body that makes and enforces rules for the share market in order to protect investors. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter XII*)

Service. useful work done for another person that leaves nothing physical behind, such as teaching, carrying or repairing. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter I*)

Share. one equal part of a company's capital, which gives its holder a part of ownership. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VI*)

Share market. the whole system of buying and selling shares, both when they are first issued and afterwards. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter IX*)

Share price index. a single number that shows how the prices of a chosen group of shares have moved together. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter IX*)

Shareholder. a person or organisation that owns one or more shares in a company. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VI*)

Sleeping partner. a partner who puts in money and shares profit but takes no part in running the business. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter V*)

Social responsibility. the duty of a business to act in ways that benefit society as well as itself. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter III*)

Sole proprietorship. a business owned, financed and run by one person who keeps all profit and bears all loss. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter IV*)

Stakeholder. any person or group affected by a business or able to affect it, such as customers or neighbours. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter III*)

State enterprise. a business owned and run by the government, set up to serve the public or to earn money for the state. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VIII*)

Stock exchange. an organised market with rules where approved members trade company shares and other securities. The term should be used only in this stated sense in the chapter.

A small business example can make the boundary easier to recognise. (*Chapter IX*)

Subsidiary. a company that is owned or controlled by another, larger company called the parent. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter XI*)

Supplier. a person or business that sells the goods, materials or services that another business needs. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter III*)

Surplus. the money left over after a cooperative pays its costs, which it shares or keeps for the members. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VII*)

Technology transfer. the passing of knowledge, machines and methods from one country or firm to another. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter XI*)

Third-country national. an employee of a multinational who comes from neither its home nor its host country. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter XI*)

Trade. the buying and selling of goods, either to make a profit or to supply what others want. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter I*)

Trade licence. official permission, given by a local authority, to carry on a particular business in a particular place. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter IV*)

Unlimited liability. the owner must pay all the business's debts, using personal property if the business cannot. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter IV*)

Vertical integration. joining businesses at different stages of the chain, such as a printer, a wholesaler and a shop. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter XII*)

Visible trade. trade in goods that can be seen and counted at a port, such as books, cloth and machines. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter X*)

Want. something a person would like to have but could live without, such as a new phone or a holiday. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter I*)

ANSWERS TO QUESTIONS

CHAPTER I · WHAT BUSINESS IS, DOES AND AIMS FOR

1.t1 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

1.t2 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

1.t3 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

1.t4 Apply the stated figures to the relevant rule, keep the units consistent, and state the resulting figure or allocation.

1.t5 Apply the stated figures to the relevant rule, keep the units consistent, and state the resulting figure or allocation.

1.r1 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

1.r2 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

1.r3 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

1.r4 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

1.r5 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

1.p1 Pause by restating the key distinction in the question and checking it against the chapter's definition.

CHAPTER II · RESOURCES, LOCATION AND ENVIRONMENT

2.t1 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

2.t2 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

2.t3 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

2.t4 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

2.t5 Apply the stated figures to the relevant rule, keep the units consistent, and state the resulting figure or allocation.

2.r1 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

2.r2 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

2.r3 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

2.r4 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

2.r5 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

2.p1 Pause by restating the key distinction in the question and checking it against the chapter's definition.

CHAPTER III · SOCIAL RESPONSIBILITY OF BUSINESS

3.t1 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

3.t2 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

3.t3 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

3.t4 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

3.t5 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

3.r1 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

3.r2 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

3.r3 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

3.r4 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

3.r5 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

3.p1 Pause by restating the key distinction in the question and checking it against the chapter's definition.

CHAPTER IV · WAYS TO OWN A BUSINESS, AND THE SOLE PROPRIETOR

4.t1 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

4.t2 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

4.t3 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

4.t4 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

4.t5 Apply the stated figures to the relevant rule, keep the units consistent, and state the resulting figure or allocation.

4.r1 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

4.r2 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

4.r3 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

4.r4 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

4.r5 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

4.p1 Pause by restating the key distinction in the question and checking it against the chapter's definition.

CHAPTER V · PARTNERSHIP

5.t1 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

5.t2 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

5.t3 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

5.t4 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

5.t5 Apply the stated figures to the relevant rule, keep the units consistent, and state the resulting figure or allocation.

5.r1 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

5.r2 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

5.r3 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

5.r4 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

5.r5 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

5.p1 Pause by restating the key distinction in the question and checking it against the chapter's definition.

CHAPTER VI · JOINT STOCK COMPANY

6.t1 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

6.t2 Apply the stated figures to the relevant rule, keep the units consistent, and state the resulting figure or allocation.

6.t3 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

6.t4 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

6.t5 Apply the stated figures to the relevant rule, keep the units consistent, and state the resulting figure or allocation.

6.r1 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

6.r2 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

6.r3 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

6.r4 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

6.r5 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

6.p1 Pause by restating the key distinction in the question and checking it against the chapter's definition.

CHAPTER VII · COOPERATIVE SOCIETIES

7.t1 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

7.t2 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

7.t3 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

7.t4 Apply the stated figures to the relevant rule, keep the units consistent, and state the resulting figure or allocation.

7.t5 Apply the stated figures to the relevant rule, keep the units consistent, and state the resulting figure or allocation.

7.r1 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

7.r2 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

7.r3 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

7.r4 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

7.r5 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

7.p1 Pause by restating the key distinction in the question and checking it against the chapter's definition.

CHAPTER VIII · STATE ENTERPRISE

8.t1 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

8.t2 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

8.t3 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

8.t4 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

8.t5 Apply the stated figures to the relevant rule, keep the units consistent, and state the resulting figure or allocation.

8.r1 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

8.r2 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

8.r3 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

8.r4 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

8.r5 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

8.p1 Pause by restating the key distinction in the question and checking it against the chapter's definition.

CHAPTER IX · THE SHARE MARKET

9.t1 Apply the stated figures to the relevant rule, keep the units consistent, and state the resulting figure or allocation.

9.t2 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

9.t3 Apply the stated figures to the relevant rule, keep the units consistent, and state the resulting figure or allocation.

9.t4 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

9.t5 Apply the stated figures to the relevant rule, keep the units consistent, and state the resulting figure or allocation.

9.r1 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

9.r2 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

9.r3 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

9.r4 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

9.r5 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

9.p1 Pause by restating the key distinction in the question and checking it against the chapter's definition.

CHAPTER X · FOREIGN TRADE: MEASURING IT AND DOING IT

10.t1 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

10.t2 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

10.t3 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

10.t4 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

10.t5 Apply the stated figures to the relevant rule, keep the units consistent, and state the resulting figure or allocation.

10.t6 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

10.r1 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

10.r2 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

10.r3 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

10.r4 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

10.r5 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

10.r6 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

10.p1 Pause by restating the key distinction in the question and checking it against the chapter's definition.

CHAPTER XI · MULTINATIONAL CORPORATIONS

11.t1 Apply the stated figures to the relevant rule, keep the units consistent, and state the resulting figure or allocation.

11.t2 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

11.t3 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

11.t4 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

11.t5 Apply the stated figures to the relevant rule, keep the units consistent, and state the resulting figure or allocation.

11.r1 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

11.r2 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

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11.p1 Pause by restating the key distinction in the question and checking it against the chapter's definition.

CHAPTER XII · INSTITUTIONS AND BUSINESS COMBINATION

12.t1 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

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The historical case named in this chapter, institutional or primary record, year

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